



Request for Proposal (RFP)

#R002746

Scratchers® Products and Related Services

May 23, 2025

CALIFORNIA STATE LOTTERY
700 North 10th Street
Sacramento, California 95811-0393



REQUEST FOR PROPOSAL

Notice to Prospective Proposers

May 23, 2025

You are invited to review and respond to this Request for Proposal (RFP) entitled (RFP #R002746 Scratchers Products and Related Services). In submitting your proposal, you must comply with these instructions.

Note that all agreements entered into with the California State Lottery (Lottery) will include by attachment Terms and Conditions and Contractor Certification Clauses that are hereby included in this solicitation.

In the opinion of the Lottery, this RFP is complete and without need of explanation. However, if you have questions, or should you need any clarifying information, the contact person for this RFP is:

Kevin Blunt

California State Lottery

solicitations@calottery.com

Please note that no *verbal* information given will be binding upon the Lottery unless such information is issued in writing as an official addendum.

Kevin Blunt

Procurement Specialist

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I. GENERAL INFORMATION

A. Purpose

This Request for Proposal (RFP) #R002746 (also referred to as “solicitation”) is for the California State Lottery (Lottery) to solicit proposals from qualified vendors for one to serve as Primary Contractor, and one or more to serve as Secondary Contractors to produce instant lottery tickets (Scratchers®) products and associated services, as well as other products identified herein, with the objective to maximize Lottery profits and contributions to California public schools.

The Lottery’s intent is to enter into contracts with one or more experienced contractors for printing and related services associated with Scratchers manufacturing. The Lottery intends to award contracts to both a Primary Contractor and Secondary Contractor(s). The Primary Contractor will not have exclusivity, but can expect to print the majority of the Lottery’s Scratchers.

The Lottery anticipates that the Primary Contractor will be assigned approximately 70% of the Lottery’s Scratchers games over the life of the Contract. Work assigned will be at the Lottery’s discretion.

Bidders must submit a proposal to be the Primary Contractor, as well as a Secondary Contractor. It is the Bidder’s responsibility to identify any differences in its proposal that would apply only where a specific type of contract is awarded. Where Bidder fails to identify such differences, the terms of Bidders proposal will be deemed applicable regardless of whether a Primary or Secondary Contract is awarded. The Lottery will select Primary and Secondary Contractors based on overall quality of proposals, competitive pricing, and best value to the Lottery.

The Primary Contractor will manufacture Scratchers and provide marketing and sales support services. The Lottery anticipates that the Primary Contractor will serve as a business partner and work closely with the Lottery to ensure that Scratchers sales and profits continue to increase in the future.

Secondary Contractor(s) will manufacture Scratchers and perform other tasks as required by the Lottery, which may include marketing and sales support services for a certain number of Scratchers games during the term of the Contract. While the Lottery anticipates that the Contracts that result from this Request for Proposals (RFP) will provide for all of the Lottery’s Scratchers ticket production requirements, the Lottery reserves the right to secure production and related services from other vendors at any time during the Contracts’ terms.

The base term of these Contracts will be six (6) years. The Lottery may unilaterally elect to extend any of these Contracts for a period of 3 years from the end of the initial term. Thereafter, the Lottery may unilaterally extend the contracts up to three additional times, for up to 1 year(s) each, provided that the Lottery notifies subject Contractor(s) at least four months prior to commencement of each extension period. All extension periods will be subject to the same terms and conditions that are applicable to the base term, including all pricing terms.

By submitting a proposal, the Proposer agree to the terms and conditions stated in this RFP. **Read this document and any attachments in their entirety and carefully, as they may contain binding provisions that affect your rights and obligations.** You must comply with the instructions contained in this document. Responses to this RFP must be submitted to the Lottery contact listed below.

Contact

For questions regarding RFP #R002746, please email Kevin Blunt at solicitations@calottery.com. For all communications, subject line must include RFP #R002746 Scratchers® Products and Related Services.

California State Lottery
Attention: Kevin Blunt
700 North 10th Street
Sacramento, CA 95811

No contact or communications regarding this RFP shall be allowed between the Proposer or potential Proposers and members of the Lottery Evaluation Team, Lottery Commissioners, or Lottery staff during the RFP process with the exception of the Lottery contact person named above. Any such contact may disqualify a Proposer or potential Proposer from further consideration. Requests for clarification shall be allowed, provided such requests are made through the above contact person.

For additional information on RFP submissions, see Section IV.B.

B. Background

The Lottery's sole mission is to supplement funding for California's public schools and colleges. Since we began in 1985, we've given schools more than \$46 billion.

While the Lottery is a public agency, we receive no public funding. Instead, we raise all operating and administrative expenses through the responsible sales of our games. We give the community back 95 cents of every dollar spent on Lottery games through contributions to public schools and colleges, prizes and retail compensation.

The Lottery offers a full array of popular game styles in its portfolio, including multi-state games, in-state lotto, quick draw, daily games, and Scratchers. These games are available at the Lottery's retail network of approximately 23,000 locations, ranging from national chain stores to independent neighborhood shops, supermarkets, liquor stores, tea rooms, restaurants, and more. The Lottery is consistently one of the top three lotteries in the United States in sales and typically leads in many categories, including multi-state and instant game sales. In Fiscal Year (FY) 2023-24, California was #2 in overall lottery sales in the U.S., as well as #1 in Powerball and Mega Millions sales, #2 for in-state lotto, and #3 in instants/Scratchers. The estimated contributions to its beneficiaries were #3 in the nation.

The Lottery remains focused on long-term objectives to expand the reach of its brand within the state to grow playership and strengthen brand affinities to drive sales, profits and brand loyalty. It is focused on innovation and continued relevance to Californians in an increasingly complex marketplace. Scratchers play a critical role in the Lottery's product portfolio, representing over 70% of sales and providing more than \$6.6 billion in sales (unaudited) during FY 23-24, and the Lottery is emphasizing strategies to grow Scratchers sales and profits responsibly.

The Lottery is leveraging a segmented view of California consumers that provides context and focus for developing messaging, products, and promotion strategies and tactics to position the California Lottery as a brand for **fun and entertainment**. This allows the Lottery to provide products and communication preferences that will enhance the "play" experience with the Lottery for California adults.

This strategy is also supported by the Scratchers Category Repositioning Effort, an integrated multi-year initiative launched in 2021 and designed to reposition the Scratchers product category and change consumer perceptions to address barriers to play for casual, lapsed and non-players, while continuing to engage and excite more frequent players. It seeks to elevate Scratchers by shifting player perceptions of the category away from solely being seen as a gambling product and showcasing the enjoyment of playing Scratchers, independent of whether a player wins. This effort positions Scratchers as small moments of fun and entertainment and is grounded in the insight that adults need more play in their lives. The Scratchers positioning is anchored by the fun

and memorable tagline, “A Little Play Can Make Your Day” and encourages Californians to consider Scratchers as a perfect moment of play in their busy lives.

The Lottery also diversified its Scratchers portfolio to support this repositioning effort and reinforce this strategy by creating more games focused on casual and non-players with non-traditional gaming elements. The Lottery’s research and analysis reveal the initiative is resonating with players: playership and sales have increased, while player perceptions of the Lottery brand have also increased.

The Lottery has set multiple sales and profit records in the last four years, as well as improving player perceptions of the brand and reversing declining playership levels, which have increased to their highest levels in six years. In FY 2023-2024, the Lottery generated an estimated \$9.28 billion in revenue from all Lottery games and contributed an estimated \$2.3 billion to public schools, though growth has slowed after years of record-breaking sales and profits.

Innovation remains imperative to the Lottery; it is exploring new pilots, including digital in-store signage and cashless payments, while continuing to expand its footprint in digital and social media through its owned channels and new partnerships to reflect the evolving consumer landscape. Yet, the Lottery faces challenges moving forward in a rapidly changing marketplace, including consumer economic impacts, increased digital and mobile consumer consumption, shifts towards cashless retail, and barriers for casual players to play the Lottery. It also operates within a unique set of regulatory challenges, including its mandated pari-mutuel structure on games, and restrictions within the digital gaming space and mandated limitations on technology (link to California State Lottery Act [here](#)). As the Lottery continues its drive for innovation, this creates substantial potential for vendor partners to explore new solutions to assist the Lottery in reaching consumers in an increasingly mobile-first, digitally-focused world.

Lottery products are only available in physical brick and mortar locations, where they compete with consumer-packaged goods brands for valuable shelf space and consumer visibility. Lottery retailers also face challenges in the increasingly complex modern retail landscape with online competition, theft, inventory management and convenience, as consumers shift their buying behaviors out of traditional trade channels. The wide range and scope of the Lottery retailer network creates additional complexity to this fluid marketplace. In addition, Lottery vending machines are currently cash-only, and most Lottery retailers only accept cash for Lottery purchases.

1. Current Products and Distribution:

The Lottery prints about 1 billion Scratchers tickets each year, launching between 52-54 games. Annual Scratchers sales have increased by over \$4 billion since FY 11-12, an increase of over 300%. Higher price points drive the largest sales volume; however, lower price points remain a key point of entry for new and casual players, making it imperative to create a balanced portfolio of games while understanding that prize payout levels across all Lottery games are optimized to ensure that funding for education is maximized annually.

During FY 24-25, 53 games will be offered between the price points of \$1 to \$40, with four or five games launched per month. Of these 53 games, five are \$1 games, ten are \$2 games, five are \$3 games, ten are \$5 games, eleven are \$10 games, eight are \$20 games, one is a \$25 game, two are \$30 games, and one is a \$40 game. The following chart indicates total Scratchers sales (based on validation, or consumer, sales, based on what players have actually claimed or validated*) for the last three fiscal years by price point.

Total Scratchers Sales in Millions

Price Points	FY2021-22	AVG Payout %	FY2022-23	AVG Payout %	FY2023-24	AVG Payout %
\$1	\$96,670,392	59.6	\$95,180,729	59.6	\$83,663,229	60.4
\$2	\$172,694,048	61.7	\$161,449,696	61.8	\$159,369,957	62.5
\$3	\$444,563,466	62.2	\$420,028,882	62.3	\$370,115,359	62.4
\$5	\$1,106,910,175	67.7	\$1,132,413,961	67.5	\$1,029,299,932	67.6
\$10	\$1,794,722,934	72.7	\$1,764,009,259	72.7	\$1,707,373,507	72.4
\$20	\$2,285,923,498	75.7	\$1,998,510,323	75.6	\$2,029,361,259	75.6
\$30	\$853,097,136	77.8	\$1,019,641,858	77.3	\$1,275,742,408	77
	\$6,754,581,648	68.2	\$6,591,234,708	68.1	\$6,654,925,651	68.3

2. Future Sales and Product Projections

The Lottery is committed to responsibly growing its playership, sales, and profits, while continuing its emphasis as a brand for fun and entertainment. The Lottery's overall sales goal for FY 25-26 is \$9.1 billion. The Scratchers sales goal is \$6.82 billion.

3. Retailer Information

There are over 23,000 Lottery retailers in California, each with an average of 32 Scratchers facings at any given time. Lottery products

are sold in locations like grocery chains, gas stations, convenience stores, restaurants, bars, and liquor stores.

The Lottery continues to expand the network by adding new retailers in different trade channels, upgrading self-service machines, and piloting new technologies throughout its networks using a more convenient and customer-focused experience for players.

At this time, the Lottery utilizes a combination of instant ticket vending machines, in-counter trays, and on-counter displays. It has a network of in-store devices as part of the gaming contract services with IGT, including Gemini Ultra, and GameTouch vending machines, and GT 1200 and Flex retailer terminals. There are also additional retail support items including check-a-ticket scanners and ePOS screens (19-, 22- and 32-inch monitors).

Most retailer partners merchandise their own games, utilizing the Lottery's monthly planograms or customized neighborhood schematics. However, some retailers utilize the Lottery's route model, where designated Lottery sales representatives manage inventory and out of stocks, notably in specific chain accounts.

Games are displayed in 20-, 24-, 28-, and 32-game configurations

4. Scratchers Distribution

The Lottery operates a "pick and pack" warehousing and distribution system and manages orders through two distribution centers in Northern and Southern California. Retailer orders are also managed through its internal Scratchers Inventory Management Center, utilizing IGT's proprietary software and Lottery-developed algorithms. Lottery Scratchers vendors are responsible for product delivery to the distribution centers. Orders are then supplied to retailers throughout California via the Lottery's contracted delivery vendor. Unsold Scratchers are returned to the nearest distribution center. Full packs of active games are placed back into the inventory to be redistributed, while partial packs and discontinued games are shredded.

The Lottery currently has contracts with the following Scratchers printing vendors:

- Scientific Games LLC (Primary vendor)
- Pollard Banknote Limited (Secondary vendor)
- IGT Global Solutions Corporation (Secondary vendor)

C. Lottery Point of Contact

This RFP is issued by the Lottery's Procurement Services and Support office. Issuance of this RFP does not constitute a commitment by the Lottery to award a contract. The issuing office is the sole point of contact regarding this RFP. All notices or questions pertaining to this RFP must be directed to:

California State Lottery
Procurement Services and Support
Attention: Kevin Blunt
700 North 10th Street
Sacramento, California 95811
Email: solicitations@calottery.com

No contact regarding this RFP will be allowed between Proposer or potential Proposer and members of the Lottery Evaluation Team, Lottery Commissioners, or Lottery staff after issuance of the RFP with the exception of the Lottery contact person named above. Any such contact may disqualify a Proposer or potential Proposer from further consideration. Requests for clarification will be allowed, provided such requests are made through the above contact.

D. Projected Timetable

The following projected timetable is subject to change and is provided for informational and planning purposes only. The Lottery may change the dates after Proposals Due without further amending this RFP.

Event	Date	Time
RFP Issued	Friday, 5/23/2025	
Intent to Bid/Written Questions Due	Tuesday, 6/3/2025	3:00 p.m. PST
Responses to Written Questions	Thursday, 6/17/2025	
Proposals Due	Thursday, 7/17/2025	3:00 p.m. PST
Notice of Intent to Award Posted*	9/1/2025	
Commission Approval to Award Contract (if required) *	9/25/2025	
Projected Contract Start Date*	12/1/2025	

*Estimated dates; actual dates may differ.

E. Verbal Communication

Any verbal communication with a Lottery employee concerning this RFP is not binding on the Lottery and will in no way alter a specification, term, or condition of this RFP or of any resulting agreement.

F. Examination of All Requirements

The Proposer is strongly encouraged to examine this document thoroughly and become familiar with the RFP's requirements, including but not limited to those set forth in Attachment 16, Proposed Contract Terms and Conditions, Exhibit A, Scope of Work, and Exhibit C, General Terms and Conditions. Proposals must be based solely on the information and materials contained in the RFP, any amendments thereto, and on other written communications regarding the RFP that are issued by the Lottery contact person named above. The Proposer must disregard all other information regarding the requirements of this solicitation, including draft material, newspaper advertisements or articles, and verbal representations.

If a Proposer discovers an error in this RFP but fails to notify the Lottery of that error, the Proposer submits a proposal at its own risk. If awarded the Agreement, the Proposer will not be entitled to additional compensation or time due to the error or its subsequent correction. Unless amended as part of a Response to Proposer Questions (see Sections I.E and I.I), the Agreement's exhibits (Exhibit A, Scope of Work, Exhibit B, Budget and Payment Provisions, and Exhibit C, General Terms and Conditions) are non-negotiable. However, the Lottery reserves the right to adjust the language within the Scope of Work and the resulting Agreement awarded from this solicitation. Therefore, final Agreement language may deviate from the provisions provided in this solicitation.

The Lottery may, in its sole discretion, refuse to accept a proposal if it fails to furnish all required information or follow the format specified in this RFP.

G. Modifications to the RFP

The Lottery may cancel or amend this RFP at any time by the issuance of a written addendum. Notice of amendment or cancellation will be sent to the Proposer that has submitted a written Intent to Bid if the amendment or cancellation occurs prior to proposal submission, and to the Proposer that has submitted a proposal if the amendment or cancellation occurs after proposal submission.

H. Written Questions

Questions regarding the content of this RFP (including clarifications on bidding requirements, Scope of Work, or Price Sheet) must be submitted in writing via email to the Lottery Point of Contact specified in Section I.D by the due date and time specified in the Projected Timetable. It is the Proposer's sole responsibility to verify receipt of submitted questions. The Lottery may, in its sole discretion, respond to written questions received after the specified due date and time. Questions and responses will be provided to Proposers that submitted a written Intent to Bid and will also be posted on the Lottery's [website](#) and the [California State Contracts Register](#) (CSCR).

I. Written Intent to Bid

An Interested Proposer may submit an Intent to Bid in writing via email to the Lottery contact person by the date and time specified in the Projected Timetable in order to receive direct communications from the Lottery about this RFP.

The written Intent to Bid must include the Proposer's contact person's name, email address, mailing address, and telephone number.

If a written Intent to Bid is not sent, a proposal may still be submitted. However, RFP notices and addendums issued by the Lottery will only be sent directly to the Proposer with a written Intent to Bid on file. After the proposal due date, only a Proposer that has submitted a proposal package in accordance with section II, Proposal Requirements, and section IV, Delivery of Proposal, to the Lottery Point of Contact specified in section I.D. will receive direct RFP communication and notices.

All interested parties may access such notices and addendums on the Lottery's [website](#) and [CSCR](#).

J. Property of the Lottery

All proposals become the property of the Lottery upon receipt and will not be returned to the Proposer.

K. Proposals are Public Records

Pursuant to the California Public Records Act, California Government Code Section 6250 *et seq.*, all data, materials, information, and documents submitted to the Lottery by a Proposer may be incorporated into a publicly-available Agreement and may otherwise be subject to disclosure upon request by competitors and members of the public after the apparent successful Proposer has been announced. The Lottery will process all Public Records Act requests

in accordance with the laws of the State of California. A Proposer's labeling of any proposal materials as "confidential" or otherwise exempt from disclosure is not binding on the Lottery, and the Lottery will not be liable to the Proposer or to any other person or entity for disclosing information as required by law.

L. Acceptance Period

As a condition of submission, each Proposer's proposal constitutes an unconditional offer to the Lottery and is irrevocable for 180 days from the date submissions are due.

M. Rejection of Proposals

The Lottery reserves the right to reject any or all proposals to this RFP. The Lottery may reject any proposal that is conditional, contains additions not called for, is incomplete, contains erasures or irregularities of any kind, or contains material deviations. Any provisions of this RFP that are defined as requirements will be considered mandatory. In the interest of promoting competition, the Lottery may allow a Proposer to correct an inaccuracy in its proposal. If all Proposers fail to meet one or more of the mandatory requirements, the Lottery reserves the right to continue evaluation of the proposals and to select the proposal that most closely meets the requirements specified in this RFP.

N. Conditions of Submission

Proposals submitted in response to the RFP, along with any subsequent presentations, must include the Proposer's best offer to fulfill the requirements outlined in Exhibit A, Scope of Work. A Proposer will be allowed to withdraw their proposals only when a written request for withdrawal is received by the Lottery prior to the deadline for final bid submission. Requests for bid withdrawal must be filed in the same manner as proposals. After the submission deadline, a Proposer cannot replace, change, or modify their proposals in any way, except as specified in this RFP or any subsequent addendum to this RFP.

O. Nonmaterial Deviation

The Lottery may waive any deviation in a proposal that the Lottery determines to be nonmaterial. The Lottery's waiver of a nonmaterial deviation in no way modifies the RFP's requirements or excuses a Proposer from full compliance with the Agreement's requirements.

P. Agreement Execution

The Lottery Director or designee will make the final determination of Agreement award, subject to California Lottery Commission approval if applicable. In

making this determination, the Lottery Director or designee may be assisted by an Evaluation Committee.

The Lottery, in its sole discretion, may treat failure or refusal by the intended awardee to begin performance within 10 state working days of execution as repudiation of the Agreement. The Lottery may then either (1) select another proposal which conforms to the requirements of this RFP and represents, in the Lottery's sole discretion, the best value; or (2) reject all proposals. The Lottery may also seek compensation for any damages associated with repudiation of the Agreement.

The Lottery reserves the right to cancel all elements of this solicitation or rescind the announced award at any time before execution of the Agreement. Issuance of this RFP does not constitute a commitment by the Lottery to award an Agreement.

Q. Hiring of Lottery Personnel

At all times during the proposal evaluation period and continuing through award or rejection of all proposals, Proposers are prohibited from officially or unofficially making any employment offer or proposing any business arrangement whatsoever to any Lottery employee involved in the evaluation of proposals. A Proposer making such an offer or proposition will be disqualified from further consideration.

R. Bid Protests

1. Only an actual Proposer may protest a contract award, and only on the following grounds:
 - a) The Lottery did not follow its own written procedures in selecting the apparent successful Proposer, and
 - b) The protestor can demonstrate that had the Lottery followed its procedures, the protesting Proposer would have been the successful Proposer.
2. A notice of intent to protest must be received by the Lottery within 7 business days after the Lottery posts a notice of intent to award on its website. Notice is to be sent via email to solicitations@calottery.com. A timely notice of intent to protest is a prerequisite to any protest.
3. Provided that a timely notice of intent to protest has been filed with the Lottery, a protest must be filed within 12 business days after the Lottery

posts its notice of intent to award on its website. A protest must include a complete and detailed explanation of how the facts support the protest.

4. All protest documents must be received by the Lottery via email to solicitations@calottery.com or mail at its Sacramento headquarters no later than 3:00 p.m. Pacific Time on the last day of the applicable protest period. The envelope containing protest documents or the cover page to a protest must be addressed to the attention of the Director and must be clearly labeled: "Protest to the (title and number of the solicitation), DO NOT OPEN IN MAILROOM." Untimely protests will not be considered.
5. It is the protestor's responsibility to ensure that the Director has all information and arguments that the protestor deems relevant and necessary to resolve the protest. The Director may request additional information in writing from the protestor or from other sources, including the apparent successful Proposer and Lottery staff, as he/she deems appropriate for resolution of the protest.
6. The Director will issue a written decision within 15 days of completion of his/her review of the record.
7. In his/her sole discretion, the Director may determine that it is in the best interest of the Lottery to proceed with contract award and performance, while a protest is pending, and may direct a Contractor to commence work.

S. Governing Law and Regulations

The Lottery's governing law and regulations, including the California State Lottery Act and the Lottery's procedures for procurement of goods and services, are available on the Lottery's [website](#). It is each Proposer's responsibility to be familiar with these laws and regulations.

II. PROPOSAL REQUIREMENTS

Proposals submitted in response to this RFP must comply with the requirements of this section. **Failure to complete and submit the information listed in this section in the specified format may result in rejection of the Proposer's proposal.**

All Proposers must provide as much information as necessary in their proposal for the Lottery to award a Contract. At a minimum, proposals must be fully responsive to the specific requirements stated in this RFP. All Proposers must identify any requirements of this RFP they cannot satisfy.

All proposals will be deemed to apply to either a Primary or Secondary Contract. It is the Proposer's responsibility to identify any terms/sections/items in its Proposal that would only apply to either a Primary or Secondary Contract. Where Proposer fails to identify such differences, all terms of Proposer's proposal will be deemed applicable, regardless of whether a Primary or Secondary Contract is awarded. The Lottery will select Primary and Secondary Contractors based on overall quality of proposals, competitive pricing, and best value to the Lottery.

All Proposers must identify any mandatory requirement of this RFP that they are unable to satisfy at the time the bid is submitted and explain how they would propose to address the requirement prior to executing a contract with the Lottery.

A. Mandatory Submittals

All proposals submitted in response to this RFP must comply with the requirements of this section. All Proposers must respond to each requirement in this section, whether bidding for the Primary Contract or a Secondary Contract, except for Attachment 6, Small Business and Microbusiness Program Participation, which is optional. DVBE participation is mandatory and Attachment 5 must be completed. The Lottery retains the discretion to reject or accept proposals or request from a Proposer's supplemental clarifying information related to these submittals at any time before contract award.

All Proposers must not alter the Lottery's mandatory submittals. Any change made to the forms, including but not limited to exceptions, deletions, and additions, may be the basis for disqualification of a Proposer's proposal. **The required forms can be located at the Lottery's [website](#) or by going onto the [CSCR](#).**

All Proposers must complete and submit the following as detailed below:

1. Transmittal Letter and Company Background (Attachment 1)
2. Required Attachment Checklist (Attachment 2)
3. Price Sheet (Attachment 3)
4. Certification (Attachment 4)
5. Disabled Veteran Business Enterprise Participation (DVBE) (Mandatory) (Attachment 5)
6. Small and Microbusiness Participation (SMP) – if applicable (Attachment 6)
7. Payee Data Record STD 204 (Attachment 7)
8. Guaranty (Attachment 8)
9. Lottery Account Personnel (Attachment 9)
10. Résumé Form (Attachment 10)
11. (Confidential) Major Contractor Disclosure (Attachment 11)

- 12. Ticket Samples, as described in Sections 2.3 and 4 in the Rated Submittals (Attachment 12)
- 13. Liquid Files Instructions (Attachment 13)
- 14. Rated Submittals (Attachment 14)
- 15. GenAI Impact Assessment Form (Attachment 15)

1. Required Transmittal Letter – (Attachment 1)

All Proposers must submit a cover letter indicating that they are responding to the RFP and that all of the RFP requirements have been met. The letter must be signed by a representative identified in the Proposer Certification as legally authorized to contractually bind the Proposer.

All Proposers must disclose whether they consulted with others in the preparation of this proposal. If others were consulted, they must identify those with whom they consulted and provide contact information. Any change or addition to those consulted while this RFP is pending must be reported to the Lottery. Failure to do so may result in a decreased rating level or rejection of a Proposers proposal. The Lottery reserves the right to contact these consultants. Under no circumstances may a Proposer submitting or considering the submittal of a proposal consult with a competing Proposer.

All Proposers must also disclose any potential, actual or apparent conflicts of interest that may exist between any current client and the Lottery. Because of the complexities involved in defining conflicts of interest, the Lottery will make a final determination as to whether a disqualifying conflict exists. Note: If there are no conflicts, provide a statement to this effect.

2. Required Attachment Checklist (Attachment 2)

All Proposers must submit the Required Attachment Checklist to confirm all required documents have been included in the proposal submittal package.

All Proposers must also indicate the services to which they are responding.

3. Price Sheet (Attachment 3)

All Proposers must (1) complete and submit Price Sheet, Attachments 3-3F, and (2) submit the Pricing Grids in an active Excel worksheet via Liquid files (in addition to those required under Item 13) at the time of proposal submission.

4. Certification (Attachment 4)

All Proposers must complete and submit the Certification form in their proposal package.

5. Disabled Veteran Business Enterprise Participation (DVBE) (Mandatory) (Attachment 5)

All Proposers must complete and submit the Disabled Veteran Business Enterprise Participation forms when bids are due. **DVBE participation is mandatory.**

In order to receive DVBE cost preference, all Proposers must complete and submit the Disabled Veteran Business Enterprise Participation form in their proposal package. A preference of up to 5% may be applied based on the level of DVBE participation proposed. Additional details are provided in the DVBE form.

6. Small and Microbusiness Participation (SMP) – If applicable (Attachment 6)

In order to receive SMP cost preference, all Proposers must complete and submit the Small and Microbusiness Participation forms in their proposal package. Based upon the nature of the goods and services to be utilized under this solicitation (as outlined in Exhibit A, Scope of Work), the Lottery has set a Small and Microbusiness Participation goal of 25% for utilization of small or microbusiness subcontractors under the contract resulting from this RFP. While not required for this solicitation, a preference of up to 25% will be applied, based on the level of SMP participation proposed. Additional details are provided in the SMP form.

7. Payee Data Record (STD 204) – (Attachment 7)

All Proposers must complete and submit the Payee Data Record in the proposal package.

8. Guaranty (Attachment 8)

All Proposers must complete and submit the Guaranty form at the time of proposal submission.

9. Lottery Account Personnel (Attachment 9)

All Proposers must complete and submit the Lottery Account Personnel form at the time of proposal submission.

10. Résumé Form (Attachment 10)

All Proposers must complete and submit the Résumé form at the time of proposal submission.

11. (Confidential) General Contractor Disclosure (Attachment 11)

All Proposers must complete and submit the (Confidential) General Contractor Disclosure and, if applicable, Subcontractor Disclosures forms. The Lottery may request clarification of disclosures or accept supplemental disclosure information at any time during the solicitation process. This attachment is not required if the Proposer is currently cleared by the Lottery's Security/Law Enforcement Division.

12. Ticket Samples (Attachment 12)

Number of tickets submitted as requested in Section II.C.2.3, Special Production or Licensed Property Ticket Samples, and Section II.C.4, Ticket Samples and Packaging. **Physical samples are to be delivered.**

13. Liquid Files Instructions (Attachment 13)

Proposer must submit all requested documents via Liquid Files as stated in Section IV. Delivery of Proposal. Instructions in doing so are provided as Attachment 13.

14. Rated Submittals (Attachment 14)

See Section II.C below (starting page 17) for details of contents.

15. GenAI Language (Attachment 15)

Proposers must complete and sign the GenAI Impact Assessment Form if: 1) the Proposer intends to provide Generative Artificial Intelligence (GenAI) as a Contract deliverable; or (2) the Proposer intends to utilize GenAI, including GenAI from third parties, to complete any portion of the Contract deliverables or services.

B. Evaluation of Mandatory Submittals

The Lottery will validate that all mandatory submittals were received and are completed; where applicable, the Lottery will also confirm that minimum qualifications have been met for this solicitation.

Section II.A - Summary:

Mandatory Submittals: Pass/Fail

Failure to submit the following forms will result in Proposer disqualification:

- Transmittal Letter (Attachment 1)
- Required Attachment Checklist (Attachment 2)
- Price Sheet (Attachment 3)
- Certification (Attachment 4)
- Payee Data Record (STD 204) (Attachment 7)
- Rated Submittals (Attachment 14)
- GenAI Impact Assessment Form (Attachment 15)

Failure to submit the following forms will not result in Proposer disqualification but will render the Proposer ineligible to receive DVBE and/or SMP preference during the Price Sheet Assessment.

DVBE and SMP Assessment (Attachments 5 and 6)

- Disabled Veteran Business Enterprise Participation Incentive Program (if applicable). A preference of up to 5% will be applied, based on the level of DVBE participation proposed.
- Small & Micro Business Participation (if applicable). A preference of up to 5% will be applied, based on the level of SMP participation proposed.

C. Rated Submittals

Rated Submittals and Evaluation Criteria

Proposer's response to this section of the RFP will be rated in comparison to other submitted proposals and will be given a rating using the scale set forth in section IV Evaluation of Proposals. The relative importance of each rated category or section is also set forth in section IV. Evaluation of Proposals, C. Best Value Evaluation.

1. Proposer Experience

Proposer must provide a list of its current North American instant ticket printing contracts from jurisdictions that are comparable in size and volume to California (to include: Arizona, Florida, Georgia, Michigan, New York, Ohio, Pennsylvania, and Texas) for the five years prior to proposal submission. The list should be in order of dollar value, high to low and include the following information for each contract:

- a. Lottery *jurisdiction* or company name and the name/address/title/phone number/email of a contact person;
- b. Total dollar value of contract and the total invoiced amount submitted under the contract;
- c. Start and end dates of the contract;
- d. Total current resident population of the lottery's jurisdiction;
- e. Type of contract and whether the proposer was/is primary or secondary, or other;
- f. Total number of games and tickets printed annually for each contract, with an indication of how many would be considered special production tickets;
- g. A list of services and/or products other than printing services provided;
- h. Contractually-obligated delivery schedules for new games and reorders, including number of business days from Draft Working Papers/Game Specifications execution date to ticket delivery date;
- i. Description and list of experiences in integrating Proposer's products with lottery gaming systems.

Evaluation Criteria for Proposer Experience:

Quality, relevance, and breadth of Proposer's stated experience with regard to lottery contracts, and integration with gaming systems.

2. Proposer Capabilities

In a written narrative of no more than 30 pages, Proposer must demonstrate how its capabilities and resources make it well-suited to service the Lottery account and build future growth in Lottery sales and profits. The narrative should discuss all subjects addressed in the following sections 2.1 through 2.7.

2.1 Ticket Production Capabilities

- a. Proposer's capacity to produce at least 100 million instant lottery tickets per game, while meeting all contractual obligations set forth in Exhibit A, Scope of Work.
- b. Proposer's total printing capacity to produce tickets that meet all contractual obligations set forth in the Exhibit A, Scope of Work.
- c. Proposer's timetable to quickly develop, print, finish, and deliver tickets is imperative for the Lottery. It is highly desirable that the Proposer provide shorter turnaround times than the minimums found in Exhibit A, Scope of Work. This timetable should include at a minimum, the number of business days needed to develop prize structure, artwork, draft working papers, and final working papers. Proposer's ability to deliver tickets after execution of the Final Working Papers.
- d. Proposer's ability to conduct an instant ticket sign-off for press approval without a Lottery employee, while ensuring that tickets pass all security tests and comply with ticket design criteria. Proposer must describe how the press approval will occur without a Lottery employee available, onsite or virtually.
- e. Description of any contract dispute relating to instant ticket contracts, printing, and/or delivery of instant tickets, that resulted in a financial assessment for the ten years prior to proposal submission. Include a description of the process utilized to reach a final resolution and any terms thereof.

2.2 Graphics and Creative Design Capabilities

- a. Proposer's capabilities for designing ticket graphics that are impactful and attention-grabbing as determined by consumer marketplace trends, design innovations, industry best practices, and/or via consumer research studies. This description should include the approach and philosophy to designing tickets, as well as the technical resources and expertise the Proposer has in order to produce high-quality and marketable designs.
- b. Please explain how your philosophy in developing impactful common themes, as well as innovative games and concepts.

- c. Proposer's printing capabilities in terms of number of display colors and quality of graphics, overprint colors and graphics, as well as the library of imaged fonts and graphics used for the play symbols.
- d. Proposer's ability to produce unique marking systems for bingo, crossword, and other types of extended-play games with a variety of colors.

2.3 Special Production Capabilities

Describe and provide any unique, innovative, or proprietary tickets that ensure a positive, engaging experience resulting in repeated future purchase behavior. These may include special paper, special treatments, niche tickets, multi-page tickets, die cut tickets, folds, specialty inks, and other proprietary techniques unique to the Proposer. Proposer should describe its special vending capabilities, including any equipment designed to dispense special games.

2.4 Special Production or Licensed Property Ticket Samples

The Lottery would also like to see a sampling of tickets produced by the Proposer that involve special production techniques and/or licensed properties that illustrate the Proposer's innovative and unique capabilities, while also meeting Lottery regulations. Examples might include but are not limited to:

- Tickets innovative to the industry;
 - tickets trending in the industry;
- Tickets featuring engaging and modern licensed properties that have positive perception, and a list of vendor's current licensed properties;
 - Describe your strategy for obtaining relevant licensed properties
- Technologically-advanced tickets developed for specific target markets; and
- Tickets with special inks, special paper, unique treatments, unique shapes, play formats, prizes, or any other characteristics that set them apart from standard instant tickets (e.g. scented scratch-off material, die cuts, folds, unusual packaging, pouches, multi-page books, special imaging fonts, proprietary printing techniques, QR codes, and increased imaging), and tickets with play data on the back;

The samples above are to be produced by the Proposer and not computer generated, hand-made, or contrived.

2.5 Game Programming Capabilities

- a. Proposer should describe its game programming capabilities and provide examples of programming an instant game that provides exciting play action and is not predictable to even the frequent player.
- b. In particular, the Proposer should discuss how a game's prize structure would be programmed to achieve the following:
 - 1) Maximize the perception that mid-tier and high-tier winners are randomly seeded;
 - 2) Prevent low-probability occurrences, such as a single pack including ten \$40 winners, from occurring in a single pack;
 - 3) Minimize the occurrence of discernible patterns of prize distribution (such as packs including no more than one winner above a certain prize level);
 - 4) Facilitate cross-promotion of Lottery draw games with instant games (Scratchers);
 - 5) Use the back of tickets for additional scratch-off play areas; and
 - 6) Any additional unique prize structure configurations.
- c. Proposer should also include a description of its capabilities to program extended play games like bingo and crossword so that very few tickets hold identical combinations of numbers or words. Additionally, describe any ability to create and provide seasonal or special word lists.
- d. Proposer should describe how they maximize the ticket back available space for text printing and colored graphics, using a variety of colors, graphics, and QR codes. Proposer should describe how QR codes are being utilized and their functionality. Proposer should describe how scratch-off play areas on the back of tickets can be effectively programmed.

2.6 Other Proprietary Capabilities

Proposer should provide information about any proprietary capabilities it has that can: provide digital programs or extensions for the Lottery website, mobile application(s), and/or social media; drive players back to retail; and stay ahead of the industry with cutting-edge technologies and functionalities.

Proposer should describe capabilities for integration of products/ licensed properties with ancillary promotional extensions that create a superior player experience, widen the player base, and increase frequency of play.

2.7 Quality Control Plan

In addition to the above capabilities, the Proposer must provide a detailed plan for quality control that, at a minimum, includes the following:

- a. A description of how and by whom (Proposer, subcontractor, other) numbering and lettering of instant tickets will be accomplished.
- b. An explanation of how the numbering is to be controlled to ensure error-free results.
- c. An explanation of the numbering, lettering or symbol printing which relates to how the game is to be played.
- d. A description of the numbering of packs and instant tickets for use in controlling instant ticket distribution and accounting.
- e. An explanation of the numbering and barcodes on instant tickets for claims validation, reconstruction of game ticket numbers, and letters and/or symbols for mutilated and/or unreadable tickets.
- f. An explanation of the barcodes used by the check-a-ticket devices.
- g. An explanation of the barcodes used by retailers for validating tickets.
- h. An explanation of UPC (Universal Product Code) barcode.
- i. A description of the procedure for 100% visual inspection of instant tickets, including visual observation of the application of the covering material, release coat, and game data.

- j. An explanation of how the Proposer will provide the Lottery with subgame and omit production within the acceptable range of variance.
- k. An explanation of procedures to ensure that game files' submittals are accurate.
- l. A description of the procedures in place to track and resolve any problems that arise.
- m. A description of the quality assurance tests the Proposer may use to complete a remote sign-off for press approval, including the processes used to evaluate the colors in the graphic and scratch-off areas, conduct security-related tests, and proof writing on the ticket front and back.

2.8 Security Control

Identify and describe physical and logical security components, controls, processes, and procedures to ensure the security, honesty, and fairness of the design, development, and production of instant tickets including:

- a. Security Plan
 - 1) Security Organization, Policies, Awareness, and other administrative controls
 - 2) Human Resources Security
 - 3) Business Continuity Plan and Disaster Recovery Plan
- b. Development Security
 - 1) Game Design - identify physical, logical and game security components
 - 2) Game Generation - identify controls and / or enhanced security measures for the development, quality control and security of programs, tables, and data and configuration files
 - 3) Game Printing
 - 4) Game Editing - identify controls for the physical delivery of games
 - 5) Game Load Media
 - 6) Finishing Steps - include monitoring of defective, superfluous, and invalid tickets
- c. Delivery of Tickets and Game Files

- 1) Packing of Games for delivery – preparing pallets, loading of trucks and monitoring
 - 2) Shipping – sealing the shipment, exclusive use trucks, tracking the shipment, Bill of Laden
 - 3) Protecting the files – secure file transfer protocol and encryption methods
- d. Instant Ticket Reconstruction Process
- 1) Controls surrounding requests, execution and notifications
- e. Information Systems Security
- 1) Logical Access Security of programs and files
 - 2) Operating System Access Controls
 - 3) Operational Procedures and Responsibilities
 - 4) Software and Information Backup
 - 5) Change Management
 - 6) Release Management
 - 7) Network Controls and Network Security
 - 8) Security of Network Configuration
 - 9) Web-based and External Access
 - 10) Dial-up Controls
 - 11) Wireless Security
 - 12) Vulnerability and Patch Management
 - 13) Monitoring
- f. Physical Security
- 1) Data Center Security
 - 2) Equipment Security

2.9 Retailer Recruitment (Primary Only)

- a. Submit a plan to acquire non-traditional retailers, including new corporate/chain accounts. The plan must specify which non-traditional and corporate/chain retailers should be recruited.

2.10 Ticket Ordering System (Primary Only)

- a. Submit a plan to ensure that the Lottery's ticket ordering and inventory management systems are efficient, including potentially providing training and software to the Lottery.
- b. Provide recommendations for future enhancements and/or improvements.

2.11 Product Development Support Services

The Contractor will play an important role in the Lottery's product development program, working closely with the Lottery as plans and goals are developed. The support services required of the Contractor include consulting assistance regarding strategy, initial allocation, reorders, out-of-stock issues, product placement, and appropriate equipment. Additionally, the Contractor must provide annual product innovation presentations to Lottery staff and may be required to produce and provide sell-in sheets for retailer training.

2.12 Marketing and Sales Financial Support (Primary vendor only)

The Contractor must contribute financial support for the Lottery's own marketing and sales efforts in connection with the sale of Scratchers products which may include, but is not limited to, Scratchers produced or provided by Contractor. The Contractor must provide the Lottery with Scratchers marketing and sales support funds in the minimum amount of \$120,000 per month throughout the Contract term.

These funds are cumulative and may be expended at any time during the Contract term. The Contractor's marketing and sales support funds will be held by the Lottery until expended or until expiration of the Contract term, whichever comes first. Any marketing and sales support funds that remain in the Contractor's possession at the expiration or termination of the Contract will be remitted to the Lottery not more than 30 calendar days after Contract expiration.

While the Lottery has sole discretion with respect to the expenditure of any marketing and sales support funds, it expects to use the funds for: player and/or retailer communications and promotions, advertising, point-of-sale (POS) materials, displays and equipment, digital programs, training, sales initiatives, and sales equipment.

2.13 Market Research

The Contractor must provide market research to support the development of new Scratchers concepts, designs, theme, play styles, and player base demographics, at no additional cost to the Lottery. This research may include, but is not limited to: focus group research, web-based testing, panel studies, segmentation studies, geo-demographic studies, tracking studies, industry trend research, and collecting information from other state lotteries. In addition, any instant ticket

research conducted by or for the Contractor for other lotteries must be provided, except where permission to share this information is denied by the subject lottery.

In addition to the above, the Primary vendor will provide the Lottery with a minimum of \$120,000 annually for the Lottery's Scratchers Product Research Fund. The Secondary vendors will provide the Lottery with an annual pro rata contribution of a minimum of \$80,000 toward the Lottery's Scratchers Product Research Fund. The Secondary vendor's share will be based on its share of the prior year's Scratchers business as measured by the Lottery. The Lottery will make the final determination as to games tested and methodologies employed in the projects financed by the Scratchers Product Research Fund, although the vendors will provide input during the process and will receive a copy of the research report upon completion of the project. Artwork for concepts presented to the Lottery for research must be provided in the format necessitated by the research.

Pursuant to the provisions specified in Exhibit C, Terms and Conditions, prior to conducting research on new concepts or providing concepts to the Lottery for use in research, and at no additional cost to the Lottery, the vendors must ensure that the concepts do not infringe upon the intellectual property of any third party.

2.14 Licensed Properties (Primary vendor only)

The Contractor shall, as directed by the Lottery, provide a minimum of two licensed games of the Lottery's choosing from Contractor's portfolio, which must include all available licensed properties without exception, during each year of the Contract term at no additional cost to the Lottery.

Evaluation Criteria for Proposer Capabilities:

- The quality, completeness, relevance, breadth, and coverage of Proposer's capabilities with respect to:
 - Ticket Production
 - Graphics and Creative Design
 - Special Production Capabilities
 - Special Production or Licensed Property Ticket Strategy and Samples
 - Game Programming
 - Ticket Back
 - Other Proprietary Capabilities
 - Marketing and Sales Financial Support
 - Marketing Research
 - Complimentary Licensed Properties
- The relative strength of Proposer's quality control and security control commitments

3. Account Personnel

In this section, the Proposer has the opportunity to describe how it will staff the Lottery's account so that the Lottery's needs are best met for either Primary or Secondary. This includes identifying the positions, functions, and percentage of time to be dedicated to the Lottery account, the location of personnel, and a description of each person's background, talents, and prior experience to demonstrate how the Proposer's team is most advantageous to the Lottery. All successful Contractors (Primary and Secondary) must staff, at minimum, an account/contract manager. The Contractor must provide an account/contract manager and graphic designer, as well as at minimum 1 additional staff to provide services such as account development, research analysis, and additional account services during Lottery business hours.

- Proposer must provide a written narrative of no more than five pages explaining how its proposed Account Personnel will best meet the Lottery's needs, clearly defining any differences between their Primary and Secondary proposal. The Proposer should persuade the Lottery that its team will produce the best results due to its unique expertise, and experience of personnel.

- Proposer must also complete and submit Attachment 9, Lottery Account Personnel, identifying the personnel, years of experience, function, and percent of time to be assigned to the Lottery Account. The Account Personnel Form may be reproduced, but it should be in the same format and provide the same information as displayed in Attachment 9 contained herein.
- Proposer must complete and submit Attachment 10, Résumé Form, for each person to be assigned to the Lottery account. The Proposer must name the Account Manager and is encouraged to identify by name as many of the team members as possible. Because the Lottery will be comparing the relative staff quality of Proposers, it is advantageous to identify as many staff as possible and explain why each is the best for the position. Less consideration will be given to those categories where staff is identified as “to be determined.” The Résumé Form may be reproduced but it should be in the same format and display the same information as the Résumé Form shown as Attachment 10.

By submitting its proposal, Proposer is representing that, if awarded a contract, it will provide the same Account/Contract Manager for all Lottery projects. In the event the Account/Contract Manager leaves the Proposer’s employment at any point in the RFP process or Contract term, the Proposer must notify the Lottery and submit a replacement of like education and experience for approval by the Lottery.

Evaluation Criteria for Account Personnel:

- The total number of staff to be assigned to the Lottery account, including the percentage of time to be assigned, years of experience, and specific duties assigned;
- The overall quality of the proposed team;
- The quality and experience of the Account/Contract Manager, Graphic Artist, and individual team members to be assigned (less consideration will be given to those positions where staff is “to be determined”)

4. Ticket Samples and Packaging

4.1. Official Proposer Samples

- a. Each Proposer must submit Proposer sample tickets with its proposal that reflect all proposed ticket stocks, two packs of each proposed ticket stock. The sample tickets must accurately reflect the

Proposer's product offering to the Lottery and the pricing quoted on Proposer's Price Sheet.

- b. The official Proposer samples must incorporate the actual card stock, display printing, inks, overprinting, protective coating, scratch-off material, and imaged data being offered to the Lottery.
- c. Each Proposer must provide the specifications for, or describe in detail, the card stock, display printing techniques, inks, protective coating, scratch-off material, and overprinting used in production of the sample tickets provided.
- d. Instant tickets submitted as official Proposer samples may include tickets produced by the Proposer for other lotteries, or they may be sample tickets printed by the Proposer for this RFP or for sales presentations. They must not be computer-generated, hand-made, or contrived samples.
- e. Sample tickets must include at a minimum all required barcodes, i.e. Validation, PDF 417, interleaved 2 of 5 and UPC.
- f. Sample tickets must be in minimum pack sizes of 30 tickets from various games (consecutively numbered, undetached, and with bar coded information on the back of the tickets) showing all proposed ticket stock.
- g. Ticket samples must be packaged in shrink wrap. Proposer must demonstrate its ability to provide a package that will withstand shipping, handling, and marking with a marker, and that does not obscure or interfere with reading the barcodes correctly when scanned with devices for order filling.
- h. The perforations between tickets must be such that they will separate easily from each other by hand or when dispensed from instant ticket vending machines (ITVM), in-counter dispensers, and individual dispenser units, but not so easily that they fall apart. Separation should also not be so difficult that the ticket tears upon being dispensed from vending equipment or dispensers.

4.2 Press Ticket Samples

All Proposers must submit three sheets of ticket samples as they come off the Proposer's press (including imaging) for each of the following

approximate ticket sizes: 2.5" x 4", 4" x 4", 6" x 4", 8" x 4", 9" x 4", 10" x 4", 11" x 4" and 12" x 4". The sheets of ticket samples must be indicative of tickets produced on the web configuration which forms the basis for the Proposer's Price Sheet (Attachment 3).

Proposer must describe individual ticket characteristics that would impact the configuration proposal and cause it to change.

Note: If the press sheets are automatically slit/cut as they come off the Proposer's press, the Proposer may reattach the tickets and submit the "reconstructed" press sheet. The Proposer may submit press sheets outside of the required tolerances, provided they accurately reflect the web configuration that the Proposer is proposing.

Evaluation Criteria for Ticket Samples and Packaging:

Ticket Quality

- Graphic qualities, legibility, color quality, and brightness of display printing;
- Ability to abut different color inks with a minimum amount of trap while holding registration;
- Crispness of graphics and color covering the imaged data;
- The use of tones/screens and security patterns and designs in the uncovered area;
- Smooth integration of scratch-off area with the background graphics;
- Smoothness and "scratchability" of the scratch-off material and amount of scratch-off material residue;
- Crispness and legibility of imaged data symbols in uncovered play area; and
- Maximization of available space for text printing and play data.

Packaging and Dispensing

- Shrink wrapping quality (i.e. clear, durable, tight-fitting around tickets, able to withstand shipping and handling, markable, and does not interfere with reading barcodes correctly when scanned with order-filling devices);
- Durability, ease, and neatness of separation of tickets at perforations when separated by hand or dispensed from ticket-dispensing equipment.

D. Price Proposal

1. Pricing Proposals – Background

a. Primary Contract

The Lottery expects that the Primary Contractor will be assigned approximately 70% of the Lottery's Scratchers manufacturing over the life of the Contract. Proposer's proposal for the Primary Contract must submit a Core Price Proposal based solely on percent of sales. The percent of sales proposal must specify the amount per price point, including tickets up to \$100, on Attachment 3, Price Sheet. **Primary Contract Proposers must also submit a Secondary Contract pricing proposal, as set forth below.**

The percent of sales pricing option must be based on the actual sale of Scratchers games produced by the Proposer, with Net Sales defined as gross sales (total tickets sold multiplied by ticket price point) minus the cost of free tickets (number of free tickets multiplied by ticket price point). Free tickets issued are not counted as sales by the Lottery. Historically, the Lottery has issued most games with a 10% to 12% seeding of free tickets. However, the Lottery may raise or lower the seeding of free tickets.

b. Secondary Contract

Secondary Contract pricing proposals must include a Core Price Proposal based on price per thousand for each price point, including tickets up to \$100, on Attachment 3, Price Sheet.

2. Core Price Proposal – General

- a. The Core Price Proposal for both percent of sales and price per thousand pricing includes all mandatory ticket printing requirements and specifications set forth in Exhibit A, Scope of Services and Service Specifications, including but not limited to the following:

- Ten-point recyclable card stock
- Seven display colors
- Five overprint colors
- Four color process
- Alternating scenes within a pack
- Different scenes within a game
- Continuous scenes

- Specialty inks: metallic, fluorescent, and any others offered
 - Multiple color imaging of play symbols
 - Marking system (e.g. bingo, crossword)
 - Full varnish gloss coating
 - Spot varnish gloss coating
 - U.V. spot coverage
 - U.V. full coverage
 - Color pulsing
 - In addition to black, at least two colors on the ticket back
 - Screens of color on display and scratch-off areas of tickets
 - Multiple color full-bleed washes on ticket
 - Created colors on display side or scratch-off area of the ticket
 - Graphic design techniques such as use of photography, integrated scratch-off, or unusually shaped scratch-off areas
 - At least seven separate game play areas
 - Special barcode technology (including QR Codes)
 - Custom fonts/characters
 - 2nd Chance Program files (Hash Files) for non-winning ticket codes, for all games
 - Up to 150,000 Void samples per game
 - Electronic-Point-of-Sale (ePOS) art file developed for monitor display
 - Instant ticket vending equipment or in-counter tray insert card art file; Insert card dimensions of 4" x 4" size, which is subject to change, details to be provided in customer specifications.
- b. The Contractor must reimburse the Lottery for the cost of travel and per diem for one Lottery staff member to visit vendor facilities or attend vendor-sponsored conference(s) regarding industry innovations, and/or technology developments for every four games printed. If the Lottery attends fewer than the specified number of trips, the Lottery will receive a \$5,000 credit per person per occasion.
- c. The Contractor must also reimburse the Lottery for travel and per diem expenses for up to three Lottery staff members or third-party auditors in connection with facility/vendor start-up audits, audits of physical and logical security controls, or other necessary activities for the life of the contract.

3. Credits

The Proposer should provide a list of any monetary credits that are given to the Lottery when specific Core Price Proposal services are not utilized in a particular game. These should include, but not be limited to, credits for non-

use of void samples, register toppers, instructional how-to-play games, and on-site press checks. Proposer must identify the amount of the credit and the service to which it applies on Attachment 3.

4. Pricing Grid and Discounts

- a. Price amounts must be submitted for each of the ticket sizes and order quantities listed in the price grid in Attachment 3.
- b. Pricing for reorders may be lower than, but may not exceed, the cost of the original order, regardless of whether the game includes special features or services. Reorder is defined as an order for a game that the Lottery has previously sold, which is reprinted with the same graphics and prize structure; the game number may or may not be the same. Though not required, any pricing discounts/rebates for reorders, and color changes permitted on reorders at no cost to the Lottery will reflect favorably on the Proposer and should be identified on Attachment 3.
- c. If the Proposer provides discounts upon reaching a specific quantity of tickets ordered within a contract year, the Proposer may submit additional price per thousand grids to reflect these discounts, which should be broken down based on single size ticket units. Single size ticket units are based on a 2.5" x 4" ticket size and calculated as follows:

$(\text{Height} \times \text{Width} / 10 \text{ square inches}) \times \text{Quantity} = \text{total equivalent single size units}$

Example:

Order of 20,000,000 tickets of a 6" x 4" size

$(6" \times 4" / 8) \times 20,000,000 = 60,000,000 \text{ equivalent single size units}$

5. Special Features and Other Services

- a. The Lottery may occasionally request additional features and services, including specialty techniques, beyond those included in the Core Price Proposal. The Lottery makes no commitment to order any of these features or services. At a minimum, special features and other services pricing must include the following:
 - (1) Additional display color (beyond seven colors)
 - (2) Additional overprint color (beyond five colors)
 - (3) Specialty Paper/Proprietary Paper (as described by Proposer in Attachment 7)

- (4) Holographic Paper (as described by Proposer in Attachment 7)
- (5) Die cutting
- (6) Folds
- (7) Pouches
- (8) Multi-page books
- (9) Alternative ticket stock (12 pt.)
- (10) Accelerated delivery
- (11) Additional regular sized samples/voids (beyond 150,000)
- (12) Pack Inserts
- (13) Additional scratch-off play area on ticket back
- (14) Insert cards for instant ticket vending equipment and in-counter trays
- (15) Holographic or specialty paper insert cards for instant ticket vending equipment and in-counter trays
- (16) Coupons (non-digital)
- (17) Coupons (digital)
- (18) How-to-Play videos
- (19) Instructional How-To-Play Games
- (20) 360° extended marketing support, which may include, but is not limited to: player engagement strategies, interactive and innovative programs, and consumer/retailer promotions.

b. Services Pricing

In Attachment 3, Proposer must provide pricing for the special features and services set forth above. Proposer may choose to provide pricing either as a flat fee per game or cost per thousand tickets. If Proposer intends to offer any special features or services at no additional cost above the Core Price Proposal, Proposer must identify these features/services in Attachment 7 and specify “No Cost” or “\$0”.

Certain Special Features/Services listed above require Proposer to provide additional information on Attachment 3. With respect to these items, Proposer must include: 1) a detailed description of the feature; 2) technical specifications, if appropriate; and 3) pricing (flat fee or cost per thousand).

E. Additional Offers

The Proposer is encouraged, but is not required, to propose Additional Offers that provide innovative features, services, and solutions related to the production, marketing, distribution, or sale of Scratchers, which are not otherwise specified but fall within the Scope of the Contract. The Lottery is particularly interested in features, services, and solutions that will result in:

- Growth of product sales and player base
- Increased diversity and quality of Scratchers products;
- Technological advances reflecting consumer behavior in the marketplace;
- Improved customer service to retailers and Scratchers players;
- Improved brand perception;
- Benefit retail positioning and impact;
- Destruction and/or shredding of unused tickets; and/or
- Improved operational efficiency.

The Proposer must provide a specific description of each Additional Offer. Each description should include (1) the offer and its features, (2) how the offer is designed to benefit the Lottery, (3) the value of derived benefits, (4) specific pricing, and (5) any limitations.

Additional Offers will not be rated, but may be considered as part of the Lottery's best value evaluation.

A Proposer that submits Additional Offers should provide any applicable pricing information on Attachment 3E - Additional Offers Price Sheet (to be submitted in the Additional Offers Package).

III. PROPOSAL EVALUATION AND AWARD

The Lottery will conduct a fair and impartial evaluation of proposals received in response to this RFP. The complete evaluation process is comprised of the following phases:

1. Mandatory Submittals Review
2. Rated Submittals Evaluation
3. Cost Proposal Assessment
4. Best Value Proposal Determination

Proposals will be reviewed by the Lottery evaluation team in accordance with the criteria and ratings indicated in this RFP. The Lottery may request clarification from a Proposer during any phase of the evaluation process.

A. Mandatory Submittals Review (Pass/Fail)

The documents required in Section II.A must be completed and submitted before further consideration of a Proposer's proposal.

All proposals shall be reviewed to verify the Proposer has met the RFP submission requirements. Proposals that have not followed the rules, do not meet minimum content, requirements, qualifications, quality standards, make unacceptable exceptions to the terms and conditions, or are non-responsive to the required responses in this RFP will be eliminated from further consideration. Proposals meeting the Mandatory Submittals requirements will advance to Rated Submittals Evaluation.

B. Rated Submittals Evaluation

The information requested in Section II.C, Rated Submittals and Evaluation Criteria, as listed above, will be evaluated using the criteria identified therein. In evaluating that section, slightly more importance will be given to sections 2. Bidder Capabilities and section 3. Account Personnel.

The information requested in Section II.C, Rated Submittals, and listed herein will be rated in accordance with the Point Scoring Schedule and Rating and Definition charts below. Proposals determined to have met the RFP mandatory requirements will be evaluated by the evaluation team. As a part of this evaluation, the Lottery may require proposing firms to clarify the information submitted. This clarification process may be conducted through written or electronic correspondence. It is in the proposing firm's best interests to submit a thorough and complete proposal. Proposals will be evaluated and scored in accordance with the schedule noted below.

The rated submittal section will be evaluated and rated in accordance with the Rating and Definition chart on the next page.

Rating and Definition

Rating	Definition
Superior	Proposal exceptionally exceeds performance or capability requirements; proposal demonstrates extraordinary strengths that will more than significantly benefit the Lottery.
Significantly Exceeds	Proposal significantly exceeds performance or capability requirements; proposal demonstrates exceptional strengths that will significantly benefit the Lottery.
Exceeds	Proposal exceeds performance or capability requirements; proposal has one or more strengths that will benefit the Lottery.
Meets	Proposal meets specified minimum performance or capability requirements necessary for acceptable contract performance.
Meets with Exceptions	Proposal demonstrates weak performance or capability standards necessary for minimum contract performance; proposal has one or more weaknesses that offset any strengths.
Does Not Meet	Proposal fails to meet specified minimum performance or capability requirements. Proposals with an unacceptable rating are not awardable.

C. Cost Proposal Assessment

All Proposers must complete and submit Attachment 3, Price Sheet as part of the proposal. The costs identified in the Price Sheet must be provided in US dollars and cover all services outlined in the Proposed Contract Terms and Conditions, Exhibit A, Scope of Work.

The Lottery will assess each Proposer's Price Sheet to determine its responsiveness to the RFP's requirements and its overall value to the Lottery. As part of this assessment, the Lottery will also compare Price Sheets from each of the Proposers.

Methodology:

The Lottery will analyze submitted Price Sheets taking into consideration scenarios of Core Pricing alone and Core Pricing with Special Features and Credits, and will apply any applicable preferences, as defined below.

1. Small Business Preference

- a. Small Businesses (SB). If there is at least one (1) California certified SB competing as the lead or prime contractor and the lowest qualified bid is submitted by a non-small business, the SB Preference shall be applied and computed as follows:
 - i. Only Proposers that are qualified Proposers shall be entitled to SB preference.
 - ii. The SB preference amount shall be five percent of the cost submitted by the lowest qualified non-small business proposer. This amount shall be deducted from the submitted costs of all qualified certified SB proposers.
 - iii. After all the calculations are determined, the proposer(s) with the lowest cost qualified bid (and including all incentive calculations) shall be selected for contract award.
 - iv. This calculation is only used in the evaluation process and shall not be included in the final agreement.

SB certification information can be found at the following internet web site: <https://www.dgs.ca.gov/PD/About/Page-Content/PD-Branch-Intro-Accordion-List/Office-of-Small-Business-and-Disabled-Veteran-Business-Enterprise/Certification-Program>

- b. Non-Small Business (Non-SB). If there is not a responsive California certified SB competing as the lead or prime contractor and the lowest qualified bid is submitted by a Proposer that is not eligible for Non-SB preference (as described herein), then Non-SB preference shall apply and be calculated as follows:
 - i. Only Proposers that are qualified Proposers and shall provide a minimum of 25% SB participation in the performance of the contract shall be entitled Non-SB preference.
 - ii. The Non-SB preference shall be five percent of the cost submitted by the lowest qualified Proposer that is not eligible for this preference. The amount shall be deducted from the submitted costs of all qualified Proposers that meet the 25% Small Business (SB) participation requirements.
 - iii. After all the calculations are determined, the Proposer(s) with the lowest cost qualified bid (and including all incentive calculations) shall be selected for contract award.

- iv. This calculation is only used in the evaluation process and shall not be included in the final agreement.

SB certification information can be found at the following internet web site: <https://www.dgs.ca.gov/PD/About/Page-Content/PD-Branch-Intro-Accordion-List/Office-of-Small-Business-and-Disabled-Veteran-Business-Enterprise/Certification-Program>

(Note: Non-SB Preference cannot displace a direct award to a California certified Small Business or a California certified Micro Business).

During the Contract term, the Lottery's SMP preference compliance shall be calculated based on the Lottery's completed work as verified by an audit of Lottery's invoices and Lottery's payments to designated subcontractors. Attachment 6, Small and Microbusiness Participation, if applicable, shall be completed by the Proposer.

- c. The preference under this subsection may not exceed \$50,000.

2. Disabled Veteran Business Enterprise (DVBE) Preference

- a. The Lottery recognizes disabled veterans for their service by establishing a Disabled Veteran Business Enterprise (DVBE) Participation Program. The program is intended to further veterans' participation in Lottery contracting, promote competition and encourage greater economic opportunity.
- b. The DVBE Program Requirement is mandatory for this project. However, Proposers may receive additional percentage incentive based on the DVBE participation levels included in their proposal. Percentages shall be determined as follows:

DVBE Incentive:

<u>Confirmed DVBE Participation</u>	<u>DVBE Incentive</u>
5% or Over	5%
4% to 4.99%	4%
3.01% to 3.99%	3%
0% to 3%	None – Mandatory

- c. DVBE incentive shall applied as follows:
 - 1. Only Proposers that are qualified Proposers shall be eligible for the DVBE incentive.

2. The DVBE incentive amount shall be calculated by multiplying the eligible Proposer's specific DVBE incentive percentage by the lowest qualified Proposer's cost. This amount shall be deducted from the cost submitted by the eligible Proposer. The incentive under this section may not exceed \$100,000 and the combined DVBE incentives and SB preferences may not exceed \$100,000.
3. SB preference (and non-SB preference) shall be calculated prior to the DVBE incentive, and in no event shall application of the DVBE incentive displace an award to a small business with a non-small business.
4. After all the calculations are determined, the Proposer(s) with the lowest cost qualified bid (and including all incentive calculations) shall be selected for contract award.
5. This calculation is only used in the evaluation process and shall not be included in the final agreement.

DVBE certification information can be found at the following [internet web site](#).

D. Best Value Evaluation

Unless this solicitation is cancelled or withdrawn, Agreement(s) will be awarded to the Proposer(s) that meet the requirements of this RFP and submit the best value proposal for each Agreement, as determined by Lottery. The best value proposal is the proposal that provides the best overall value to the Lottery with respect to quality and pricing while fulfilling the Lottery's mandate to: 1) maximize the benefits to the state in relation to the areas of security, competence, experience, and timely performance; 2) take into account the particularly sensitive nature of the California Lottery; and 3) act to promote and ensure integrity, security, honesty, and fairness in the operation and administration of the Lottery.

In determining the best value proposal, the Lottery will evaluate each Proposer's Mandatory Submittals, Rated Submittals, and Price Proposal. The Lottery may also consider any Additional Offers submitted by the Proposer as part of its best value evaluation.

COMPETITIVE RANGE

As part of the best value evaluation process, the Lottery may select a Proposer based on the proposals submitted or it may establish a competitive range and hold discussions with each Proposer in the range. A competitive range process

would include the most highly rated Proposer consistent with the need for an efficient competition. If the process is conducted, discussions will be undertaken with the intent of allowing each Proposer the opportunity to revise its proposal only in those specific areas identified by the Lottery. Proposers will not be permitted to withdraw their proposals or to modify them in any other way. The competitive range discussions may include bargaining. Bargaining includes persuasion, alteration of assumptions and positions, and give-and-take, and may apply to price, technical requirements, type of contract, or other terms.

The Lottery may indicate to, or discuss with, each Proposer in the competitive range any weaknesses, deficiencies, and other aspects of its proposal such as price, technical approach, and terms that could, in the opinion of the Lottery, be altered or explained to enhance the proposal's best value evaluation. The scope and extent of discussions are a matter solely within the Lottery's discretion.

All proposers will be notified in writing when the best value proposal(s) have been selected. The highest rated best value proposer will be awarded a primary contract. Other responsive, responsible proposers may be awarded a secondary contract.

The Proposer with the lowest pricing may not be selected if the Lottery determines that an award to another Proposer maximizes overall benefits to the Lottery. The Lottery may elect to pay a fair and reasonable rate to select a proposal that overall is superior.

E. Right to Cancel

The Lottery reserves the right to cancel any and all elements of the solicitation or rescind an announced award at any time up to and including execution of the actual Agreement(s) with the apparent successful Proposer(s).

IV. DELIVERY OF PROPOSAL

A. Delivery

All proposals must be submitted to a Lottery Secure File Share site (Liquid Files) with required attachments, except for Attachment 12, Ticket Samples. The Liquid Files Instruction Guide is available on the California State Contracts Register.

Liquid Files transfers are to be addressed to kblunt@calottery.com and ijen@calottery.com. **Do not send to solicitations@calottery.com as it will**

not be received. Hard copies of proposals are not a substitute for electronic submission.

Attachment 12, Ticket Samples, are to be physically delivered to the Lottery, and received by the Proposals Due deadline set forth in Section I.D, as follows:

California State Lottery
Attn: Kevin Blunt, PSS
RFP R002746
700 N. 10th Street
Sacramento, CA 95811

Proposer's responses are to be structured in the same format as the RFP, with the same heading, numbering, and bullet format for all sections and subsections. using at least 12-point Arial font, consecutively numbered, and sections clearly marked or labeled. The Proposal shall be in the order set forth below.

1. Transmittal Letter (Attachment 1)
2. Required Attachment Checklist (Attachment 2)
3. Price Sheet(s) (Attachment 3)
4. Certification (Attachment 4)
5. Disabled Veteran Business Enterprise Participation (DVBE) – Mandatory (Attachment 5)
6. Small and Microbusiness Participation (SMP) – If applicable (Attachment 6)
7. Payee Data Record STD 204 (Attachment 7)
8. Guaranty (Attachment 8)
9. Lottery Account Personnel (Attachment 9)
10. Résumé Form (Attachment 10)
11. Confidential General Contractor Disclosure (Attachment 11)
12. Liquid Files Instructions (Attachment 13)
13. GenAI Impact Assessment Form (Attachment 15)
14. Rated Submittals (Attachment 14)
15. Ticket Samples (Attachment 12) (to be submitted as physical copies)

RFP attachments and/or forms that require a signature must be signed by a person who is identified on the Certification as being authorized to contractually bind the contractor's firm. A pdf signed copy of those documents will be accepted, however the originally signed document may be requested at a later date.

The Proposer is solely responsible for ensuring timely receipt of their proposals.

ATTACHMENT 1 – TRANSMITTAL LETTER

All Proposers must submit a cover letter indicating that it is responding to the RFP and that all of the RFP requirements have been met. The letter must be signed by a representative identified in the Proposer Certification as legally authorized to contractually bind the Proposer.

All Proposers must disclose whether they consulted with others in the preparation of this proposal. If others were consulted, they must identify those with whom they consulted and provide contact information. Any change or addition to those consulted while this RFP is pending must be reported to the Lottery. Failure to do so may result in a decreased rating level or rejection of a Proposer's proposal. The Lottery reserves the right to contact these consultants. Under no circumstances may the Proposer submitting or considering the submittal of a proposal consult with a competing Proposer.

All Proposers must also disclose any potential, actual or apparent conflicts of interest that may exist between any current client and the Lottery. Because of the complexities involved in defining conflicts of interest, the Lottery will make a final determination as to whether a disqualifying conflict exists. Note: If there are no conflicts, provide a statement to this effect.

All Proposers must designate in their transmittal letter the type of contract for which they are competing. The Proposer may submit a proposal to be the Primary Contractor, a Secondary Contractor, or both. However, any Proposer competing to be the Primary Contractor who is not awarded that Contract will be considered for a Secondary Contract, unless the Proposer specifies that it is only interested in the Primary Contract.

If a Proposer submits a single proposal intended to serve as a proposal for both Primary and Secondary Contracts, it is the Proposer's responsibility to identify any differences in its proposal that would apply only where a specific type of contract is awarded. Where Proposer fails to identify such differences, the terms of Proposer's proposal will be deemed applicable regardless of whether a Primary or Secondary Contract is awarded.

The Proposer must identify any mandatory requirement of this RFP that they are unable to satisfy at the time the bid is submitted and explain how they would propose to address the requirement prior to executing a contract with the Lottery.

ATTACHMENT 2 – REQUIRED ATTACHMENT CHECKLIST

A complete proposal package will consist of the items identified below.

Complete this checklist to confirm the items in your proposal. Place a check mark or “X” next to each item submitted to the Lottery. For the proposal to be responsive, all required attachments must be returned. This checklist must be returned with the proposal package.

<u>Check Box</u>	<u>Attachment</u>	<u>Attachment Name/Description</u>
☐	Attachment 1	Transmittal Letter
☐	Attachment 2	Required Attachment Checklist
☐	Attachment 3	Price Sheet*
☐	Attachment 4	Certification
☐	Attachment 5	Disabled Veteran Business Enterprise Participation (DVBE) (Mandatory)
☐	Attachment 6	Small and Microbusiness Participation (SMP) - if applicable
☐	Attachment 7	Payee Data Record (STD 204)*
☐	Attachment 8	Guaranty
☐	Attachment 9	Lottery Account Personnel*
☐	Attachment 10	Résumé Form*
☐	Attachment 11	Confidential General Contractor Disclosure*
☐	Attachment 12	Ticket Samples – physical specimens, to be delivered to the Lottery
☐	Attachment 13	Liquid Files Instructions*
☐	Attachment 14	Rated Submittals
☐	Attachment 15	GenAI Impact Assessment Form*
N/A	Attachment 16	Proposed Contract Terms and Conditions – Do Not Return

* Form is to be downloaded separately.

ATTACHMENT 3 – PRICE SHEET

Proposer must complete and submit the Price Sheet form at the time of proposal submission.

The full Price Sheet with instructions is available on caleprocure as a separate attachment.

ATTACHMENT 4 – CERTIFICATION

I. PROPOSER INFORMATION

Proposer's Name:

Street Address:

City/State/Zip Code:

Contact Person:

Telephone:

Email:

List person(s) legally authorized to contractually bind the Proposer.

1. Name:

 Title:

Address:

2. Name:

 Title:

Address:

(Attach additional pages if needed)

II. PROPOSER CERTIFICATION

By executing this Certification, the Proposer acknowledges that failure to comply with any of this Certification's terms may result in disqualification from participation in the solicitation process. The Proposer has reviewed, agrees to, and certifies the following:

- a. The Proposer meets all minimum qualifications specified in the section entitled "Minimum Proposer Qualifications."
- b. The Proposer agrees the Lottery will not be liable for any of the costs incurred by Proposer in preparing, submitting, or otherwise participating in a response to this solicitation.

ATTACHMENT 4 – CERTIFICATION

- c. The Proposer's response to the solicitation constitutes an irrevocable offer for 180 days following the date proposals are due to the Lottery.
- d. The Proposer has made no attempt to induce any other person or entity to submit or not to submit a proposal.
- e. The prices in the proposal have been developed and calculated independently, without consultation, communication or agreement on any matter relating to such prices with any other Proposer or competitor for the purpose of restricting competition or providing a competitive advantage.
- f. The Proposer has read the solicitation, understands it, and agrees to comply with all terms and conditions.
- g. The Proposer agrees to provide insurance/bond coverage as described in the Contract Terms and Conditions.
- h. Recognizing that initial payments to the Contractor may be delayed approximately 45 days, the Proposer has sufficient resources to meet his/her obligations during this period.

III. CONTRACTOR CERTIFICATION CLAUSES

By executing this Certification, the prospective Contractor or its authorized representative certifies under penalty of perjury that the prospective Contractor has reviewed and agrees to be bound to the Contract Terms and Conditions and the following Contractor Certification Clauses.

- A. NONDISCRIMINATION CLAUSE:** During the performance of this Contract, Contractor and its subcontractors will not unlawfully discriminate, harass or allow harassment, against any employee or applicant for employment because of sex, sexual orientation, race, color, ancestry, religious creed, national origin, disability (including HIV and AIDS), medical condition, age, marital status, and denial of family care leave. Contractor and subcontractors will ensure that the evaluation and treatment of their employees and applicants for employment are free from such discrimination and harassment. Contractor and subcontractors will comply with the provisions of the Fair Employment and Housing Act (Government Code Section 12990 *et seq.*) and the applicable regulations promulgated thereunder (California Code of Regulations, Title 2, Section 7285.0 *et seq.*). The applicable regulations of the Fair Employment and Housing Commission implementing Government Code Section 12990 (a-f), set forth in Chapter 5 of Division 4 of Title 2 of the California Code of Regulations are incorporated into the Contract by reference and made a part thereof as if set forth in full. Contractor and its subcontractors will give written notice of their obligations under this clause to labor organizations with which they have a collective bargaining or other agreement.

ATTACHMENT 4 – CERTIFICATION

The Contractor will include the nondiscrimination and compliance provisions of this clause in all subcontracts to perform work under the Contract.

B. DRUG-FREE WORKPLACE REQUIREMENTS: Contractor will comply with the requirements of the Drug-Free Workplace Act of 1990 and will provide a drug-free workplace by taking the following actions:

1. Publish a statement notifying employees that unlawful manufacture, distribution, dispensing, possession or use of a controlled substance is prohibited and specifying actions to be taken against employees for violations.
2. Establish a Drug-Free Awareness Program to inform employees about:
 - a. the dangers of drug abuse in the workplace;
 - b. the Contractor's policy of maintaining a drug-free workplace;
 - c. any available counseling, rehabilitation and employee assistance programs; and,
 - d. penalties that may be imposed upon employees for drug abuse violations.
3. Every employee who performs work under the Contract must receive a copy of the Contractor's drug-free workplace policy statement and agree to abide by the terms of the Contractor's statement.
4. Failure to comply with these requirements may result in suspension of payments under the Contract or termination of the Contract, and the Contractor may be ineligible for award of any future state contracts if the Contractor has made false certification or violated the certification by failing to carry out the requirements as noted above.

C. NATIONAL LABOR RELATIONS BOARD CERTIFICATION: The Contractor certifies that no more than one final unappealable finding of contempt of court by a federal court has been issued against the Contractor within the immediately preceding two-year period because of the Contractor's failure to abide by a federal court order to comply with a directive of the National Labor Relations Board.

D. DOMESTIC PARTNERS: For contracts executed or amended after July 1, 2004, the Contractor may elect to offer domestic partner benefits to the Contractor's employees. The Contractor cannot require an employee, on the basis of marital or domestic partner status, to cover the costs of providing any benefits which have otherwise been provided to all employees.

ATTACHMENT 4 – CERTIFICATION

IV. DOING BUSINESS WITH THE STATE OF CALIFORNIA

The following laws apply to persons or entities doing business with the State of California.

- A. CONFLICT OF INTEREST:** The Contractor is aware of the following provisions regarding current or former state employees. If the Contractor has any questions about the status of any person rendering services or involved with the Contract, the Lottery will be contacted immediately for clarification.

Current State Employees:

1. No state officer or employee may engage in any employment, activity, or enterprise from which the officer or employee receives compensation or has a financial interest, and which is sponsored or funded by any state agency, unless the employment, activity, or enterprise is required as a condition of regular state employment.
2. No state officer or employee may contract as an independent contractor with any state agency to provide goods or services.

Former State Employees:

1. For the two-year period from the date he or she left state employment, no former state officer or employee may enter into a contract in which he or she engaged in any of the negotiations, transactions, planning, arrangements or any part of the decision-making process relevant to the Contract while employed in any capacity by any state agency.
2. For the 12-month period from the date he or she left state employment, no former state officer or employee may enter into a contract with any state agency if he or she was employed by that state agency in a policy-making position in the same general subject area as the proposed contract within the 12-month period prior to his or her leaving state service.
3. If the Contractor violates any of the above provisions, such action by Contractor will render this Contract void.
4. Members of boards and commissions are exempt from this section if they do not receive payment other than payment for each meeting of the board or commission, payment for preparatory time, and payment for per diem.

- B. LABOR CODE/WORKERS' COMPENSATION:** The Contractor is aware of the provisions which require every employer to be insured against liability for Worker's

ATTACHMENT 4 – CERTIFICATION

Compensation and the Contractor agrees to comply with such provisions before commencing work on this Contract.

- C. AMERICANS WITH DISABILITIES ACT:** The Contractor assures the Lottery that it complies with the Americans with Disabilities Act (ADA) of 1990, which prohibits discrimination on the basis of disability, as well as all applicable regulations and guidelines issued pursuant to the ADA and all California accessibility statutes and regulations.

D. CORPORATE QUALIFICATIONS TO DO BUSINESS IN CALIFORNIA:

1. The Contractor certifies it is currently qualified to do business in California.
2. The Contractor certifies that it is in good standing with the California Secretary of State's Office.

- E. AIR OR WATER POLLUTION VIOLATION:** The Contractor will not be: (1) in violation of any order or resolution not subject to review promulgated by the State Air Resources Board or an air pollution control district; (2) subject to cease and desist order not subject to review issued pursuant to Section 13301 of the Water Code for violation of waste discharge requirements or discharge prohibitions; or (3) finally determined to be in violation of provisions of federal law relating to air or water pollution.

- F. PAYEE DATA RECORD FORM STD. 204:** This form will be completed by all Contractors except state agencies or other governmental entities.

V. CONFIDENTIALITY STATEMENT

- A. I warrant that neither the Contractor nor its employees will disclose any document, diagram, or information made available to it by the Lottery. I warrant that only those employees who are authorized and required to use such information will have access to it.
- B. I further warrant that all materials provided by the Lottery will be returned promptly after use and all copies or derivations of the materials will be physically and/or electronically destroyed. I will include with the returned materials a letter attesting to the complete return of materials and documenting the destruction of copies and derivations. Failure to comply may subject the Contractor to criminal and civil liability. I authorize the Lottery to inspect and verify the above.
- C. I further warrant that if awarded the Contract, the Contractor will not disclose to any third-party information pertaining to the Contract prior to receiving the written consent of the Lottery.

ATTACHMENT 4 – CERTIFICATION

I, the official named below, CERTIFY UNDER PENALTY OF PERJURY that I am duly authorized to legally bind the Proposer and prospective Contractor to the clause(s) above and that the signature affixed below and dated constitutes a certification that all information provided by the Proposer and prospective Contractor is true and correct.

Contractor/Proposer Firm Name:

By (*Authorized Signature*):

Name of Person Signing:

Title of Person Signing:

Date Executed: _____

ATTACHMENT 5 – DISABLED VETERAN BUSINESS ENTERPRISE PARTICIPATION (DVBE) (MANDATORY)

The Lottery recognizes disabled veterans for their service by establishing a Disabled Veteran Business Enterprise (DVBE) Participation Program. The program is intended to further veterans' participation in Lottery contracting, promote competition and encourage greater economic opportunity.

The Lottery has established participation goals for DVBEs, as defined in the California Military and Veterans Code, of at least 3% of overall dollars expended for Lottery contracts annually. The Lottery determines whether to include DVBE participation requirements in specific solicitations based on the availability of contracting or subcontracting opportunities within the scope of services of the particular contract.

A 3% mandatory participation is required for this solicitation. In order to encourage additional DVBE participation, the Lottery has applied a DVBE incentive as follows:

<u>Confirmed DVBE Participation</u>	<u>DVBE Incentive</u>
5% or Over	5%
4% to 4.99%	4%
3.01% to 3.99%	3%
0% to 3%	None - Mandatory

A Proposer may achieve participation by qualifying as a DVBE and/or by contracting with DVBE subcontractors. DVBEs must perform a commercially useful function, excluding media placement costs, related to the bid specifications as required by Military and Veterans Code section 999 (b)(5)(B). The Lottery will determine whether Proposer have achieved qualifying levels of participation by comparing each Proposer's verified DVBE percentage to the Proposer's Price Sheet.

The incentive is applied in determining the lowest monetary bid or best value by reducing the qualified Proposer's price by the amount of the incentive as computed based on the lowest price submitted by a responsive Proposer. This reduction is applied solely for evaluation purposes. However, where the Proposer with the lowest monetary bid or best value, prior to application of the incentive, is a California certified small business, only other certified small businesses will be eligible to receive the incentive bonus. If after application of incentives, two or more responsive bids tie for lowest monetary bid or best value, the contract will be awarded to the Proposer with the highest level of DVBE participation.

ATTACHMENT 5 - DISABLED VETERAN BUSINESS ENTERPRISE PARTICIPATION (DVBE) (MANDATORY)

A DVBE may also qualify as a small business if it independently meets the Small and Micro Business Participation Program requirements. (See Attachment 6, Small and Micro Business Participation)

For certification purposes, a “disabled veteran” must be a veteran of the U.S. military, naval, or air service, have a service-connected disability of 10% or more, and reside in California.

To be eligible for certification as a Disabled Veteran Business Enterprise:

- At least 51% of the business must be owned by one or more disabled veterans;
- Daily business operations must be managed and controlled by one or more disabled veterans; and
- The home office must be located in the United States. (The home office cannot be a branch or subsidiary of a foreign corporation, foreign firm, or other foreign-based business.)

In order to count toward DVBE participation, DVBEs must be certified as such by the Department of General Services at the time the bid is submitted to the Lottery. The Proposer must submit with their bids (1) a copy of the DVBE certification for each DVBE and (2) the attached DVBE forms, completed and signed as indicated. Contact the Department of General Services, Office of Small Business and DVBE Services with certification questions or visit DGS’s Website at www.dgs.ca.gov.

During the term of the Contract, the successful Proposer must provide annual DVBE reports to the Lottery’s Contract Development Services Section showing DVBE participation at the levels committed to in the bid documents. In addition, the successful Proposer must provide a final report at the end of the Contract.

Instructions:

The Proposer must complete “Subcontractors to be Utilized” section for each DVBE subcontractor to be counted toward DVBE participation and include the form as part of their bids. [Please duplicate the page for additional DVBE businesses.] Any Proposer that is a certified DVBE and wishes to be counted toward DVBE participation must complete “DVBE Proposer” section and submit it as part of its bid.

For questions regarding these instructions or attachments, please contact the Lottery’s Small and DVBE Program Specialist at (916) 822-8069.

**ATTACHMENT 5 - DISABLED VETERAN BUSINESS ENTERPRISE PARTICIPATION
(DVBE) (MANDATORY)**

SUBCONTRACTORS TO BE UTILIZED

This form must be completed and signed by the Proposer and the DVBE subcontractor to be utilized. Please duplicate this page for additional DVBE businesses.

Name of DVBE: _____

DVBE Certification: # _____

DVBE Contact Person: _____

DVBE Street Address: _____

City/State/Zip: _____

Email: _____

Telephone: _____ **Fax:** _____

Goods/Services to be provided: _____

Percentage Participation: _____% (percent of the total contract price to be paid to the DVBE subcontractor for goods and/or services identified above)

By signing below, the Proposer indicates its intent to utilize the DVBE identified above as a supplier/subcontractor of the goods and/or services indicated, for the dollar amount represented by the percentage set forth above. The Proposer also certifies that all information contained herein is true and correct. This form must be signed by a person legally authorized to contractually bind the Proposer.

Proposer's Authorized Signature: _____ **Date:** _____

Name of Person Signing: _____

Company Name: _____

**ATTACHMENT 5 - DISABLED VETERAN BUSINESS ENTERPRISE PARTICIPATION
(DVBE) (MANDATORY)**

By signing below, the DVBE certifies it has submitted a bid to the above-referenced Proposer and is ready, willing, and able to provide the goods and/or services identified above. This form must be signed by a person legally authorized to contractually bind the DVBE.

DVBE's Authorized Signature: _____ **Date:** _____

Name of Person Signing: _____

Company Name: _____

DVBE PROPOSER

Proposer must complete and sign this form if Proposer is a DVBE and intends to count goods and/or services it provides towards DVBE participation on this contract.

Proposer's Name: _____

DVBE Certification: # _____

Contact Person _____

Goods/Services to be provided: _____

Percentage Participation: _____ % (percent of the total contract price represented by the goods/services to be provided by the DVBE Proposer (pass-through goods and/or services do not count))

By signing below, the Proposer indicates that it will provide the goods and/or services indicated for the dollar amount represented by the percentage set forth above. The Proposer also certifies that all information contained herein is true and correct. This form must be signed by a person legally authorized to contractually bind the Proposer.

Proposer's Authorized Signature: _____

Date: _____

Name of Person Signing: _____

Company Name: _____

**ATTACHMENT 6 – SMALL AND MICROBUSINESS PARTICIPATION –
IF APPLICABLE**

Continued on Next Page



SMALL AND MICRO BUSINESS PARTICIPATION (SMP)

Small Business Preferences/Definition

The Small Business Procurement and Contract Act (Gov. Code section 14835 et seq.) requires that a fair share of the state's purchases and contracts for goods, information technology, services and construction be placed with small businesses or micro businesses. In order to facilitate the participation of these businesses, the Act requires state agencies to: (1) establish small business participation goals, (2) provide a 5% small business preference; and (3) provide a non-small business preference of up to a maximum of 5% for agencies utilizing small businesses or micro businesses as subcontractors.

SMP Goal and Preference

Based upon the nature of the goods/services to be utilized under this solicitation (as outlined in the Exhibit A, Scope of Work), the Lottery has set a SMP Goal of 25%. A Proposer that qualifies as a small or micro business has met this participation goal by virtue of their small business status.

For bid evaluation purposes, where there is at least one non-small business Proposer subcontracting at least 25% of its bid amount to one or more small businesses, the Lottery shall calculate the preference by computing an amount not to exceed 5% from the lowest, responsible bid of a non-small business Proposer that is not subcontracting to a small business. The preference amount shall be deducted from the bids of the non-small business Proposer's subcontracting at least 25% of their bid amounts to small businesses, as referenced above. Agencies that subcontract less than 25% shall receive a prorated preference.

For bid evaluation purposes, where there is at least one small business Proposer, the Lottery shall calculate the preference by computing an amount of up to 5% of the lowest, responsible bid of a non-small business Proposer that is not subcontracting to a small business. The preference amount shall not exceed \$50,000 and shall be deducted from the small business' bid amount as referenced above.

During the Contract term, the Proposer's SMP compliance shall be calculated based on the Proposer's completed work as verified by an audit of Proposer's invoices and Proposer's payments to designated subcontractors.

Definition

To be eligible for the SMP Preference as a "small business," a company shall be an independently owned and operated business, not dominant in its field of operation, with its principal place of business located in California and officers domiciled in California, and which together with affiliates is:



SMALL AND MICRO BUSINESS PARTICIPATION (SMP)

- A business with 100 or fewer employees and average annual gross receipts of \$14,000,000 or less over the previous three years, **or**
- A manufacturer with 100 or fewer employees. A manufacturer is a business that is both:
 - 1) Primarily engaged in the chemical or mechanical transformation of raw materials or processed substances into new products; and
 - 2) Classified between Codes 31 to 339999, inclusive, of the North American Industrial Classification System (NAICS) Manual, published by the United States Census Bureau, 2007 edition.

To be eligible for the SMP Preference as a "micro business," a company shall be a small business that, together with affiliates, has average annual gross receipts of \$3,500,000 or less over the previous three years, or is a manufacturer, as defined above, with 25 or fewer employees.

If a proposing Proposer is currently certified as a small or micro business by the Department of General Services, Office of Small Business and DVBE Services, or any city, county, federal, etc. certifying office, only a copy of that certification is required (to be certified small or micro business, visit the DGS website at www.pd.dgs.ca.gov/pd/Programs/OSDS.aspx). The successful Proposer shall be required to provide this information for the small or micro business enterprises to be utilized as subcontractors.

The successful Proposer's SMP Goal shall become part of the Contract resulting from this solicitation with the Lottery. The Lottery shall monitor Proposer's compliance by requiring annual reports.

Agencies requesting either of the SMP Preferences are required to complete and submit the required forms.

(Revised 11/19)



SMALL AND MICRO BUSINESS PARTICIPATION (SMP)

INSTRUCTIONS/FORMS

All agencies shall complete this page and the “Declaration of Compliance for Small and Micro Business Subcontractor Participation” form. Non-small agencies that are subcontracting with small or micro businesses shall also complete the “Small and Micro Business Subcontractor” form, and agencies that are small businesses or micro businesses shall complete the “Small and Micro Business Program” form. All forms are included in this package.

General Information

Proposer’s Name: _____

Street Address: _____

City/State/Zip Code: _____

Contact Person: _____

Telephone: _____ **Fax:** _____

Email: _____

SMP Program Form CSL 1180

Complete and sign this form if your company is a certified small or micro business.

SMP Declaration of Compliance Form CSL 1178

Complete and sign this form certifying all the information is true and correct. This form shall be signed by the person legally authorized to contractually bind the Proposer as stated in the Certification.

SMP Subcontractor Form CSL 1177

Complete and sign this form for all small and micro business subcontractor(s) that you plan to utilize as part of your small business participation goal. Please duplicate this page for additional companies.

Small and Micro Business & DVBE Program Form CSL 0718

Complete and sign this form if your business is participating in this program.

CSL 1180 (11/19)



SMALL AND MICRO BUSINESS PARTICIPATION (SMP)

DECLARATION OF COMPLIANCE

Complete and sign this form certifying all the information is true and correct. This form shall be signed by the person legally authorized to contractually bind the Proposer as stated in the Certification.

Proposer's Name: _____

Street Address: _____

City/State/Zip Code: _____

Contact Person: _____

Telephone: _____ **Fax:** _____

Email: _____

Declaration

I declare under penalty of perjury that the information provided in this Attachment is true and correct.
(Please check one)

___ Our firm is a small business or micro business. **Certification #:** _____

___ Our firm is not a small business or micro business, but guarantees that a minimum of
___% of the total cost shall be paid to small business and micro business
subcontractors for work performed under the Contract.

___ Our firm shall not participate in the SMP Participation Program.

Executed on (Month/Date/Year): _____

In the city of _____ State of _____

Proposer's Authorized Signature: _____

Name of Person Signing: _____

Title: _____

Telephone: _____ **Fax:** _____

CSL 0718 (11/19)



SMALL AND MICRO BUSINESS PARTICIPATION (SMP)

SUBCONTRACTOR FORM

Complete and sign this form for all small and micro business subcontractor(s) that you plan to utilize as part of your small business participation goal.

Please duplicate this page for additional companies.

Name of Subcontractor: _____

Street Address: _____

City/State/Zip Code: _____

Contact Person: _____

Telephone: _____ **Fax:** _____

Email: _____

Goods/Services to be provided: _____

Business Category _____ **Percentage of Contract** _____ %

Certifying Proposer: _____ **Certification #:** _____

By signing below, the Proposer indicates its intent to utilize the small business or micro business identified above as part of the Contract associated with this solicitation, as applicable; and also certifies that all information contained herein is true and correct.

Proposer's Authorized Signature: _____ **Date:** _____

Name of Person Signing: _____

Company Name: _____

By signing below, the small business or micro business certifies it has been contacted and has expressed interest in participating in the Contract in the work area identified; and also certifies that all information contained herein is true and correct.

Subcontractor's Authorized Signature: _____

Date: _____

Name of Person Signing: _____

Company Name: _____

CSL 1177 (11/19)

Business Name: _____			
Street Address: _____			
City: _____	State: ____	Zip Code: _____	

Name of Owner: _____	
Telephone: _____	Email: _____

Name of Contact Person: _____	
Telephone: _____	Email: _____

Business Category: _____
Business Certified with (Agency Name): _____
Certification #: _____

Select one that applies: _____				
Goods/Services,	etc.	to	be	provided:

By signing below, the Proposer certifies that the company above is a small business or microbusiness, as defined in this attachment.

Signature of Authorized Representative: _____

Date: _____

Title: _____

CSL 0718 (11/19)

ATTACHMENT 7 – PAYEE DATA RECORD (STD 204)

A Proposer may download the Payee Data Record (STD 204) through the following link:

<https://www.documents.dgs.ca.gov/dgs/fmc/pdf/std204.pdf>

If you are unable to download this file, please contact the Procurement Specialist.

ATTACHMENT 8 – GUARANTY

GUARANTY

(Page 1 of 2)

This Guaranty is to be completed by the Proposer or parent company of Proposer. Check one (1) of the boxes (A or B) below. Proposer or parent company to sign the Guaranty as appropriate and submit this Guaranty with your proposal package.

☐ A. In the event that the Proposer is not a subsidiary corporation, it will be deemed that the Proposer guarantees performance under any contract resulting from this RFP with the full force and credit of all its assets.

☐ B. If the Proposer is a subsidiary corporation, it shall have this Guaranty completed by the parent corporation to guaranty the full and prompt performance of all covenants, terms and conditions, and contracts resulting from this RFP for the term of the contract.

1. The parent company _____ (company name) has the financial ability to meaningfully support such guaranty;
2. The official signing of this Guaranty is authorized to bind the guarantor corporation;
3. Accepts unconditional responsibility for all performance and financial requirements and obligations of the contract;
4. For good and valuable consideration, receipt of which is hereby acknowledged, the Guarantor is making the guaranty;
5. The Guarantor stipulates that if the contract is ultimately awarded to the subsidiary, the Lottery will do so in reliance upon the guaranty;
6. The undersigned corporate officer warrants (1) that he or she has personally reviewed all pertinent corporate documents, including but not limited to articles of incorporation, bylaws and agreements between the parent and the subsidiary; and (2) that nothing in these documents in any way limits the capacity of the parent to enter into the contract or guaranty;

ATTACHMENT 8 – GUARANTY

GUARANTY (Page 2 of 2)

7. The Lottery need not take any action against the Proposer, any other guarantor, or any other person, firm, or corporation, or resort to any security held by it at any time before proceeding against the Guarantor and the Guarantor hereby waives any and all notices and demands which may be required to be given by any other statute or rule of law and agrees that its liability hereunder shall be in no way affected, diminished, or released by any extension of time, forbearance, or waiver which may be granted the Proposer, its successor, or assignee, and that this guaranty shall extend to and include all future amendments, modifications, and extensions of the contract and all future supplemental and other agreements with respect to matters covered by the contract which the Lottery and Proposer may enter into, with or without notice to or knowledge of Guarantor but Guarantor shall have the benefit of any such extension, forbearance, waiver, amendment, modifications, or supplemental obligations of Guarantor hereunder shall be coextensive with but not in the excess of the obligations of its successor or assignee under the contract.
8. Guarantor agrees that unless otherwise agreed to by the Lottery the guaranty shall continue in full force and effect despite any change in the legal or corporate status of the subsidiary, including but not limited to its sale, reorganization, dissolution or bankruptcy.

I, _____, certify that I am authorized to sign and bind my company to this Guaranty.

Signature of Authorized Representative

Date

Company Name

Proposer must complete and submit the Guaranty form at the time of proposal submission.

ATTACHMENT 9 - LOTTERY ACCOUNT PERSONNEL

All Proposers must complete and submit the Lottery Account Personnel form at the time of proposal submission.

A copy of Attachment 9 is available on caleprocure as a separate attachment.

If you are unable to download this file, please contact the Procurement Specialist.

ATTACHMENT 10 - RÉSUMÉ FORM

All Proposers must complete and submit the Résumé form at the time of proposal submission.

A copy of Attachment 10 is available on caleprocure as a separate attachment.

If you are unable to download this file, please contact the Procurement Specialist.

ATTACHMENT 11 – (CONFIDENTIAL) GENERAL CONTRACTOR DISCLOSURE

All Proposer must complete and submit the General Contractor Disclosure and, if applicable, Subcontractor Disclosures forms. The Lottery may request clarification of disclosures or accept supplemental disclosure information at any time during the solicitation process. This attachment is not required if the Proposer is currently cleared by the Lottery's Security/Law Enforcement Division. However, if stakeholder(s) of 5% or more of the company have changed, individual background investigation(s) will be required. Additionally, a Disclosure Investigation of any parent company will be subject to the same Disclosure Investigation required of the Proposer.

The Disclosure can be found at the following link: <https://static.www.calottery.com/-/media/Project/calottery/PWS/PDFs/RFP-Documents/CSL-0829B-General-Disclosure-reader-extended.pdf>

ATTACHMENT 12 - TICKET SAMPLES

Number of tickets submitted as requested in Section II.C.2.3, Special Production or Licensed Property Ticket Samples, and Section II.C.4, Ticket Samples and Packaging. Physical samples are to be delivered to the Lottery as follows:

California State Lottery
Attn: Kevin Blunt, PSS
RFP R002746
700 N. 10th Street
Sacramento, CA 95811

ATTACHMENT 13 – LIQUID FILES INSTRUCTIONS

A copy of Attachment 13 – Liquid Files Instructions is available on caleprocure as a separate attachment.

All proposals must be submitted to a Lottery Secure File Share site (Liquid Files) with required attachments, except for Attachment 12, Ticket Samples. The Liquid Files Instruction Guide is available on the California State Contracts Register.

Liquid Files transfers are to be addressed to kblunt@calottery.com and ijen@calottery.com. **Do not send to solicitations@calottery.com as it will not be received.** Hard copies of proposals are not a substitute for electronic submission.

If you are unable to download the instructions, please contact the Procurement Specialist.

ATTACHMENT 14 – RATED SUBMITTALS

Responsive documents should be compiled per RFP Section II.C (starting page 17) and submitted as “Attachment 14 – Rated Submittals.”

ATTACHMENT 15 – GenAI Impact Assessment Form

A copy of Attachment 15 – GenAI Impact Assessment Form (CSL1499) is available on caleprocure as a separate attachment.

Instructions: Proposers must complete and sign the GenAI Impact Assessment Form if: 1) the Proposer intends to provide Generative Artificial Intelligence (GenAI) as a Contract deliverable; or (2) the Proposer intends to utilize GenAI, including GenAI from third parties, to complete any portion of the Contract deliverables or services.

“Generative Artificial Intelligence” or “GenAI” means an artificial intelligence system that can generate derived synthetic content, including text, images, video, and audio that emulates the structure and characteristics of the system’s training data.

While the Lottery is interested in realizing the potential benefits of GenAI, assessment of these technologies is necessary to balance out the potential risks and ensure that the Lottery is contractually protected.

Failure to report GenAI use in connection with this RFP may result in disqualification. The Lottery reserves its right to seek any and all relief it may be entitled to as a result of such non-disclosure.

If notified by a Proposer that GenAI will be provided or utilized in connection with the Contract, the Lottery may require, at its sole discretion, that the Lottery’s Level 2 or Level 3 Generative Artificial Intelligence provisions be incorporated into the final Contract, at no additional cost to the Lottery. (Copies of those terms will be provided to Proposers upon request.) The Lottery also reserves the right to reject any Proposals that present an unacceptable level of risk to the Lottery.

**EXHIBIT A
SCOPE OF WORK**

**ATTACHMENT 16 – PROPOSED CONTRACT TERMS AND CONDITIONS
EXHIBIT A – SCOPE OF WORK**

I. INTRODUCTION

The primary/secondary contractor (Contractor) must provide all services requested by the California State Lottery (Lottery) for the development and production of Scratchers® (instant Lottery tickets) and related services. This includes, but is not limited to:

- Game planning
- Game design and programming
- Game and prize structure development
- Computer programming in conformity with technical specifications
- Secure printing plant
- Scratchers production and delivery
- Inventory management
- Digital programs or extensions
- Marketing and sales support
- Systems analysis
- New equipment and maintenance of systems, programs, and equipment
- Additional special services, products and features, and industry innovations that are or become available during the term of the Contract, as requested by the Lottery.

The Lottery introduces approximately 50 to 55 Scratchers games annually. Ticket quantities for each game typically range from 5 million to 50 million; however, there may be an increased production run of up to 100 million for certain core games.

The Contractor must at all times be prepared to produce at least 100 million Scratchers tickets per initial game order or subsequent reorders, as ordered by the Lottery, while meeting all contractual obligations.

II. CONTRACT MANAGERS/KEY PERSONNEL

A. The Contract Managers/Key Personnel for this contract are as follows:

	<u>Lottery</u>	<u>Contractor</u>
Name:	Contract Manager	Contract Manager
Street Address:	700 North 10 th Street	
City, State, Zip	Sacramento, CA 95811	
Code:		

EXHIBIT A SCOPE OF WORK

Phone:

Fax:

Email:

III. WORK TO BE PERFORMED

A. CORE SERVICE SPECIFICATIONS

1. GAME PLANNING

1.1 Game Planning Requirements

The Contractor plays an important role in the Lottery's Scratchers marketing program. The Contractor must work closely with the Lottery as decisions are made regarding games and launch schedules. The requisite marketing planning and support services associated with the development and launch of Scratchers games includes consideration of the overall mix of Scratchers on sale at the time and includes recommendations with regard to, but not limited to, the following:

- Game price point and themes
- Prize structure development
- Game design
- Artwork
- Placement of each game in a comprehensive marketing plan for Scratchers games overall
- Digital programs or extensions
- QR Codes or similar barcode technology
- Mobile applications
- Promotions
- Coupons
- Ticket merchandise messages
- Tools such as the Lottery's public website and its 2nd Chance program
- Social media
- Online games
- Added benefits and product innovations
- Future technological advancements as they are developed
- Recommendations must be supported by trends, data analysis, and research
- All digital deliverables must be ADA and WCAG compliant per Lottery direction

EXHIBIT A

SCOPE OF WORK

The Contractor must also:

- A. Assist in the planning and development of Scratchers games by: proposing innovative game strategies that utilize unique or new play styles, printing techniques, or capabilities; recommending the timing of game launches; determining the appropriate ticket order quantities; providing research; and providing relevant sales and product information from other state lotteries;
- B. Keep the Lottery informed of recent trends in the lottery industry and consumer market, including any information that the Contractor considers that may be useful into increase Scratchers sales or consumer awareness in California;
- C. Ensure appeal across a wide segmentation, encompassing demographics, player frequency, player spend, and loyalty by recommending a mix of Scratchers games;
- D. Provide extended marketing and/or digital support, upon request, for several select Scratchers games per year; and
- E. Optimize game performance through initiatives such as prize promotions and/or licensed properties.

1.2 Marketing and Sales Financial Support (Primary vendor only)

The Contractor must contribute financial support for the Lottery's own marketing and sales efforts in connection with the sale of Scratchers products which may include, but is not limited to, Scratchers produced or provided by Contractor. The Contractor must provide the Lottery with Scratchers marketing and sales support funds in the minimum amount of \$120,000 per month throughout the Contract term.

These funds are cumulative and may be expended at any time during the Contract term. The Contractor's marketing and sales support funds will be held by the Lottery until expended or until expiration of the Contract term, whichever comes first. Any marketing and sales support funds that remain in the Contractor's possession at the expiration or termination of the Contract will be remitted to the Lottery not more than 30 calendar days after Contract expiration.

EXHIBIT A

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While the Lottery has sole discretion with respect to the expenditure of any marketing and sales support funds, it expects to use the funds for: player and/or retailer communications and promotions, advertising, point-of-sale (POS) materials, displays and equipment, digital programs, training, sales initiatives, and sales equipment.

1.3 Marketing Research

The Contractor must provide market research to support the development of new Scratchers concepts, designs, theme, play styles, and player base demographics, at no additional cost to the Lottery. This research may include, but is not limited to: focus group research, web-based testing, panel studies, segmentation studies, geo-demographic studies, tracking studies, industry trend research, and collecting information from other state lotteries. In addition, any instant ticket research conducted by or for the Contractor for other lotteries must be provided, except where permission to share this information is denied by the subject lottery.

In addition to the above, the Primary vendor will provide the Lottery with a minimum of \$120,000 annually for the Lottery's Scratchers Product Research Fund. The Secondary vendors will provide the Lottery with an annual pro rata contribution of a minimum of \$80,000 toward the Lottery's Scratchers Product Research Fund. Each Secondary vendor's share will be based on its share of the prior year's Scratchers business as measured by the Lottery. The Lottery will make the final determination as to games tested and methodologies employed in the projects financed by the Scratchers Product Research Fund, although the vendors will provide input during the process and will receive a copy of the research report upon completion of the project. Artwork for concepts presented to the Lottery for research must be provided in the format necessitated by the research.

Pursuant to the provisions specified in Exhibit C, Terms and Conditions, prior to conducting research on new concepts or providing concepts to the Lottery for use in research, and at no additional cost to the Lottery, the vendors must ensure that the concepts do not infringe upon the intellectual property of any third party.

1.4 Staff (Primary vendor only)

The Contractor must provide an account/contract manager and graphic designer, as well as a minimum of one additional staff to provide services

EXHIBIT A

SCOPE OF WORK

such as account development, research analysis, and additional account services during Lottery business hours.

Staff (Secondary vendors only)

The Contractor must staff, at minimum, an account/contract manager during Lottery business hours.

1.5 Two-Year Marketing Plan (Primary vendor only)

The Contractor is required to provide comprehensive annual and multi-year marketing plans upon Contract execution and thereafter throughout the term of the Contract that include specific, strategic recommendations for the long-term sales success of Scratchers games in California. The marketing plans must demonstrate an understanding of the Lottery's statutory and regulatory requirements. The marketing plans must address all areas relating to the marketing of Scratchers games. The following may be included, subject to mutually agreed upon timelines:

- A. An analysis of the Lottery's Scratchers marketing environment, addressing the challenges and opportunities California faces in reaching its Scratchers sales goals;
- B. A presentation of the key marketing and distribution strategies the Lottery should follow to maximize Scratchers game revenues;
- C. A product mix review with recommendations for the number and types of games, game themes, price points, and payout percentages that will appeal to multiple player segments;
- D. A recommended number of game launches, as well as dates and ticket quantities for each launch;
- E. Proposed sales projections for each game and recommendations with regard to market segments to which each game should appeal;
- F. Proposed advertising and retailer and/or consumer promotions;
- G. Proposed integrated services to Scratchers games to enhance the product;
- H. Proposed performance measures and monitoring processes to ensure that Scratchers games are continuously evaluated to

EXHIBIT A SCOPE OF WORK

optimize performance and achieve activation goals in a timely manner; and

I. Presentation of industry innovations and technology developments.

1.6 Scratchers Product Plan (Primary vendor only)

The Contractor must provide insightful quarterly strategic direction and recommendations to support the Lottery's annual "Scratchers Product Plan." These recommendations should include products that grow the player base, and provide players with entertainment and a positive experience designed to result in repeated purchases.

1.7 Instructional How-To-Play Games

The Contractor may be required to provide digital how-to-play games that engage players and create awareness for tickets and play styles for instructional use to support the Scratchers games.

2. GAME DEVELOPMENT

2.1 Game Development

2.1.1 Game Design

Game design includes creative concept development and the provision of various design options for review and consideration by the Lottery. Design options must include high-performing games sold in other lottery jurisdictions, to the extent Contractor is authorized to provide such design options to the Lottery, with relevant sales index performance data over time, customized games relevant to the Lottery, and new concepts designed to continue Scratchers business growth. Design encompasses not only appearance, its player appeal, and its ability to be prominent at retail, but also incorporates entertainment or "play value," as it relates to the overall game concept.

Upon request, the Contractor must also provide graphic designs for games and/or game-related collateral to be used in Lottery research.

2.1.2 Game Generation

Game generation includes the development or modification of programs, tables, and configuration files to produce games that comply with the

EXHIBIT A

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requirements set forth in the Working Papers or game specification documents.

As specified herein, all games must be audited by the Contractor for quality assurance to ensure all game specifications are met and the audit report shall be provided to the Lottery upon request.

To protect the integrity and confidentiality of the gaming generation process, game data files must be stored in an encrypted format. Additionally, folder level security and access controls must be thoroughly managed in accordance with the Contractor's Lottery-approved security plan to ensure that no one person has full and unmonitored access to live game programs and data.

2.1.3 Game Development Schedule

The Contractor must adhere to the following minimum requirements for Scratchers game development.

- A. The Lottery develops a Scratchers Product Plan each fiscal year. The plan may be updated from time to time throughout the year. Game development is scheduled around the planned launch dates for each game. Once the Scratchers Product Plan or Scratchers Schedule is received, the vendor is expected to secure press time for their assigned games.
- B. The Contractor is provided a prize structure template by the Lottery for development into a full prize structure based on the constraints provided for the game while the graphic design is being developed.
- C. A trademark search on any proposed game name must be performed by the Contractor prior to its use in any game concept.
- D. Within five business days of receiving notification from the Lottery that the prize structure, play style, and artwork for a particular game have been approved, the Contractor must deliver to the Lottery a set of draft Working Papers for the Lottery's review and comment.
- E. Within two business days after receipt of the Lottery's comments, the Contractor must deliver final Working Papers to the Lottery for signature (Execution). Final ticket art must accompany the final Working Papers. The Contractor must provide protective markings, such as "Confidential," on all Working Papers and customer

EXHIBIT A

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specifications (or portions thereof) that contain sensitive data. Sensitive data includes play parameters that could provide someone an unfair advantage in playing the game.

- F. Within three business days after Execution, the Contractor must deliver, via electronic delivery, the original executed Working Papers with all signatures and the contract color proof with ink sample/drawdowns for Lottery approval before production.
- G. Within 20 business days after Execution, or as specified therein, the Contractor must deliver Scratchers game tickets to the Lottery. A shipping manifest including pack and delivery information must be delivered in the format specified by the Lottery, and a hard copy thereof must accompany the delivery of game tickets.
- H. Two business days prior to the delivery of the game tickets, the Contractor must deliver validation files to the Lottery via secure file transfer protocol (SFTP) process.
- I. Two business days prior to the delivery of the game tickets, the Contractor must deliver non-winning ticket “hash” files to the Lottery via SFTP.
- J. For game reorders, the Contractor must deliver the game tickets within 15 business days of Lottery’s written/formal request.

2.1.4 Game Specifications or Working Papers

Game specification documents or Working Papers for Scratchers games must be generated by the Contractor in conjunction with the Lottery. Schedules must be established, and Working Papers executed in order to facilitate the production and delivery of Scratchers tickets. The Contractor shall produce error-free Working Papers. Production of any Scratchers game may not proceed until all necessary Lottery approvals are obtained and the Lottery gives written authorization.

2.1.5 Customer Specifications/Client Standards Document

Each game must adhere to the requirements detailed in a customer specification/client standards document provided by the Contractor in addition to the executed Working Papers. The customer specifications document must be complete and error-free.

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2.1.6 Prize Structures

Prize structures are developed by the Contractor to properly support the various strategies and parameters outlined for each game. The Contractor must submit draft prize structures to the Lottery for review and approval within two business days of receiving pertinent information. The Lottery uses prize structure templates as a basis for further development by the Contractor.

2.1.7 Guaranteed Low-End Prize Structure (GLEPS)

Within the acceptable range of variance set forth herein, each pack of tickets must contain a set dollar value of low-tier prizes as specified in the executed Working Papers. A minimum of four different configurations of low-tier prizes must be incorporated at random into packs of tickets. Each configuration must have the same total dollar value of low-tier winners, but each must have varying numbers of winners of various denominations. The number and cost of free tickets must be the same for each configuration.

2.1.8 End-of-Production Prize Structure Report

Prior to the arrival of a printed game at a Lottery distribution center, the Contractor must submit an end-of-production prize structure report summarizing the game's prize value by prize level and showing any variance between the post-production prize structure and the prize structure that was specified in the game's executed Working Papers. The odds of winning any prize on a given Scratchers ticket must not vary from the odds of winning that prize as stated in the approved end-of-production prize structure for any reason.

The end-of-production prize structure report must be sent electronically, as specified by the Lottery, and must be received prior to actual delivery of tickets to distribution centers. The Lottery will review the report and if any errors are detected, the Contractor must correct the errors within one business day of notification. However, in no event will the deadline for ticket delivery specified in the executed Working Papers be extended.

2.1.9 Prize Guarantees

The Contractor must submit a standard audit letter from a certified public accounting firm as specified below within two weeks of delivery of each

EXHIBIT A

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game. The audit letter must affirm, and the Contractor must guarantee, the following:

- A. Winning tickets are distributed with no discernable pattern throughout the entire population.
- B. At the end of production, any prizes specified in the Working Papers as guaranteed prizes have been provided.
- C. At the end of production, overall prize percentage payout is ± 1 percent (.001) of the payout specified in the Working Papers.
- D. At the end of production, overall odds and cash odds do not vary more than $\pm .005$ of the odds specified in the Working Papers and will exactly match the rounded odds stated on the back of the game ticket.
- E. At the end of production, the quantity of tickets delivered is within ± 3 percent (.03) of the quantity specified in the Working Papers.
- F. The Lottery may make adjustments to prize guarantee levels. Any changes will be specified in the Working Papers for each game.

2.1.10 Graphics Compatibility

The Contractor's graphic design staff must work closely with the Lottery in the development and design of Scratchers games to ensure graphic synergy and support important game features, messages, or merchandising statements.

The Contractor must effectively manage the overall scope of Scratchers design, including but not limited to: choice of typeface(s), color, play images, and imaging area, at each phase from the initial concept art to the final art for game production. In so doing, the Contractor must ensure total compatibility with the Lottery's graphics system and, when requested by the Lottery, be ready to provide developed art to other Lottery contractors, advertising agencies, and creative services providers.

If the Contractor upgrades its system from any of the hardware or software required and listed below, the upgraded hardware and software must be provided for the Lottery's system, at no additional cost to the Lottery, in order to guarantee document compatibility and conformance

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between the two systems. With regard to all necessary software assets, the Lottery requires at least two copies/licenses for any software upgrades required. Contractor must also provide to the Lottery a single licensed copy of any software for unique fonts, graphic elements, or stock photography used in fulfilling the requirements of this Contract, for document proofing and archival purposes.

The formats required by the Lottery for reviewing and approving Scratchers game artwork are subject to change. At the time of Contract execution, the formats are:

- A. Native, layered Photoshop (.psd), Illustrator (.ai), or InDesign (.indd) files
- B. High-resolution, fully editable Adobe Acrobat PDF files
- C. Maximum quality, full size JPEG or TIFF files
- D. All files should include Game Name, Game Number, Version #, and "Final", if applicable

2.1.11 Artwork

The Contractor may be asked to provide a variety of ticket-related artwork as specified in the executed Working Papers. Upon Execution, the Contractor must provide color artwork in multiple versions, including printed and electronic formats for use in multiple locations, including the Lottery's public website, electronic displays on vending machines, and other uses, which may include, but are not limited to:

- A. Insert cards for use in instant ticket vending equipment and in-counter trays. These insert cards must be 4" x 4", although the size is subject to change, as specified by the Lottery in the Working Papers or approved customer specification document;
- B. Uncovered and covered versions of the ticket, including a covered version with top prize-winning combination of play symbols and an uncovered version with code locator images for 2nd Chance use;
- C. Digital Point of Sale artwork for use on the Lottery's ePOS (electronic point of sale) display monitors; and
- D. All other elements specified in the executed Working Papers and/or approved customer specifications document.

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JPEGs of uncovered and covered front and back ticket art must be provided within three working days of Execution. Electronic artwork files must be provided up to five working days after Execution in an Adobe Illustrator file with all font information converted to outline, and in a Photoshop JPEG file.

2.2 Production Schedule

The Contractor must develop and provide the Lottery with a production schedule and updates thereafter for all games, including the following specifications:

- A. Game number;
- B. Game name;
- C. Ticket quantity; and
- D. Scheduled press date.

After the production has occurred, the following notification is required:

- E. Scheduled ship date(s);
- F. Scheduled delivery date(s);
- G. Pallet size (number of pallets);
- H. Number of tickets per shipment; and
- I. Number of trucks for delivery.

3. GAME MANUFACTURING

3.1 Ticket Specifications

All game manufacturing must meet WLA (World Lottery Association) control standards to align with California Lottery certification levels.

3.1.1 Ticket Stock

All tickets must be printed on 10-point virgin stock which does not curl, separate, or split. The tickets must be 100 percent recyclable and be coated on at least one side. All tickets must be compatible with ticket dispensing systems utilized by the Lottery. Ticket stock specifications may be modified at the Lottery's discretion at any time.

3.1.1.1 Sustainability

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The Lottery recognizes the importance of purchasing sustainable products and strives to reduce the environmental impact of products used and disposed in business operations. The Lottery maintains a sustainable purchasing and waste program aimed at the purchasing of environmentally preferred products and diverting waste from the landfill. Contractor must provide, if requested, documentation and proof of the recyclability of tickets in accordance with applicable California rules and regulations.

3.1.2 Ticket Price Point

At the time of Contract execution, the Contractor must be prepared to provide the following price point tickets: \$1, \$2, \$3, \$5, \$10, \$20, \$25, \$30, \$40, \$50, and \$100. The Contractor may be required to produce other price point tickets in the future. All price points will be considered part of core services.

3.1.3 Ticket Sizes

At the time of Contract execution, the Contractor must be prepared to provide the following ticket sizes as part of core services: 2.5 inches by 4 inches, 4 inches by 4 inches, 6 inches by 4 inches, 8 inches by 4 inches, 9 inches by 4 inches, 10 inches by 4 inches, 11 inches by 4 inches, and 12 inches by 4 inches. The Lottery may request tickets in other sizes or shapes. Pricing for those tickets will be negotiated.

3.1.4 Ticket Orientation

The Lottery may require tickets to be printed in either horizontal or vertical formats.

3.1.5 Pack Sizes

The Contractor must provide pack sizes as specified on Attachment 3 Price Sheet.

3.1.6 Perforations

The perforations between tickets must be such that they will separate easily from each other by hand or when dispensed from instant ticket vending machines (ITVM), in-counter dispensers, and individual dispenser units, but not so easily that they fall apart. Separation should also not be so difficult that the ticket tears upon being dispensed from

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vending equipment or dispensers. Perforation should be evaluated at the beginning of each press run and then periodically throughout. Each evaluation should include visual inspection for missing teeth, manual pull drawer testing, ITVM testing, and strength testing using a device that measures the tensile strength of the perforation. The contractor must constantly inspect the perforations during print runs to ensure everything is working as intended. Blades must be changed out at the beginning of every game and then again whenever inspections or evaluations indicate a problem. All blades must be inspected and measured before they are cleared for use on the presses.

3.2 Imaged Data (computer controlled)

The Contractor must provide the Lottery with samples of all imaged fonts and symbols that are available in a particular category for use in tickets as reasonably requested by the Lottery. Should the Lottery require a new font image that does not currently exist in the Contractor's font library at the appropriate size, the Contractor will create a new font at no additional charge to the Lottery.

3.2.1 Instant Ticket Symbols

Instant ticket symbols must be:

- A. Printed in black or colored ink on the front of the ticket, and for special games on the back;
- B. Uniformly positioned and aligned on Scratchers tickets, unless otherwise specified by the Lottery, to prevent potential pick-out problems associated with positioning and alignment;
- C. Printed with the latest imaging printer technology, including, but not limited to, 3-D printed symbols and any other new technology during term of contract.
- D. Legible, so as to be readily discernible and distinguishable, with no bleeding, distortions, or smearing; and
- E. Printed with fonts approved by the Lottery. All fonts currently offered by the Contractor must be available to the Lottery upon request for use in ticket production.

3.2.2 Captions

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To provide redundancy for security reasons and to prevent player confusion, each symbol must be accompanied by a caption underneath the symbol that spells out (or repeats) the instant ticket symbol itself. The captions must be specified in the individual game executed Working Papers.

3.2.3 Fonts

All imaged data or graphic fonts produced by the Contractor must be provided to the Lottery as samples for availability for use on tickets. The Contractor may also be required to create custom graphic fonts for the Lottery.

3.2.4 Bingo/Crossword-Style Games

The Contractor must produce bingo, crossword, and similarly styled games utilizing a marking system, translucent scratch-off material, or the most current technology available to mark the play numbers/letters/special symbols on the ticket. The Contractor must provide a variety of transparent ink colors for the marking system.

3.3 Colors

3.3.1 Ink Colors

The Contractor must be capable of producing a minimum of seven display colors on the front of a ticket. A minimum of five colors must be available for use in the overprint area. At least two colors in addition to black must be available for the ticket back.

3.3.2 Display Printing

Display colors on the front of the ticket must be printed using a minimum four-color process or spot colors or both. Inks must be of such nature that there is no “offsetting” or picking from the front of tickets to the back of tickets on an adjacent page, and vice versa.

Subject to normal printing trade tolerances and practices, the display printing must be accurately registered.

The Lottery recognizes that certain ticket options may lend themselves better to one display printing process over the others. The Lottery will

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specify the most efficient and cost-effective system that meets its marketing goals and quality standards for any given game.

The Contractor must at all times be capable of producing the following at core pricing unless otherwise specified on Attachment 3 Price Sheet:

- A. Screens of color on display and scratch-off areas of tickets;
- B. Multiple-color full-bleed washes on ticket;
- C. Created colors on display area or scratch-off areas of the ticket;
- D. A variety of graphic designs and styles, including without limitation photography, integrated scratch-off designs, unusually shaped scratch-off areas, and varnishes;
- E. Seven or more separate game play areas;
- F. Alternating scenes within a pack;
- G. Different scenes within a game;
- H. Continuous scenes;
- I. Color pulsing in a game;
- J. Custom fonts, including but not limited to specially designed characters or colored printing (other than black);
- K. Custom imaging, including but not limited to specially designed characters or colored printing (other than black), and play symbols with multiple color imaging;
- L. A variety of inks or coatings, such as premium metallic, metallic or fluorescent inks and UV or varnish coatings, at all degrees (full or spot);
- M. Specialty paper, including but not limited to holographic paper and and/or any proprietary paper;
- N. Custom or proprietary printing effects or treatments (e.g.: stamped on top of game).

In addition, display printing must be done with inks that do not smear from perspiration, water, or other normal environmental conditions. Because game play instructions are inherently small on the ticket, lettering and treatment must be clean and crisp, allowing for ease of reading by the consumer.

3.3.3 Overprint

A color overprint (as specified in the executed Working Papers) must be printed on top of the scratch-off material. The overprint symbols must be clear, distinct, and sharp, and must be of such design as to allow detection of scratch-off material tampering.

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Overprinting must be performed with inks that prevent compromise of game data covering. Solvents used against the covering must cause the ink to distort the overprint covering.

3.4 Background Areas/Benday Patterns

The background areas upon which game data are to be applied must be printed with an anti-counterfeit pattern. The pattern must not prevent readability of the game data. The Lottery may disapprove anti-counterfeit patterns or proprietary benday-type security treatment patterns, in which case the Contractor will develop alternative patterns to the Lottery's satisfaction.

3.5 Security Tint

Each game must include a security tint that covers all play areas. The security tint must display evidence of tampering if penetrated by any normal household product, chemicals, or solvents. The color of the tint used will be determined by the Lottery and specified in the executed Working Papers for each game.

3.6 Protective Coating/Seal Coat

The game data under the opaque scratch-off material must be covered by a transparent coating in a manner such that the symbols are protected when the consumer rubs off the scratch-off material. If the seal coat is removed, it must exhibit evidence of tampering and be non-repairable.

3.7 Security Coating/Scratch-Off Material

The security coating must be opaque and of such quality as to maintain the security of the ticket symbols and validation numbers. The border between the scratch-off surface and the uncovered portion of the ticket must be sharp and even, i.e., the scratch-off material may not "drip" onto the display printing. The scratch-off material must be smooth and regular to the touch and must be readily removable with a reasonable degree of resistance when scratched with commonly-used items (scrapers, knives, keys, coins). After the scratch-off material is removed, significant residue must not be present. Scratch-off material must remain readily removable for a minimum shelf life of 24 months under California warehouse conditions. The scratch-off material must be non-toxic and

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not irritating to the skin. It must cover the play area and overlay into the display area.

3.8 Screened Price Point

The price point of each Scratchers game must be screened on the back of the ticket. This will consist of a 15 percent screen as specified in the executed Working Papers.

3.9 Barcodes and Numbers

3.9.1 UPC (Universal Product Code)

Each Scratchers ticket must bear a UPC code assigned to the Lottery, printed within the tolerances required by Uniform Code Council, Inc. The Contractor must procure the actual code on behalf of the Lottery. The location of the printed UPC code will be specified in the executed Working Papers for each game.

3.9.2 California-Specific Algorithms

At the Lottery's request, the Contractor must design, manufacture, and encode Scratchers tickets so as to enable existing California-specific encoding and decryption algorithms to continue to function without modification. Data items for which existing algorithmic determination must be accommodated include the following:

- A. Calculation of the pack check digit;
- B. Calculation of the validation number check digit;
- C. Calculation of the barcode check digits;
- D. Calculation ("encryption") of the file validation number from the ticket validation number;
- E. Determination of the full ticket validation number from the barcode validation number; and
- F. Determination of the low-tier prize amount from the barcode validation number.

3.9.3 New California-Specific Algorithms

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At the Lottery's request, the Contractor will develop and maintain new California-specific algorithms to accomplish the above tasks. Any such algorithms so developed with all software modules intended to support the use of such algorithms will become the sole and exclusive property of the Lottery, both during and after the term of this Contract. The Contractor is responsible for supplying the following items related to any such developed algorithms:

- A. To the Lottery and/or a Lottery designated representative for safekeeping: source code implementing the algorithm and full documentation thereof;
- B. To the then-current Lottery gaming system contractor: linkable object modules, without source code, implementing the algorithms in such a way compatible with hardware and software designated by the Lottery and its gaming system contractor; and
- C. To other ticket printing Contractor(s), as designated by the Lottery: any and all information as may be required by those Contractors to enable them to design, encode, and manufacture tickets in a fashion compatible with the developed algorithms.

3.9.4 Game Numbers

The game number must be able to accommodate four digits. For example, GGGG.

3.9.5 Pack Numbers

- A. The pack number must be able to accommodate seven digits which are used to generate the eighth (Lottery-specified) check digit of the pack-ticket number. The generation of the eighth digit must be game dependent and meet Lottery requirements. Following is an example:

Six Digit Example:

GGGG-PPPPPP-C-TTT

G - Game number

P - Pack number

C - Check digit

T - Ticket number

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Seven Digit Example:

GGGG-PPPPPP-C-TTT

G – Game number

P – Pack number

C – Check digit

T – Ticket number

- B. Each Scratchers ticket must bear a pack number on the front of the ticket and on the back as part of the barcode. Pack numbers are to be consecutive and non-duplicating in the game as a whole. The Lottery will require a one-digit California-specific check digit to accompany the pack number. The Contractor must have procedures to assure that the same pack number is on all Scratchers tickets in a given pack and that no pack numbers are duplicated in an individual game.
- C. The application of the pack and Scratchers ticket number must be accomplished through a secure process. The Lottery may authorize the Contractor to maintain information with the pack and validation number data. This information must be maintained in a secure environment with controlled access.

3.9.6 Ticket Numbers

- A. Each Scratchers ticket must bear an individual, consecutive number starting with 000 and with no omissions within each pack.
- B. This ticket number must be printed on the back of the ticket and as part of the barcode.
- C. The Contractor must have procedures to assure that individual, consecutive Scratchers ticket numbers are on each ticket in the pack and that there are no breaks or discontinuations of ticket numbering in the pack.
- D. The application of the pack and Scratchers ticket number must be accomplished through a secure process. The Lottery may authorize the Contractor to maintain information with the pack and validation number data. This information must be maintained in a secure environment with controlled access.

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3.9.7 Validation Numbers

- A. The Lottery uses a 16- to 17-digit validation number under the scratch-off material on the front of the ticket which consists of:

4- to 5-digit game identification
9-digit unique validation number
3-digit check digit

The validation number configuration, including digit count, is subject to change at the Lottery's discretion. Any such change must be accommodated by the Contractor without additional cost to the Lottery.

- B. To facilitate accurate data entry and identification of data entry errors, the last digit of the validation number must be a California-specific check digit. This check digit will be determined by the California-specific algorithmic check-code scheme that aids in identifying the transposition of digits or erroneous entry of a digit.
- C. The validation number in the PDF 417 barcode includes the validation number under the security coatings on the front of the ticket. The validation number shall not be included in the inventory barcode on the back of the ticket.
- D. The Lottery retains the right to change the location or position of the validation number under the scratch-off material for each game. The location of the validation number will be specified in the individual game executed Working Papers. In addition, the Lottery may require the validation number to "float" within the play area.

3.10 Validation and Barcoding Specifications

The Contractor must provide cutting edge support and technology as required to keep pace with industry advancements. All current and future technology to be utilized by the Lottery must be created using standards that are approved by the Lottery.

3.10.1 Inventory Barcode

There will be a unique barcode representation of the game, pack, validation, and ticket numbers printed on the back of each ticket. This

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barcode will contain 26 decimal digits and will represent: a 4-digit game identifier, a 7-digit pack number, a 3-digit ticket number, a 9-digit validation number (all zeros), and a 3-digit check code. The check code will be calculated using the 9 zeros for the validation number placeholder.

The barcode will use standard interleaved 2-of-5 symbology utilizing standard start and stop characters. Each bar code character encodes 2 decimal digits and measures 0.3" high and 0.175" in length. Therefore, each bar code will measure approximately 2.36" in length. The bar code will have quiet zones a minimum of 0.17" on each end. From the left, the bar code will start with a narrow bar, narrow space, narrow bar, narrow space (start character) and will end with a wide bar, narrow space, narrow bar (stop character).

The Contractor's Scratchers tickets must be compatible with the Lottery's gaming system as it relates to the barcode and data contained therein. Contractor's Scratchers tickets must be compatible with industry standard barcode readers.

The Lottery currently uses Zebra DS3678 scanners to read the barcode. Retailer clerk terminals use Symbol Technologies DS6706, Symbol Technologies DS4308 and Zebra DS4608.

The Lottery uses a 26-digit validation barcode in the following order:

- Game number
- Pack (book) number
- Ticket number
- 0 filled encrypted validation number/prize code
- Check code

The human readable barcode information must be printed as specified in the Working Papers.

3.10.2 PDF 417 Barcode

The exposed play area of each ticket includes a barcode that is read by in-store scanners and the Lottery's mobile application's Check-a-Ticket barcode reader, which inform the players whether the ticket is a non-winner, a winner, and if so, the amount won. PDF417 used for validation on retailer terminals is 27 digits.

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- 4- digit game identification
- 7-digit pack number
- 3-digit ticket number
- 9-digit unique validation number
- 4-digit check digit

The Contractor must provide the right to use any new Contractor-developed barcode technology to the Lottery.

3.11 Proofs, Color Keys, and Artwork

The Contractor must provide the Lottery with final color artwork via color contract proof or ink sample/drawdowns, play area imaging, color keys, or other proofing system acceptable to the Lottery that provides an accurate representation of the final product for Lottery approval prior to ticket printing. The artwork and play area must be shown at 100 percent. If specialty paper or inks are being used, a ticket sample may be required before execution of Working Papers. The Contractor must also provide the Lottery with a high-res digital file of the final artwork via electronic transfer, within five days of working paper execution. As requested by the Lottery, artwork must also be sent to other location(s) (e.g., the Lottery's, marketing and advertising agencies, other Scratchers printing contractor(s), and any property licensors when applicable).

3.12 Shelf Life

Scratchers tickets must remain readable, easily scratched, and in useable condition for a minimum of 24 months from date of delivery to the Lottery.

3.13 Sample Games and Test Games

At any time during the Contract term, the Contractor may be required to provide the Lottery with at least two sample games per Lottery specifications. The sample games must also meet all Gaming System vendor specifications and WLA control standards. Each sample game must include the high-tier, low-tier, and inventory files for the original load and one reorder, and each must use full production size files. In addition, upon Lottery request, a copy of the sample games' high-tier files must be supplied to the SCO.

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Throughout the Contract term, if at any time the Lottery changes its gaming operation in such a way that it may affect Scratchers ticket production or processing, the Contractor may be required to provide test games at no additional cost to the Lottery. The size and scope of the test games will be determined at time of request.

One live test pack will be provided with each order for every game. The pack will be selected algorithmically and will not contain a prize level greater than a low value non-GLEP prize level. The test pack will be included as a good pack on the game validation files and the impacted carton will be marked with a red "X." The live test pack will not be scratched, stamped void, or drilled. It will be placed in a separate envelope and delivered overnight to the Lottery's Security/Law Enforcement Division (SLED). Test pack(s) should be delivered to Lottery HQ at least six business days before the ticket delivery date.

4. MARKETING AND SALES SUPPORT

The Contractor must provide cutting edge marketing and sales support using advanced technology and upgrading as new technology becomes available. All current and future technology utilized must be pre-approved by the Lottery.

4.1 Equipment

The Contractor must develop a plan that recommends sufficient and appropriate ticket dispensers to securely store, display, and dispense the required number of full packs of Scratchers tickets using sales and marketing industry best practices.

In addition, the Contractor may be required to develop appropriate dispensing devices for unique or proprietary ticket designs subject to the terms agreed upon by the parties.

4.2 Retailer Recruitment (Primary Only)

The Contractor may be required to submit a plan to acquire non-traditional retailers, including new corporate/chain accounts. The plan must specify which non-traditional and corporate/chain retailers should be recruited.

4.3 Ticket Ordering System (Primary Only)

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The Contractor must work closely with the Lottery to ensure that the Lottery's ticket ordering and inventory management systems are efficient, including potentially providing training and software to the Lottery. The Contractor may be required to provide recommendations for future enhancements and/or improvements.

4.4 Product Development Support Services

The Contractor will play an important role in the Lottery's product development program, working closely with the Lottery as plans and goals are developed. The support services required of the Contractor include consulting assistance regarding strategy, initial allocation, reorders, out-of-stock issues, product placement, and appropriate equipment. Additionally, the Contractor must provide annual product innovation presentations to Lottery staff and may be required to produce and provide sell-in sheets for retailer training.

4.5 Void Samples

The Contractor must supply the Lottery with up to 150,000 non-winning void sample tickets (scratch-off covered) as part of the core ticket price for each game.

The word "VOID" must be printed prominently on the back of each sample ticket. The word "VOID" must also replace the ticket number on the front of each ticket. All void samples must be packaged in the same pack size as the corresponding game.

5. PLANT AND GAMING SECURITY

The Contractor and any subcontractor that participates to any extent in the production or delivery of Scratchers tickets must provide, at a minimum, the following security measures in addition to all security controls identified in Exhibit B Terms and Conditions and all controls included in the Contractor's Lottery-approved security plan.

5.1 Physical Security

Each plant or facility at which Scratchers tickets are produced must be equipped with a complete physical security system. The security system must be able to control and monitor access to all sensitive areas of the plant, detect and report exceptions/alarms, and visually monitor and record all production, packaging, storage, and waste destruction areas.

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Access control and monitoring must include positive accountability for the presence of each employee and visitor in sensitive plant areas at all times through the use of “pass back” or similar devices.

The Lottery reserves the right to inspect and approve or disapprove any plant or facility prior to the production of Lottery tickets at the facility. The inspection may include, among other things, a comprehensive review of the facility’s physical security systems, waste destruction, and all computer-based systems used in the generation and production of Lottery tickets.

5.1.1 Security Procedures

The Contractor must develop security procedures and enforce standards to prevent unauthorized entry to instant ticket production and storage areas. The procedures should address any locking or alarm devices that secure each critical production and storage area, including all window, ceiling, and door entry points.

5.1.2 Access to Storage Area

Access to any area where Scratchers tickets are produced or stored must be limited to necessary Contractor, subcontractor, and Lottery staff, and approved visitors. A system of identification of all persons permitted access (such as badges or cards) is required. If the area is part of a larger plant, it must be possible to limit access and to secure the area at the end of normal work hours.

5.1.3 Visitor Log

A log of each visitor to any Scratchers production plant must be maintained and must be provided to the Lottery upon request.

5.1.4 Environmental Security

The Contractor must take reasonable measures to minimize the possibility of equipment damage or other disruptions to service from any line voltage fluctuation and to ensure the continued operation of all Lottery systems and operations in the event of a failure of a public electric distribution system providing service to the Contractor.

The Contractor must also safeguard all information systems and data center facilities against high temperatures and inappropriate humidity.

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Temperature and humidity in all areas housing Contract-critical equipment must be maintained within the range specified by the manufacturer.

5.1.5 Monitoring and Breach Notification

The Contractor must safeguard all information systems equipment, data facilities, and manufacturing plants from breach and must also provide, maintain, and monitor fire and moisture detection systems. Security and fire alarms must be monitored on-site, as well as by a third-party alarm service on a 7-day, 24-hour basis. The alarm company must perform regularly scheduled maintenance and testing of all monitoring and alerting equipment. The Lottery must be notified immediately of all physical security breaches.

5.2 Gaming Security

The Contractor must address security measures associated with the development, production, and post-production of games. Details of these measures must be provided in the required security plan, as specified in Exhibit B Terms and Conditions.

5.2.1 The Contractor must at all times employ system access controls that provide individual user accountability and authentication, protect sensitive data from unauthorized access, provide an audit trail of access and attempts to access sensitive information, and provide procedures to ensure that employees or subcontractors cannot determine the location of winning tickets.

5.2.2 The Contractor must provide system development and maintenance procedures that ensure separation of duties for testing and developing California-specific games.

5.2.3 The Contractor must maintain audit logs of all actions and events taken by individual users during the course of development, production, and post-production of games. The audit logs must be maintained and protected from modification or unauthorized access or destruction for a period of four years.

5.2.4 Invasive Techniques

Tickets must be manufactured in such a way that it is not possible to ascertain whether an instant ticket is a winning or non-winning instant

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ticket without rendering the instant ticket un-sellable to the public or easily recognizable as having been tampered with. In particular, it must not be possible to see through the scratch-off material with any practically available device or technique, including among other things, high intensity light, x-rays, infrared, lasers, chemical means, electrical means, photographic means, copying machine intrusion techniques, thermal techniques, solvents, microsurgery, or microscopes.

5.2.5 Scratch-off Material Quality

The scratch-off material must be of an elastomer base or a base material comparable or superior in quality. A dusting type of covering material is not acceptable. The scratch-off material and Scratchers ticket construction must be of such quality as to maintain the security of each Scratchers ticket's printed game data, and must resist all known optical, chemical, mechanical, thermal, and copying intrusion methods.

The scratch-off material must not destroy, mutilate, distort, or otherwise interfere with the printed game data or background area when removed and must be completely removable by scraping or rubbing by various means and must fragment when removed without casing dusting. Specifically, tickets must have a scratching adhesion that will scratch easily and completely when played by the end user but will not scratch when handled or dispensed.

The scratch-off material, when removed, must not cause harm or discomfort to humans or their clothing. The Scratchers ticket symbols under the scratch-off material must be covered with a transparent protective coating so that the printed game data and background area are protected when the consumer rubs off the covering.

Quality control testing of the overprint for each individual game must be done as specified by the Lottery prior to press approval.

5.2.6 Pick-Out

Neither winning Scratchers tickets nor non-winning Scratchers tickets may be recognizable from any characteristic of the Scratchers ticket other than by the Scratchers ticket symbols concealed by the scratch-off or other exposing material.

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5.2.7 Randomization

Deficiencies in randomization, including but not limited to programming of game data, ticket location in its strip, pack, shipping box or pool, or the contents (whether exposed or covered with scratch-off) of any other Scratchers game in the same or neighboring strip (page), shipping box, or pool are not permitted. The odds of winning a prize on a given Scratchers game must not vary from the odds of winning that prize as stated in the end of production prize structure.

5.2.8 Quality Control

The Contractor must employ quality control procedures to ensure that all Scratchers tickets delivered meet the specifications and requirements of this Contract. The Contractor must employ 100 percent visual inspection of Scratchers tickets and must implement a specific procedure for the visual observation of the application of the covering material, release coat, and game data application.

5.2.9 Non-Conforming Tickets

The Lottery may determine that Scratchers tickets are non-conforming, in whole or in part, at any time during the production, testing, delivery, or distribution (partial or complete) of the tickets. The Lottery may reject, in whole or in part, non-conforming Scratchers tickets or games at any time.

5.2.10 Ticket Reconstruction

The Lottery will provide the names of personnel authorized to request ticket reconstructions. The Contractor must provide a computer system for Scratchers ticket game reconstruction and assist in the investigation and validation of questionable prize winners. For each ticket reconstruction, the Contractor must provide a ticket reconstruction report within five working days of a Lottery request. The Contractor must keep a log of all reconstruction requests. This provision will remain in effect and will survive the expiration or termination of this Contract for four years from the date of expiration or termination.

The Contractor must track and analyze reconstructions and must submit monthly reconstruction reports. These reports must include reason codes assigned to all ticket reconstructions.

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5.2.11 Production Stoppage

In the event of a disruption in communications or stoppage of the imaging of game symbols on tickets, the Contractor must ensure that tickets that were imaged prior to the disruption or stoppage are not re-imaged. The Contractor must immediately notify the Lottery by telephone and in writing of any duplicate printing of validation information. The Contractor must immediately destroy all duplicate Scratchers tickets produced as a result of press disruption or stoppage.

5.2.12 Ticket Production for Security Test Games

Upon request, the Contractor must produce security test tickets that appear by visual inspection to be tickets from a current production game. Such tickets, at the request of the Lottery, must include apparent high-tier, mid-tier, and low-tier winning tickets. The tickets must not validate against the associated current production game validation file but must indicate their apparent value when checked using a Lottery terminal, and not in any way indicate they are invalid tickets. Additional specifications of security test tickets must be approved by the Lottery. The method of delivery of security test tickets to the Lottery must be as directed by the Lottery.

5.2.13 Omissions Storage and Destruction

If any part of a pack of tickets fails to meet all quality requirements specified in this Contract, the entire pack must be omitted. Omitted packs (Omits) must be reflected in the validation and inventory media, and the Contractor must provide an independently-audited report showing the disposition of all omitted tickets to SLED. Actual packs omitted must be pulled from the shipping cartons and not delivered to the Lottery. The Contractor must provide a detailed overview of the system used to track omitted packs, including, but not limited to, the use of automation, audit tools, and other physical and electronic controls.

The number and type of omitted packs must not result in an unacceptable variation between the end of production prize structure and the prize structure established in the executed Working Papers. The acceptable level of variance is set forth in the prize guarantees section herein.

The Lottery requires destruction of imaged California Scratchers ticket stock at the printing site by shredding or other agreed-upon process.

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The destruction of this ticket stock must take place within an agreed-upon period of time after completion of game packaging. Ticket stock identified as omitted packs during the editing and packaging cycles of the game (including omitted materials on pallets and/or rolls) must be stored in a locked/secured area. Destruction of the omitted ticket stock (fully and/or partially imaged ticket stock) may be observed at any time by Lottery staff. The described material must not leave the printer's premises until it is no longer identifiable as Lottery material.

The Contractor must maintain a record system to account for the movement, storage, and destruction of all omitted ticket stock for a period of four years. The record system is subject to audit by the Lottery.

The Lottery may authorize the Contractor to remove California game ticket stock from the Contractor's premises for off-site destruction or temporary storage under extraordinary circumstances. Any off-site movement of ticket stock must be properly recorded in a log, a copy of which must be forwarded to the Lottery (SLED) within five days of the move.

The Contractor must develop procedures for discarding Scratchers tickets in the Contractor's possession upon request by the Lottery. These procedures must include a plan for ticket destruction and a description of all ticket reconciliation and destruction processes.

5.2.14 Documentation of Omitted packs

The Contractor may be required to provide the Lottery (SLED) with the following information after each game is packaged:

- A. A complete listing of all pools of omitted stock by pack number. This information must be provided in ASCII format; and
- B. A hard copy list of pack numbers for omit tickets that have been processed by the printer's staff for testing or other purposes.

5.2.15 Security Quality Assurance Testing Sample Packs

Upon completion of a press run, the Contractor must place in omit status a minimum of three packs per game pulled from the beginning, middle, and end of the press run and must ship them via overnight delivery to the Lottery (SLED). These packs must not be drilled, stamped, or rubbed. Tickets will be tested by the Lottery for compliance with quality,

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security and durability standards set by the Lottery. The Lottery will not be responsible for the costs of any tests conducted by the Contractor unless such tests are expressly requested by the Lottery.

5.2.16 Standard Security Assurance Testing

The Contractor must perform industry standard security assurance tests for each game and report the results to the Lottery (SLED) as directed within four hours from the time the Contractor's press supervisor conducts game sign-off.

5.3 Training

The Contractor must provide training to any necessary Lottery staff on the use, operation, security controls, and audit capabilities of the Contractor's computing-based systems that contain Lottery information. The training must provide a thorough knowledge of the computing-based system's operating system, application and source controls, security software, and audit trails.

5.4 Required Security Modification

The Lottery may require changes to the Contractor's physical security controls and computer-based systems used in the generation and production of Lottery tickets, using agreed-upon timelines.

5.5 Travel Reimbursement

The Contractor must reimburse the Lottery for the cost of travel and per diem for one Lottery staff member to visit vendor facilities or attend vendor-sponsored conference(s) regarding industry innovations, and/or technology developments for every four games printed. If the Lottery attends fewer than the specified number of trips, the Lottery will receive a \$5,000 credit per person per occasion.

The Contractor must also reimburse the Lottery for travel and per diem expenses for up to three Lottery staff members or third-party auditors in connection with facility/vendor start-up audits and audits of physical and logistical security controls for the life of the contract.

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6. TICKET DELIVERY

6.1 Ticket Quantity

The Contractor must deliver 100 percent of the agreed-upon ticket quantity specified in the end of production prize structure for each game.

6.2 Shrink Wrapping and Packaging of Tickets

Each game must be packaged sequentially into cartons. All packs produced must be individually shrink wrapped in clear, strong plastic to prevent bursting while being handled or while in shipment or storage. Books must be folded and shrink wrapped in such a manner that allows the game-book-ticket number and associated bar coding of at least one ticket to be visible. The shrink wrap must be sufficiently tight around the book of tickets to permit the bar code to be easily scanned through the shrink wrap and to prevent the shrink wrap from catching or pinching on conveyors, rollers, or pointed edges as might be encountered in the packaging, warehousing, and distribution processes. Shrink wrapping must remain intact through the shelf life of the game and packs must be assembled in a uniform manner. Shrink wrap must also be able to be marked if necessary for inventory management.

6.3 Shipping Cartons

Tickets must fit in sequential order into each sealed shipping carton unless otherwise indicated in the game specifications. Each shipping carton must be clearly labeled with the range of pack numbers contained therein.

All shipping cartons must be of sufficient strength to protect ticket packs during transport and warehouse operations. The top and bottom of each carton must be securely sealed with tape. No staples are allowed.

6.3.1 Shipping Carton Labels

Staples or glue may not be used to secure labels to shipping cartons. Any tape used must not obscure labels or other markings on the carton. There must be no printing on the carton or on the sealing tape other than as stated in this section. Each carton must have the following statement printed or stamped on it:

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"THIS CARTON CONTAINS MATERIALS THAT ARE REGISTERED BY NUMBER WHICH WILL BE VOID IF STOLEN."

6.4. Pallets

Shipping cartons must be packed on pallets of an agreed-upon size in sequential order and secured by the Contractor. Pallets must be constructed to accommodate the Lottery's forklift distribution center operations. The Lottery's current pallets are 40" x 48" with four-way forklift entry. Each pallet must be nailed together with bottom boards and upgraded with additional boards across for a sturdier construction. Fully-loaded pallet height, width, and depth will be agreed upon in the game specifications.

Cartons of Scratchers tickets must be stacked on pallets in ascending carton number order with carton labels facing out. The highest numbered carton is to be placed at a lower corner of the pallet, with sequentially numbered cartons placed to the right of each preceding carton until a complete layer of cartons has been placed on the pallet. Each pallet load of cartons, including corner boards, must be securely covered, and attached to the pallet by Contractor-provided plastic of sufficient strength to prevent shifting of cartons and unauthorized entry.

A clearly visible pallet label must be affixed to each pallet load of cartons. The label must show the game name, the lowest and highest carton numbers loaded on the pallet, and the pallet number for the game. Pallets must be numbered "one of (total number)," "two of (total number)," etc., through the highest pallet number for the game.

6.5 Delivery of Tickets to Lottery Distribution Centers

The Contractor is responsible for the secure transportation and delivery of Scratchers tickets. Tickets are to be delivered Freight on Board (FOB) destination to designated distribution centers in California. The Contractor must pay for freight and insurance. Inventory delayed or damaged en route to a Lottery distribution center is the sole responsibility of the Contractor. Scratchers must be delivered via exclusive-use vehicles from production plants to the Lottery's distribution centers. Delivery vehicles must include seal and lock numbers or numbered cable seals on cargo doors which must not be opened or altered between the Contractor's production plant and the stated destination, as listed on manifest documents and bills of lading from the shipping point (production plant).

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6.5.1 Delivery Vehicle Loading

Pallets of Scratchers tickets must be loaded with the highest-numbered pallet at the "nose," or forward end, of the cargo portion of the vehicle, with the lowest-numbered pallet at the rear.

6.6 Shipping Manifest

At the time of delivery to a Lottery distribution center, the Contractor must provide the Lottery with a digital record of all packs manufactured, or physical medium if requested, listed by box. A single-sheet hardcopy with pack ranges, box ranges, and skid/pallet ranges must also be provided. All copies of the shipping control manifest must ship with the truck.

6.7 Final Delivery Report

Upon final delivery of Scratchers tickets for each game, the Contractor must provide an accurate account of all Scratchers tickets as follows:

- A. The starting number and the ending pack number in hard copy and on a delivery (inventory) digitally delivered to the Lottery; and
- B. A notification email must be sent to the Lottery upon delivery of high-tier validation files to the Lottery's gaming system contractor. The email must include a report showing the number of winning Scratchers tickets for each prize category and the total prize award amounts for each prize category.

7. GAME DELIVERABLES

7.1 Trademark Search

The Contractor must perform thorough trademark searches on all materials produced by the Contractor under this Contract, whether or not developed by the Contractor, and the Contractor must obtain, at no additional cost to the Lottery, any licenses or permissions required to use the marks. The Contractor must also perform trademark searches prior to offering any test concepts to the Lottery.

7.2 Pre-Production and Post-Production Audits

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Prior to delivery of a Scratchers game, the Contractor, at its expense, must engage a qualified and independent certified public accountant to conduct both pre- and post-game reviews of all production procedures and controls employed by the Contractor for each game. The pre-game review must be conducted prior to game production, and the post-game review must be conducted prior to delivery of a game to the Lottery. The Contractor must provide the Lottery with a pre-production and a post-production review letter on or before delivery of tickets.

7.3 Artwork

The Contractor must provide high resolution digital files of the final artwork as specified by the Lottery within five business days of working paper execution. Artwork is to include all forms of ticket art, including the insert card art file used in instant ticket vending equipment and in-counter trays. Font files must be provided for each game and must not contain any character that is not being used for production of a current game.

7.4 Technical Deliverables

Associated routine technical support must be provided by the Contractor for all games produced as specified by the Lottery. Technical support includes, but is not limited to: production and delivery of the low-tier validation file, high-tier validation file, and pack/inventory file; hash file; development and maintenance of all California-specific algorithms; and creation of game generation data.

The Contractor must obtain prior written approval from the Lottery for all changes to game software or hardware that may affect compatibility with the Lottery's gaming system. In the event that such changes result in incompatibility or non-compliance with the Lottery's gaming system specifications, the Contractor must provide an emergency fix and must report to the Lottery within 24 hours of completing the fix.

7.5 California-Specific Validation Files

The Contractor must provide California-specific validation files to the Lottery's gaming system contractor for all prizes on or before the date of game delivery and must provide simultaneous email notification of file delivery to the Lottery. If requested, the Contractor will be required to work with the Lottery's gaming system contractor and the State

EXHIBIT A SCOPE OF WORK

Controller's Office (SCO) to create new file formats as needed and will be required to provide test files as specified by the Lottery.

- A. Separate files of high-tier prizes and low-tier prizes, loadable into the Lottery's gaming system and acceptable to the SCO, are to be provided per the Lottery's gaming system specifications.
- B. Validation files may not contain ticket Void If Removed Numbers (VIRN). VIRN on prize files are to be derived from the ticket VIRN through use of the algorithm described in section 3.9.2 above.

- 7.6 High-tier validation files must include all data described in gaming system specifications. The validation number on the front of each ticket must be formulated such that the California-specific encryption algorithm will yield the corresponding validation number on the high-tier validation file when presented with the game number, ticket validation number, and the ticket validation check digit.

The encrypted validation number in the ticket barcode must also be formulated such that the California-specific algorithm for barcode decryption will yield the front validation number and California-specific prize level on the low-tier validation file (uniquely identifying low-tier prize amounts according to California's existing prize structure) when presented with the following data:

<u>Data Item</u>	<u>Source</u>
Game Number	Barcode
Pack Number	Barcode
Encrypted Validation Number	Barcode

The Contractor must supply the Lottery's gaming system contractor and the SCO with a file of all high-tier winning Scratchers tickets delivered in each individual game. The high-tier file must contain the validation number (encrypted from the validation number on the front of the ticket), the prize value, and the ticket number of each high-tier instant ticket.

- 7.7 The Contractor also must supply the Lottery's gaming system contractor with a low-tier validation file comprised of all low-tier winning Scratchers tickets delivered in each individual game.

The low-tier validation file must include all data described in the Lottery's gaming system specifications.

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- 7.8 The inventory file must include information for all packs in each carton delivered. Every pack number produced in the production process must appear on an inventory file. Each inventory file must include all data described in the Lottery's gaming system specifications.

All inventory files must have sequential pack numbers. In the event that the Lottery reorders a game, the Contractor is required to provide continuous pack numbers from the previous delivery.

7.9 Hash Files

The Contractor must provide a list of "hashed" entry numbers for each non-winning ticket in a delivered game. The hash file will be used to verify player submissions to the Lottery's 2nd Chance program. The hash file must be in the proper format and encrypted based upon the Lottery's specifications. Each entry in the hash file must correspond to the hashed value of the game, the VIRN, and the pack number associated with a non-winning ticket for that game. The Contractor must provide hash test tickets for each game per Lottery specifications. Hash files must contain metadata to allow the 2nd Chance system to check file integrity upon delivery.

7.10 Computer Delivery Media

All file formats must be compatible with electronic processing equipment utilized by the gaming system contractor and the SCO. The Lottery requires SFTP, and the Contractor is required to conform to this and any new standards put in place by the Lottery.

All data files delivered to the Lottery's gaming system contractor and the SCO must be compatible with the media described in the Lottery's customer specifications document.

7.11 Transfer of Production File

In the event that the Scratchers tickets and the production file are not produced at the same location, if the file cannot be transferred via SFTP the Lottery may choose to accompany the production file to the printing location.

EXHIBIT A
SCOPE OF WORK

SPECIAL FEATURES AND SERVICES
SPECIFICATIONS

(Not included in core price)

In addition to those core services for which pricing was identified at the time of Contract execution, the Lottery may request that the Contractor provide special features and services. Many special features and services are identified on Attachment 3 Price Sheet, and pricing for those is as set forth therein.

In addition to those special features and services identified in Attachment 3, the Contractor may be asked to provide any service or feature that falls within the scope of this Contract, including, but not limited to, innovations that are not yet available and services with variable pricing.

Pricing for special services and features not already identified in Attachment 3 Price Sheet will be negotiated.

Special features and services may include, but are not limited to:

- (1) Additional display color (beyond 7 colors)
- (2) Additional overprint color (beyond 5 colors)
- (3) Specialty Paper/Proprietary Paper (as described by Proposer in Attachment 7)
- (4) Holographic Paper (as described by Proposer in Attachment 7)
- (5) Die cutting
- (6) Folds
- (7) Pouches
- (8) Multi-page books
- (9) Alternative ticket stock (12 pt.)
- (10) Accelerated delivery
- (11) Additional regular sized samples/voids (beyond 150,000)
- (12) Pack Inserts
- (13) Additional scratch-off play area on ticket back
- (14) Insert cards for instant ticket vending equipment and in-counter trays
- (15) Holographic or specialty paper insert cards for instant ticket vending equipment and in-counter trays
- (16) Coupons (non-digital)
- (17) Coupons (digital)
- (18) How-to-Play videos
- (19) Instructional How-To-Play Games
- (20) 360° extended marketing support, which may include, but is not limited to: player engagement strategies, interactive and innovative programs, and consumer/retailer promotions.

EXHIBIT B
BUDGET DETAILS AND PAYMENT PROVISIONS

1. PRICE SHEET

See RFP Attachments 3A-3E. (Insert Costs from Proposer's Price Sheet Here)

2. FISCAL PROVISIONS

2.1 Reduction of Funds

The obligations of the parties under this Contract are subject to the availability of funds appropriated by the Commission.

2.2 Invoicing

The Contractor must submit invoices via email to accountingops@calottery.com, the Lottery contract manager and CC the Contract Administration Services)(CAS) assigned contract administrator, noting the Contract number and listing the services rendered, goods provided, and reimbursement claimed. Contractor will supply invoices based on the number of tickets delivered to each location. The Lottery will review each invoice for completeness and accuracy and either approve or dispute it. Disputed invoices will be returned to the Contractor with an explanation. Unless disputed, payment will be made 45 days after receipt of the invoice, provided goods and services are received. Vendors are to invoice after the Lottery has received proof of delivery from their shipping department.

Supporting documents must accompany invoices at time of submission. This includes the Proof of Delivery (fully executed versions of the following signed by the consignee/receiver: bill of lading, packing list, and shipping order) and the documentation showing where the rate came from (Prize Structure, Pricing, Approvals, Authorizations, License Agreement, appropriate sales tax rate, and Specialty Paper Authorization, etc. as applicable, including sections from the Working Papers).

The only exceptions to the Proof of Delivery requirement are the Specialty Paper Invoice, the Final License Fee invoice, and the Monthly Billing Invoice.

All invoices are paid on Net 45 terms from the date the invoice and supporting documentation is received by accounting. Contract Manager and CAS are to be copied on the email sending the invoice to Accounting. The subject line must indicate the type of invoice. The Contractor must mark "Final Invoice" on the last invoice to be submitted to the Lottery for payment. If no final invoice is received within 180 calendar days after the termination of the Contract or expiration of the

EXHIBIT B

BUDGET DETAILS AND PAYMENT PROVISIONS

Contract by its own terms, the Contractor waives the right to receive any further payments under this Contract.

2.3 Notice of Monies Due

The Lottery will notify the Contractor electronically when and if any monies are due the Lottery. Any monies the Contractor owes the Lottery must be paid to the Lottery within 45 days of receiving notification of the amount due, or the Lottery will deduct the amount from any compensation otherwise owed to the Contractor.

2.4 Tax Reporting

The Contractor is notified that section 6041 of the Federal Internal Revenue Code and section 18646 of the California Revenue and Taxation Code require the Lottery to report certain payments. No claims for payment will be processed by the Lottery without the necessary information as specified in those provisions. The Contractor agrees to abide by these conditions and to provide the information requested for tax-reporting requirements.

2.5 Withholds

- A. The Lottery has the right to withhold or delay payments to the Contractor, in whole or in part, to the extent the Contractor fails to perform its material obligations under the Contract.
- B. Should the Contractor attempt to cure the performance failure giving rise to the withheld or delayed payment, the Lottery will review the matter with the Contractor and determine, within its sole discretion, whether the Lottery will continue to withhold payment or otherwise offset money due the Contractor.
- C. During the last month of the Contract term, the Lottery may withhold up to 5 percent of its payments to the Contractor, which will be released at the Lottery's discretion, upon satisfactory completion of transfer to a new contractor.

2.6 Tax Liability

The Lottery will retain financial responsibility for any California use or sales tax applicable to the purchase of tickets by the Lottery from the Contractor. The Contractor is responsible for invoicing the Lottery for sales tax, if applicable, and for remitting sales tax to the California Department of Tax and Fee Administration. The Contractor will bear financial responsibility for any other taxes arising from this Contract.

EXHIBIT B
BUDGET DETAILS AND PAYMENT PROVISIONS

2.7 Full Compensation

The compensation to be paid the Contractor, except as otherwise provided herein, is in consideration for all of the Contractor's services and administrative expenses.

2.8 Payment

The Contractor will be paid in accordance with Attachment 3 Price Sheet and the working papers for each game. Payments will be made in accordance with the California Prompt Payment Act Government Code 927-927.13, within 45 calendar days from date the Lottery receives an invoice, in accordance with the Prompt Payment Act (Government Code section 927, *et seq.*), unless the invoice is disputed. All invoices will be paid minus any applicable offsets and withholds.

If the Lottery determines that an invoice was improperly submitted, or that additional evidence of the validity of the invoice is required, the Lottery will notify the Contractor of a disputed invoice within 15 working days from receipt of the invoice. Once the invoice is corrected, payments due will be made within 45 days from the receipt of the corrected invoice by the Lottery.

Where payment has not been issued within 45 calendar days from the Lottery's receipt of an undisputed invoice, penalties will accrue as set forth in the Prompt Payment Act (Government Code section 927.6). If the Contractor is certified with the California State Department of General Services as a small business, penalties will accrue at a rate of 10 percent above the U.S. Prime Rate on June 30th of the prior fiscal year. However, if the amount of the penalty is \$10 or less, the penalty is waived.

For all other businesses, penalties will accrue at a rate of 1 percent above the daily rate for the Pooled Money Investment Account on June 30th of the prior fiscal year but will not exceed a total rate of 15 percent. Penalties of \$100 or below are waived, as provided in section 927.6.

EXHIBIT C
CONTRACT TERMS AND CONDITIONS

1. GENERAL PROVISIONS

1.1 Signature Authorization

The person signing this Contract warrants that he/she is an agent of the Contractor and is duly authorized to enter into this Contract on behalf of the Contractor.

1.2 Initial Term of Contract

The initial term of the Contract is xxx years.

1.3 Option to Extend

Upon four months written notice, the California State Lottery (Lottery) may unilaterally extend the Contract for a period of xxx years from the end of the initial term. Thereafter, the Lottery may unilaterally extend the Contract up to three additional times, each for a period of up to one year, provided that the Lottery notifies the Contractor at least four months prior to commencement of each extension period. Unless otherwise agreed upon in writing, all extension periods are subject to the same terms and conditions, including pricing, as the initial term.

1.4 Emergency Extended Service

At the Lottery's discretion, upon 30 days' written notice, the Contractor must provide emergency extended services for a period not to exceed 12 months from the effective date of Contract termination or expiration. Unless otherwise agreed upon in writing, services must be provided by the Contractor under the same terms and conditions, including pricing, as the initial term of this Contract.

1.5 Extended Service for Contractor Change

The Lottery reserves the right to continue operating under or further extend the contract upon 30 days' notice for up to nine additional months, as deemed necessary by the Lottery, in its sole discretion, to provide for any subsequent competitive bid solicitation and contract award process. Unless otherwise agreed upon in writing, during such extension period, the Contractor must continue to provide services under the same terms and conditions, including pricing. If Contractor is awarded a new contract as a result of a subsequent competitive bid solicitation, Contractor shall complete any/all games already under development under this Contract, but which remain incomplete at the time of transition to the new contract, under this Contract's terms and conditions, including pricing.

1.6 Full Force and Effect

EXHIBIT C

CONTRACT TERMS AND CONDITIONS

This Contract is of no force or effect until all approvals are secured and it is signed by all parties. Contractor operates at its own risk if it commences performance beforehand.

1.7 Amendment

The parties may amend the Contract by mutual written consent. No alteration or variation of the terms of the Contract will be valid or binding unless amended pursuant to this section, and no prior oral understanding or agreement not incorporated into the Contract is binding on any of the parties.

1.8 Contractor Consideration

As consideration for the compensation paid to the Contractor under this Contract, the Contractor agrees to perform all services and to fulfill all responsibilities authorized and required by the Lottery as detailed in Exhibit A, Scope of Services and Service Specifications.

2. RELATIONSHIP AND AUTHORITY

2.1 Contractual Relationship

The California Lottery Commission (Commission), as the governing body of the Lottery, and the Contractor agree that the California State Lottery Act (Act, at California Government Code section 8880 *et seq.*) charges the Lottery with the duty to produce the maximum amount of net revenues to supplement the amount of money allocated for public education in California. The Contractor acknowledges that the Commission has the authority to exercise all powers necessary to effectuate the purpose of the Act, and the Commission retains all such authority under the Contract. The Contractor agrees to be accountable and subject to the direction of the Commission and its designated administrative officers insofar as the Contract is concerned. The Contractor agrees to be subject to all applicable Commission policies, rules, and regulations.

2.2 Authority

The laws of the State of California and any federal laws applicable to the Lottery govern the Contract. The Contractor agrees to be bound by all laws, regulations, guidelines, and court orders imposed upon the Lottery as they relate to the Contract. The Contractor must perform its duties and obligations subject to Lottery audit and oversight and in compliance with all Contract terms and conditions. The Contractor has the power and authority, consistent with the limitations herein, to

EXHIBIT C
CONTRACT TERMS AND CONDITIONS

act as may be necessary or desirable to properly, efficiently, fully, and completely perform its obligations under the Contract.

2.3 Jurisdiction and Venue

This Contract is governed by and interpreted in accordance with this section. The Contractor acknowledges and specifically agrees that the jurisdiction for any legal action hereunder will be the Superior Court, State of California. The venue for any action hereunder will be the Sacramento County Superior Court in California. As consideration for entering into the Contract, the Contractor waives access to any other court that may have concurrent jurisdiction inside or outside of California and also agrees to exhaust all remedies provided for in the Contract or otherwise applicable before instituting litigation relating to the Contract.

3. OBLIGATIONS OF THE PARTIES

3.1 Contract Managers

The designated Contract Managers are responsible for ensuring compliance with the terms and conditions of the Contract and, unless otherwise specified in the Contract, must have the authority to act for and bind the respective party in connection with the implementation of all aspects of the Contract. Whenever the Contract requires any action to be taken by the Lottery, such action shall be the sole responsibility of the Lottery's Contract Manager unless otherwise specified. The parties agree to notify each other in writing within five working days of a proposed change in a Contract Manager. Any change in the Contractor's Contract Manager is subject to Lottery approval.

3.2 Licenses and Permits

The Contractor must be licensed at all times to do business in California and must obtain, at its own expense, all licenses and permits required by law for accomplishing any work required in connection with this Contract. The Contractor must, upon request, provide the Lottery with copies of all required licenses/permits. In the event any licenses or permits expire at any time during the term of this Contract, the Contractor agrees to renew and provide the Lottery upon request with a copy of the renewed licenses or permits.

3.3 Confidentiality

The Contractor must keep confidential all information and materials related to the Contract and must not disclose any such information or materials to third parties unless such disclosure is approved in writing by the Lottery, specifically required by court subpoena or order, or otherwise specifically permitted under the Contract.

EXHIBIT C
CONTRACT TERMS AND CONDITIONS

Under no circumstance will the Lottery be liable to the Contractor or to any other person or entity for disclosing material the Contractor has designated as trade secret or confidential information.

3.4 News Releases

The Contractor agrees that it will not issue any news releases or make any statement to the media pertaining to this Contract without the prior written approval of the Lottery, and then only in cooperation with the Lottery.

4. GENERAL WARRANTIES AND REPRESENTATIONS

The Contractor warrants and represents that:

- A. It is fully authorized and prepared to enter into and fully perform the terms and conditions of the Contract;
- B. It has secured or will have secured, at its expense and for the benefit of the Lottery, all necessary rights, clearances, permits, governmental approvals, and licenses with respect to all material and elements used by the Contractor in connection with the performance of the Contract, and it will maintain such rights throughout the Contract term;
- C. It will comply with all federal, state, and local laws, ordinances, rules, and regulations applicable to its activities and obligations under the Contract;
- D. The goods and services provided do not and will not infringe any copyright, trademark, or other third-party-owned intellectual property; and
- E. All services provided by the Contractor pursuant to the Contract will be performed in a prompt, competent manner by properly trained individuals in accordance with the highest standards of the Contractor's industry.

5. [REMOVED]

6. LOSS PREVENTION

The Contractor must acquire and maintain insurance coverage and securities as set forth herein. The Contractor is responsible for payment of premiums and insurance deductibles. The Contractor's insurance policies must remain in force throughout the term of the Contract and any extensions, and copies of the policies must be provided to the Lottery within 10 calendar days of Contract execution. Thereafter, certificates of insurance for the required policies must be provided to the Lottery annually at the time of their renewal. The insurance policies must be

EXHIBIT C
CONTRACT TERMS AND CONDITIONS

issued by companies rated A-minus or better by the AM Best Company or be expressly approved by the Lottery for use in connection with the Contract. Each policy must contain a provision whereby the carrier must provide advance written notice of cancellation, in compliance with California Insurance Code section 677.2. If the Contractor's carrier cancels any policy, the Contractor must immediately obtain a replacement policy prior to expiration of the notice period. Failure to provide and maintain any of the required insurance policies or securities may result in termination of the Contract.

The contractor may not perform services or incur expenses until proof of Coverage, including certificates of insurance for the required policies, are received by the Lottery. The Contractor may not adjust Coverage amounts or insurance liability limits below the amounts listed in this Contract without prior written approval of the Lottery.

6.1 Workers' Compensation

The Contractor must maintain Workers' Compensation insurance for all of its employees who will be engaged in the performance of the Contract pursuant to the requirements of California Labor Code section 3700.

6.2 Commercial General Liability or Public Liability Insurance

The Contractor must maintain Commercial General Liability insurance with limits of at least \$4 million per occurrence for death or bodily injury, and \$2 million per occurrence for property damage. The policy must also include coverage for liabilities arising out of premises, operations, independent contractors, products, completed operations, and advertising injury, with at least \$4 million in aggregate coverage. The policy must include the Lottery, Lottery Commission members, and Lottery officers and employees as additional named insureds, insofar as the operations under the Contract are concerned.

6.3 Financial Security for Lottery

A. The Contractor's performance must be guaranteed by providing acceptable security in the amount of \$5 million. In meeting this requirement, the Contractor must provide and maintain a security or securities immediately available to the Lottery in the event of nonperformance by anyone providing direct service in the performance of the Contract, including but not limited to the Contractor, its agents and employees, subcontractor(s), and their agents and employees. The security offered may include a performance bond, a letter of credit, a certificate of deposit or any other instrument or mechanism proposed by the Contractor provided that is acceptable to the Lottery. After the initial year of the Contract, the Lottery may consider reducing the amount of the security. Annual bonds or

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annual letters of credit are acceptable forms of security. However, annual securities must be renewed at least 30 days prior to expiration of the current security.

- B. The Contractor must obtain a fidelity bond in the amount of \$10 million to cover any loss to the Lottery due to any fraudulent or dishonest act by the Contractor or, employees. The Contractor must name the Lottery as loss payee.

6.4 Professional Liability - Errors & Omissions Insurance

The Contractor must maintain professional liability insurance covering any damages caused by error, omission, or negligent act on the part of the Contractor, with limits of not less than \$5 million. The policy must provide the Lottery with compensation for any loss incurred due to error, omission, or printing and production problems of any type, whether or not caused by negligence. The policy must also include coverage for ticket take-back, indemnifying the Lottery for any losses incurred due to early termination of a game, where ticket manufacturing quality was deemed unacceptable by the Lottery.

6.5 Commercial Automobile Insurance

The Contractor must maintain motor vehicle liability insurance with limits of not less than \$2 million per accident. Insurance must cover liability arising out of a motor vehicle, including owned, hired, and non-owned motor vehicles. The insurance policy must include "California State Lottery" as loss payee.

6.6 Property Insurance

The Contractor must maintain insurance on its facilities and equipment, as well as all instant game tickets newly produced and not yet delivered to and accepted by the Lottery at a Lottery distribution center, in the amount of the actual replacement cost for such items. This policy must include an all-risk property floater.

6.7 Indemnification

- A. The Contractor must indemnify and hold harmless, at the Contractor's expense, the State of California, the Lottery, the Commission, Lottery officers, employees and agents, and their respective successors, heirs, representatives, administrators and assigns, from all responsibilities, suits, judgment, awards, costs, damages, claims, demands, actions, causes of action, compulsory license fees, expenses, and liabilities of every nature threatened or brought against, sustained or incurred by any of them, whether joint, several, or individual (hereafter referred to as "claims") resulting or arising from or in any way connected with or based upon: (1) any act or omission, whether negligent,

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unauthorized, or intentional, by the Contractor or its officers, employees, subcontractors, or agents in connection with the Contract; (2) the inaccuracy or breach of any representations, and/or warranties made by the Contractor as they occur; and (3) the material breach of any term or condition of the Contract by the Contractor. The Contractor's obligations hereunder include any losses, damages, liabilities, settlements, judgments, fines, costs, fees, and expenses of any nature whatsoever, including but not limited to fees for attorneys and other professionals at trial and on appeal. The provisions of this section shall survive the termination or expiration of the Contract.

- B. Neither the Contractor nor any attorney engaged by the Contractor may defend against such claims on behalf of the Lottery, nor purport to act as a legal representative of the Lottery, without the prior written consent of the Lottery Director.
- C. The indemnities set forth in this subsection are in addition to, and not in lieu of, any other indemnities provided hereunder or by law.
- D. The Contractor must provide the Director immediate written notice of any action or suit filed against the Contractor that is related in any way to the Contract.

6.8 Indemnification against Claims for Infringement

- A. The Contractor must indemnify and hold harmless, at the Contractor's expense, the State of California, the Lottery, the Commission, Lottery officers, employees and agents, and their respective successors, heirs, representatives, administrators and assigns, from all responsibilities, suits, judgment, awards, costs, damages, claims, demands, actions, causes of action, compulsory license fees, expenses, attorneys' fees, and liabilities of every nature threatened or brought against, sustained or incurred by any of them, whether joint, several, or individual (hereafter referred to as "claims") resulting or arising from or in any way connected with or based upon:
 - 1. A claim that any program, process, composition, writing, equipment, appliance, or device or any trademark, service mark, logo, idea, combination of ideas or any other tangible, intangible, or intellectual property whatsoever developed, provided or used by the Contractor in connection with performance under the Contract infringes any patent, copyright, trademark, trade secret, or other intellectual property rights of another; or
 - 2. A claim against the Contractor, made by a person other than a party hereto, arising from or alleging facts which constitute a violation or breach of any representation, warranty, or contract by Contractor.

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The Contractor's obligations hereunder include any losses, damages, liabilities, settlements, judgments, fines, costs, fees, and expenses of any nature whatsoever, including but not limited to fees for attorneys and other professionals at trial and on appeal.

- B. Neither the Contractor nor any attorney engaged by the Contractor may defend against such claims on behalf of the Lottery, nor purport to act as a legal representative of the Lottery, without the prior written consent of the Lottery Director.
- C. The indemnities set forth in this subsection are in addition to, and not in lieu of, any other indemnities provided hereunder or by law.
- D. Trademark Searches

The Contractor, at its own expense, is solely responsible for obtaining trademark, trade name, service mark, house mark, copyright, slogan and/or logo (collectively referred to as "mark") searches on marks which are to be used in materials developed, provided, or used by the Contractor in connection with its performance under this Contract and, if necessary, obtaining all permissions required to use the marks. All searches must be completed prior to execution of the working papers for each game. Lottery-owned marks are excluded. The Contractor must ensure that the search results remain valid and effective throughout the period a mark is used by the Lottery. For each game, the Contractor must provide the Lottery with a letter certifying that the search has been conducted and that no marks will be infringed upon. In each instance, the search must be completed and the certification letter provided prior to the drafting of the working papers for that game. Receipt of the Contractor's trademark search certification letter will not constitute the Lottery's agreement with its content and will not constitute a waiver any of the Contractor's responsibilities and obligations under this Contract.

E. Clearances and Licenses

- 1. The Contractor is responsible, at its own expense, for securing from any person, firm, corporation or other third party any necessary rights, clearances, releases, waivers, agreements and licenses with respect to any program, process, composition, writing, equipment, appliance, or device or any trademark, service mark, logo, idea, name, likeness, combination of ideas, or any other tangible, intangible, or intellectual property whatsoever developed, provided or used by the Contractor in connection with performance under the Contract.

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2. If it is determined that any materials developed, provided, or produced by the Contractor infringe upon of the rights of another, the Contractor must, at its own expense and the Lottery's option:
 - a. Procure for the Lottery the right to continue to use the materials;
 - b. Replace the materials with comparable materials that are non-infringing;
 - c. Modify the materials so they become non-infringing; or
 - d. Remove the materials and indemnify the Lottery for any damages incurred as a result of the infringement.

6.9 Risk of Loss or Damage

The Contractor bears all risk of loss or damage to all materials produced under this Contract until delivered and accepted by the Lottery at a Lottery distribution center.

6.10 Costs Relating to Contractor Error

- A. The Contractor must reimburse the Lottery for all actual damages resulting from Contractor error, including but not limited to attorneys' fees and costs and for prize amounts incurred or other payments made to players by the Lottery as a result of the Contractor's error. A "free ticket" prize is valued at the purchase price of the ticket. Merchandise is valued at the actual cost to the Lottery or at the replacement cost, in the Lottery's sole discretion. If a payment obligation extends beyond the term of this Contract, the Contractor guarantees full payment of such obligation. In addition, the Contractor must indemnify the Lottery against all third-party claims relating to Contractor error.
- B. Where a player purchases a ticket that, due to any Contractor error, including any errors in the printing or manufacturing process, appears to be a winning ticket but does not validate as a winning ticket, the Lottery may in its sole discretion pay the player the apparent value of the ticket. The Contractor must reimburse the Lottery for any such payments made.
- C. The Contractor is not liable for post-delivery ticket alterations or counterfeit tickets that, through no fault of the Contractor, are inadvertently redeemed by Lottery retailers or Lottery staff.

6.11 Failure to Provide Full Value

- A. The Contractor must reimburse the Lottery for the actual costs and attorneys' fees incurred by the Lottery for any instant ticket game produced and delivered

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by the Contractor for which the Lottery does not receive full value. In addition, the Contractor must reimburse the Lottery for expenses incurred for advertising, POS, and promotions in connection with any such game if the Lottery terminates the game early.

- B. Non-receipt of full value includes, but is not limited to, the Lottery's discontinuing or not starting a game due to poor, inferior, or unsatisfactory manufacturing quality, exclusively determined by the Lottery, of the Scratchers tickets produced; deviation in any respect whatsoever from the specifications set forth in Exhibit A, Scope of Services and Service Specifications; unacceptable deviation from the approved game working papers or prize structure; presence of the ability to identify or predetermine winning Scratchers tickets before actual play; or any other defect relating to the instant game tickets produced by the Contractor.

7. CONTRACT OVERSIGHT

7.1 Background Investigations and Approval of Contractor Staffing

The Lottery may investigate the Contractor, its parent entity, and their officers, directors, principals, investors, owners, employees, and other associates, subsidiaries, and subcontractors at any time during the life of the Contract, at the discretion of the Lottery Director. The Lottery may terminate the Contract based on the results of these investigations as provided in California Government Code sections 8880.57 and 8880.58.

Furthermore, the Contractor understands and agrees that, in furtherance of the Lottery's full disclosure requirements, any person associated with the performance of the Contract may be fingerprinted and may be required to complete a personal history statement and an authorization to release personal background information.

The Lottery reserves the right to disapprove any Contractor and/or subcontractor personnel assigned to the Lottery Contract. Any personnel deemed unacceptable to the Lottery must immediately be removed. All subcontracts must include a provision implementing this requirement.

Neither the Contractor's personnel nor that of its subcontractors may be assigned to the Lottery Contract if they have been or are convicted of a felony, a gambling-related offense, or a crime involving dishonesty. This Contract is subject to termination if this provision is violated.

The Contractor may be required to reimburse the Lottery for costs incurred in conducting background investigations, including but not limited to: travel, lodging,

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per diem, document procurement costs, site inspections, fingerprinting, and any other necessary and reasonable expenses.

7.2 Contractor Evaluation

The Lottery's contract manager and the Contractor's contract manager may meet as often as necessary, upon the Lottery's request, to review and evaluate progress and performance.

7.3 Small Business Participation

The Lottery will monitor the Contractor's small business participation, if applicable. Periodic participation reports may be required from the Contractor.

7.4 Record Maintenance and Access

The Contractor and its subcontractors are required to maintain all financial and accounting records and all other documents and materials (Records) pertaining to the performance of their obligations under this Contract in accordance with generally accepted accounting principles and any other procedures specified by the Lottery. As provided by law, these Records must be made available to the Lottery upon request during the Contract term and for four years after the date of final payment under the Contract.

7.5 Audit Provisions

A. Records Audit

During the Contract term and for four years after final invoice has been paid, the Contractor must provide all duly authorized representatives of the State of California and the Lottery with full access to the Records, including access to individuals with knowledge of the Records. All duly authorized representatives of the State of California and the Lottery may examine, audit, and copy the Records.

B. Right to Audit Contractor's Operations

The Lottery and its representatives may audit any of the Contractor's and its subcontractors' procedures and operations that relate to performance under this Contract, including physical and logical security controls and any Contract-related software. Audits may be initiated at any time and may include both announced and unannounced inspections as well as on-site audits. Any such audits or inspections will be conducted only during normal business hours and

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in a manner that does not unreasonably interfere with Contractor's business or operations.

The Contractor must ensure that all subcontractors providing services under the Contract maintain all Records and comply fully with these audits.

In addition, the Contractor must, within six months of Contract execution and annually thereafter, provide a current Service Organization Control (SOC) 2, Type II report that includes all five criteria: Security (Common Criteria), Availability, Processing Integrity, Confidentiality, and Privacy. A report will be deemed current only if the report was completed within 12 months prior to its delivery to the Lottery.

The Contract must meet all World Lottery Association (WLA) control standards. (e.g. WLA S.1.3 Integrity measures related to printing of physical instant tickets).

7.6 Information Security Audit

The Contractor must keep audit logs of any access or other activities associated with Lottery information. Refer to the ISO/IEC 27001 for specific requirements on logging and monitoring and, if applicable, the IPA.

The Lottery has the right to audit the Contractor's information security controls and associated plans and processes to verify compliance with the Contract.

7.7 Dispute Resolution

Notwithstanding the terms of Section 2.3 above, if a dispute arises out of this Contract that remains unresolved after good faith negotiations between the Lottery and the Contractor, the parties will submit the dispute to arbitration. Arbitration will be conducted under the commercial arbitration rules of the American Arbitration Association. The arbitration must be final and binding and must be held in Sacramento County before an arbitrator who is acceptable to both parties. In the event that the parties cannot agree on an arbitrator, one will be appointed after either party petitions the court pursuant to California Code of Civil Procedure section 1281.6. The arbitrator's decision must be in the proper form to be entered as a judgment in a court of competent jurisdiction in Sacramento County. The parties to the arbitration will share equally in the costs of arbitration. Unless otherwise provided herein, each party will be responsible for its own attorneys' fees and costs. Notwithstanding any dispute, the Contractor must proceed diligently with performance of this Contract.

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In the event the parties agree on another form of alternative dispute resolution to address a particular dispute, this section will not be construed to limit the parties' ability to utilize such a process. However, any alternative dispute resolution process must be considered final and binding on both parties.

7.8 Notice of Delay

Whenever the Contractor has knowledge that any actual or potential situations, including but not limited to labor disputes, delay or threaten to delay timely performance of the work under this Contract, the Contractor must immediately provide the Lottery with written notice including all relevant information.

7.9 Disqualification from Lottery Play

During the remaining term of the Contract, the Contractor, any employee of the Contractor that is likely to have access to confidential Lottery information, programs, or systems, and any spouse, child, brother, sister, or parent that resides in the same house as either the Contractor or an employee described above ("Disqualified Employee") will be deemed "Disqualified Persons" under Lottery Regulations. Disqualified Persons are strictly prohibited from purchasing a Lottery ticket, winning a Lottery prize, participating in Lottery promotions, and receiving Lottery promotional awards.

The Contractor and all Disqualified Employees must submit a completed and signed copy of the Lottery's "Contractor Information – Disqualified Persons" form. This form requires that the name, address, and date of birth be provided for the Disqualified Persons, including those residing in the same household as the Contractor or Disqualified Employee. This information will be treated as confidential and will be used solely to assist the Lottery's Security and Law Enforcement Division in screening out any Lottery prize or promotional award claims submitted by Disqualified Persons.

During the Contract term, Contractor has an ongoing duty to ensure that the "Contractor Information – Disqualified Persons" form remains up-to-date, and that the Lottery receives a completed and signed copy of this form for any employees, new or otherwise, that will perform work that is likely to involve access to confidential Lottery information, programs, or systems. Any Disqualified Employee that fails to provide a completed and signed copy of the "Contractor Information – Disqualified Persons" form must not be permitted to perform this type of work under the Contract.

8. EXPIRATION OR TERMINATION OF CONTRACT

8.1 Expiration of the Contract

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Absent early termination of the Contract as provided herein, the Contract will expire at the end of its term and any applicable extension(s).

8.2 Termination for Default

A. The Lottery may, by written notice of default to the Contractor, terminate the Contract in whole or in part if:

1. The Contractor fails to provide acceptable deliverables within the time specified in the Contract;
2. The Contractor fails to perform any material provision of this Contract;
3. The Contractor fails to sustain a level of economic viability in its overall operations such that the Lottery cannot reasonably be assured of its ability to continue to comply with the provisions of this Contract;
4. A court of competent jurisdiction finds that the Contractor, its principals, or assigned personnel have failed to adhere to any law, ordinance, rule, regulation or order that may reasonably impugn the Contractor's business in such a way as to call into question the security, integrity or competence of the Contractor;
5. The Contractor fails to communicate with the Lottery as required by the Contract;
6. The Contractor breaches the Contract's standard of confidentiality;
7. The Contractor engages in conduct that may result in a material negative public impression, or create the appearance of impropriety, with respect to the Lottery, the Contractor, or the State of California; or
8. The Contractor has knowingly, or acting with a reckless disregard of the truth, furnished any material statement, representation, warranty, or certification to the Lottery which is false, deceptive, or incomplete.

B. In the event of termination for breach, the Lottery may obtain replacement services and goods, on an emergency or interim basis, for the services and goods that the Contractor was obligated to provide. In that case, the Lottery may collect from the Contractor the difference between the Contractor's contractual compensation rate and the actual cost to the Lottery of obtaining and utilizing replacement services and goods. The Lottery may also collect actual costs, including administrative expenses, incurred by the Lottery in order

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to process and procure replacement services and goods. The Lottery may collect monies it is due by offsetting the amount from any payments due to the Contractor, by perfecting and executing on any security interest provided by the Contractor, or by any other means. The Lottery will mitigate its damages, to the extent that it is reasonable to do so.

- C. If the Lottery terminates the Contract for default, the Contractor must immediately transfer title and deliver to the Lottery, without charge, 1) completed or partially completed Lottery goods or materials; 2) license rights to any intellectual property that the Contractor has produced or acquired for the Lottery; and 3) any other property in the Contractor's control in which the Lottery has an ownership interest. The Contractor must protect and preserve any property in its possession in which the Lottery has an interest.

The Lottery will pay the Contract price for goods or materials delivered and accepted. The Contractor and the Lottery will agree on the amount of payment for goods, materials, and license rights to any intellectual property delivered and accepted by the Lottery. Failure to agree will be a dispute subject to the Dispute Resolution provisions herein. The Lottery may withhold from any amounts due to the Contractor any sum the Lottery determines is necessary to protect the Lottery against loss.

- D. The rights and remedies provided in this subsection are in addition to any other rights and remedies set forth in the Contract or otherwise provided by law.

8.3 Termination Based on Determination of Illegality

The Lottery may terminate in whole or in part and reduce the Contractor's future compensation immediately upon its determination that an activity or operation supported by the Contract is no longer lawful for reasons including, but not limited to, court decision, legislative action, administrative decision, or advice of counsel. Upon receipt of notice of termination or reduction based on a finding of illegality, the Contractor must immediately cease performance of such activity or operation and mitigate its damages. The amount of compensation reduction will correspond to the cost and expected profit of the activity or operation terminated minus reasonable costs associated with the termination. The Contractor must submit, within 90 calendar days of receipt of a notice of termination or reduction pursuant to this subsection, a compensation reduction proposal. If the Contractor and the Lottery fail to agree on the amount of compensation reduction, the Lottery will reduce the compensation in good faith as determined by its calculations.

8.4 Termination for Convenience

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The Lottery retains the option to terminate the Contract for the Lottery's convenience upon advance written notice of no fewer than 30 days from the effective date of termination. Upon receipt of the Lottery's notice of termination, the Contractor must mitigate damages. The Contractor will be entitled to compensation upon submission of invoices and proper proof of claim for good or services that were satisfactorily rendered or provided before the effective date of termination upon the submission of proof of such expenses incurred to the Lottery's satisfaction. In the event of termination for convenience, the Contractor must furnish copies of all materials related to performance hereunder to the Lottery.

8.5 Parties' Responsibilities upon Termination and Transfer to New Contractor

Upon termination or other expiration of this Contract, each party will assist the other party in its orderly termination and the transfer of all Contract-related assets, tangible and intangible, as may facilitate the orderly, non-disrupted business operations of each party subject to the appropriate protection of each party's confidential and proprietary information. The Contractor must continue to provide and support goods and services pursuant to this Contract until migration to a replacement contract with a new contractor is complete. If the migration effort is required to continue beyond the term of this Contract, the Contractor agrees to extend the Contract in accordance with the section entitled Extended Service for Contractor Change for the time necessary to complete the migration and orderly transfer.

9. MISCELLANEOUS PROVISIONS

9.1 Changes

- A. The Lottery may at any time, by written order, make changes to products or services or add new products or services that are not otherwise specified in this Contract if they are within the general scope of the Contract.
- B. If any such change causes a material increase or decrease in the cost of, or the time required for, performance of any part of the work under the Contract, the Lottery may adjust the Contract price, the delivery schedule, or both, and may amend the Contract. The Lottery will not adjust or amend the Contract for changes customarily provided by lottery contractors at no cost.
- C. The Contractor must request any adjustment under this provision within 30 calendar days from receiving the written change order.

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- D. Failure to agree to any adjustment may be considered a dispute under the Dispute Resolution section. However, nothing in this section excuses the Contractor from proceeding with performance under the Contract as changed.

9.2 Force Majeure

Neither the Contractor nor the Lottery will be liable for any delay in or performance failure under the Contract due to a force majeure occurrence, provided that the Contractor uses reasonably diligent efforts to avoid or otherwise minimize the impact of an event of force majeure on the Contractor's performance. Any such delay in or performance failure will not constitute default or give rise to any liability for damages. The existence of a delay or failure will extend the period for performance to the extent determined by the Lottery.

For purposes of this Contract, "force majeure" means an act of God or public enemy, earthquake, fire, flood, explosion, pandemic, epidemic, quarantine restriction, strike, freight embargo or closure of all major access roads to geographic area, action of the elements, governmental interference, rationing or any other cause which is beyond the control of the party affected and which, by the exercise of reasonable diligence, a party is unable to control.

9.3 Waiver of Provisions

No term or provision of this Contract will be deemed waived and no breach excused, unless such waiver or consent is in writing and signed by the signatory to this Contract, or his or her successor, on behalf of the party against whom such waiver or consent is sought to be enforced. No consent by either party to a waiver or a breach by the other, whether express or implied, constitutes consent to, waiver of, or excuse for any other breach or subsequent breach except as expressly provided in the written waiver or consent.

9.4 Order of Precedence

Each party acknowledges that it has read this Contract, understands it, and agrees to be bound by its terms. The following documents will be used to interpret the Contract in the stated order of precedence.

- A. The Contract;
- B. The Lottery's Request for Proposal (RFP) R002746 and any amendments, addenda, and clarifications thereto; and
- C. The Contractor's proposal in response to RFP R002746 and any clarifications submitted in response to requests by the Lottery.

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If there are any inconsistencies or ambiguities in the Contract, the Contract will be interpreted by the documents in the order of precedence referenced above.

9.5 Notices in General

Any notice, request, demand, consent, waiver, or other item required or permitted under this Contract or applicable law must be in writing and will be deemed duly given or made only (a) if personally served upon the party intended to receive it, in which case it is effective when delivered; (b) if sent by certified mail, return receipt requested, postage prepaid, addressed to the party at its address set forth below, in which case it is effective on receipt by any person residing at such address; or (c) if sent by email to the Lottery's Contract Manager, in which case it is effective upon receipt by the Contract Manager. A party may change its address for purposes of this Contract only by giving written notice to the other in the manner set forth herein.

	<u>Lottery</u>	<u>Contractor</u>
Name:	California State Lottery	Name:
Address:	700 North 10 th Street Sacramento, CA 95811	Address:
Attention:		Attention:
Phone #:		Phone#:
FAX:		FAX #:
e-mail:		e-mail:

With a copy to:

	<u>Lottery</u>	<u>Contractor</u>
Name:	California State Lottery	Name:
Address:	700 North 10 th Street Sacramento, CA 95811	Address:
Attention:	Legal Office	Attention:
Phone #:	916-822-8177	Phone#:
FAX:	916-737-5983	FAX #:
e-mail:		e-mail:

9.6 Invalidity in Whole or in Part/Severability

If any provision of this Contract is found to be illegal, invalid, or unenforceable under any applicable rule or law, such invalidity will not affect other provisions that

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can be given effect without the invalid provisions, and to this end, such provision(s) is declared to be severable.

9.7 Execution of Counterparts

The parties deem an executed copy of this Contract as having the same force and effect as the original document.

9.8 Sections and Subsection Headings

The section and subsection headings contained herein are for convenience in reference and are not intended to define the scope of any provision of the Contract.

9.9 Assignment

A. The Contractor may not assign performance of or payment for the Contract or any portion of the Contract without the prior written consent of the Lottery, which may be withheld at the Lottery's sole discretion. Any attempt by the Contractor to make such assignment without the prior written consent of the Lottery will be void and will constitute a material breach of the Contract.

B. All assignment requests must be submitted to the Lottery in writing.

C. In addition to obtaining the prior written consent of Lottery, any attempt to assign performance of the Contract or any portion of the Contract will be void unless all of the following conditions have been met: 1) the terms of the Contract are included in the assignment and agreed to by the assignee; 2) the Lottery has reviewed and approved all pertinent disclosure information; and 3) the Lottery has reviewed and approved the final written assignment.

9.10 Subcontracting

Upon prior written approval from the Lottery, the Contractor may enter into subcontracts. The Contractor must provide written notice to the Lottery of its intent to enter into each subcontract. The Contractor's written request must be received by the Lottery at least 15 calendar days prior to executing each subcontract. The notice must: 1) provide verification that each subcontractor agrees to be bound to the Contractor in the same manner as the Contractor is bound to the Lottery; 2) include a detailed description of the work to be subcontracted; and 3) include a copy of each proposed subcontract. The Lottery may disapprove the Contractor's subcontractors at any time.

The Contractor must, where feasible, follow the Lottery's regulatory requirements for the procurement of goods and services when the estimated subcontracted

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amount is over \$100,000. This requirement may be waived by the Lottery in writing upon a showing that there is a single source for the service or product sought or where time does not permit solicitations of multiple bids. The requirements may be found at www.calottery.com.

Nothing contained in the Contract will create any contractual relationship, whether third party or otherwise, between the Lottery and any subcontractors. The Contractor agrees to be as fully responsible to the Lottery for the acts and omissions of its subcontractors and of persons either directly or indirectly employed by any of them as it is for the acts and omissions of persons directly employed by the Contractor.

The Contractor's obligation to pay its subcontractors is an independent obligation from the Lottery's obligation to make payment to the Contractor. As a result, the Lottery will have no obligation to pay or to secure payment of any moneys to any subcontractors.

9.11 Independent Contractor

The Contractor will be an independent contractor in the performance of the Contract. The Contractor will have sole and exclusive control of the manner and means of its performance under the terms of this Contract except as expressly set forth herein.

9.12 Travel and Expenses

The Contractor will not be compensated separately by the Lottery for travel time, mileage, meals, or incidentals.

9.13 Standards of Conduct

The Contractor is responsible for maintaining satisfactory standards of employee competency, conduct, appearance, and integrity, and is responsible for taking such disciplinary action with respect to employees as may be necessary. The Contractor is also responsible for ensuring that any employees on the Lottery's premises do not disturb papers on desks, open desk drawers or cabinets, or use Lottery equipment except as authorized.

9.14 Nonexclusive Rights

The Contractor understands and agrees that the Lottery does not grant the Contractor exclusive rights to provide all those services listed in Exhibit A, Scope of Services and Service Specifications during the period covered by this Contract or any extension thereto. The Lottery reserves the right, during the Contract term,

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to acquire these services through another vendor. In exercising this right, the Lottery will determine, in the best interests of the Lottery and in furtherance of its purpose to maximize supplementary funds to public education, whether to obtain these services through the Contractor or through another vendor. The Lottery's exercise of this right will not constitute a breach of the Contract.

10. INFORMATION SECURITY STANDARDS

10.1 Information Security

Information security is the protection of the integrity, availability and confidentiality of information and the resources used to enter, store, process and communicate the information. The Contractor acknowledges and agrees that it may, in its performance of the Contract, collect, generate, and/or have access to information and data pertaining to or provided by the Lottery and/or its customers (collectively, "Lottery Data"). The Contractor also acknowledges and agrees that proper information security requires protecting the integrity, availability, and confidentiality of confidential, sensitive, and personal information and the resources used to enter, store, process and communicate such information.

To this end, in performing the Contract, the Contractor must establish and maintain adequate security controls, policies, standards, and procedures to prevent unauthorized access to, and protect the confidentiality, integrity, and availability of, Lottery Data, assets and services.

The Contractor must operate in accordance with California state and federal laws, and all other applicable laws, regulations and rules, as well as best industry practices, related to the protection of information assets and the timely and efficient management of security incidents, including corrective action.

10.2 Data Confidentiality, Integrity, Availability and Management

Lottery Data will be collected and retained by the Contractor only for legitimate business purposes associated with the Contract. Disclosure of any Lottery information to any person or entity not authorized under this Contract is prohibited. The Contractor's data handling processes must, throughout the term of the Contract, comply with the International Organization for Standardization and International Electrotechnical Commission (ISO/IEC) 27001, ISO/IEC 27002, and, if applicable, the California Information Practices Act of 1977 (IPA). Additionally, all sensitive and confidential electronic Lottery Data in transit and Data at rest, must at a minimum be encrypted in compliance with Federal Information Processing Standards Publication (FIPS) 140-2 Security Requirements for Cryptographic Modules and meet appropriate levels of security (confidentiality, integrity and availability).

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Upon Contract expiration or termination, or as directed by the Lottery during the term of the Contract, all Lottery Data in the Contractor's possession must be returned to Lottery or destroyed beyond recovery, at the Lottery's option. Additionally, disposal of sensitive and confidential Lottery Data must be performed using a method that meets ISO/IEC 27001, ISO/IEC 27002, and FIPS 199 minimum requirements. Data destruction or return must be completed at Contractor's cost and expense within a mutually agreed upon timeframe, but in no case later than 90 days after Contract expiration/termination date.

10.3 Contractor Responsibilities

Information security must be ensured by the Contractor, as the Contractor may have physical or electronic access to the Lottery's confidential, sensitive, or personal information. This information may be contained in systems that directly support the Lottery's business operations. This includes IT hardware and software, and the services associated with the management, operations, maintenance, programming and system administration of computer systems, networks, telecommunications systems, and social media. This also includes access to printed materials and other paper records.

The Contractor and all Contractor personnel must not use or redistribute any Lottery Data processed, stored, or transmitted by the Contractor, except as specified in the Contract or upon written Lottery approval.

10.4 Information Security Incident

The Contractor must disclose to the Lottery any Information Security Incident. An Information Security Incident is an occurrence that actually or potentially jeopardizes the confidentiality, integrity, or availability of an information system or the information the system processes, stores, or transmits associated with the Lottery Contract.

The Contractor must notify the Lottery Contract Manager, the Lottery Chief of Product, the Lottery Deputy Director of Security/Law Enforcement (SLED), and the Lottery Information Security Office within two hours after discovery of the Information Security Incident.

To the extent that the Information Security Incident includes or is reasonably believed to include the acquisition of personal information, as defined in California Civil Code section 1798.29, by an unauthorized person, the Contractor must notify the Lottery Contract Manager, the Lottery Deputy Director of Security and Law Enforcement Division (SLED), and the Lottery Information Security and Privacy Office immediately following discovery.

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If the Lottery determines that disclosure of an information security breach is required under section 1798.29, or any other applicable law or regulation, the Contractor will diligently assist the Lottery in gathering all necessary information for the Lottery to comply with the disclosure requirements set forth therein. In addition, if the information security breach arises from the negligence or willful misconduct of the Contractor, or its agents, employees, or subcontractors, the Contractor will reimburse the Lottery for any costs incurred in connection with the breach; such costs may include, but will not be limited to, the cost of preparing and delivering required notifications and up to 12 months of identity theft prevention and mitigation services for any California residents whose personal information may have been compromised, if the Lottery determines that such notifications and/or services are required by applicable law, consistent with industry standards or otherwise reasonably necessary to safeguard the Lottery's business standing or reputation.

Information Security Incident Contact Information:

Lottery Contract Manager

Name:

Email:

Phone:

Lottery Product Chief

Name:

Email:

Phone:

Lottery Deputy Director, Security and Law Enforcement Division (SLED)

Name:

Email:

Phone:

Lottery Information Security and Privacy Office

Email:

Phone:

10.5 Information Security Audit

The Contractor must keep audit logs of any access or other activities associated with Lottery information. Refer to the ISO/IEC 27001 for specific requirements on logging and monitoring and, if applicable, the IPA.

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The Lottery has the right to audit the Contractor's information security controls and associated plans and processes to verify compliance with the Contract.

10.6 Physical Security

The Contractor must take appropriate measures, including without limitation those set forth below, to prevent the loss, theft, damage, and misuse of all equipment associated with the Lottery Contract.

The Contractor must take reasonable measures to minimize the possibility of equipment damage or other disruptions to service from any line voltage fluctuation or power loss and to ensure the continued operation of all Lottery systems and operations in the event of a failure of a public electric distribution system providing service to the Contractor.

The Contractor must safeguard all information systems equipment and data facilities used in the performance of the Contract against fire or water, and will maintain and monitor fire and moisture detection systems. Alarms will be monitored on site and by a 3rd party alarm service on a 7-day-per-week, 24-hour-per-day basis. The alarm company will perform regularly scheduled maintenance and testing of all monitoring and alerting equipment.

The Contractor must safeguard all information systems and data center facilities against high temperatures and inappropriate humidity. Temperature and humidity must be maintained within the range specified by the manufacturer.

10.7 Security Plan

The Contractor must provide, within 10 days after the execution of the Contract, and shall maintain and follow throughout the term of the Contract, a Security Plan that identifies implemented administrative, physical and technical security controls that will properly protect information at a level that is proportionate to the criticality and sensitivity of the information. The Lottery uses the following most current standards and guidelines for identifying the sensitivity, classification, and the recommended security controls necessary to protect the information:

- Publications of the ISO/IEC 27001, ISO/IEC27002
- FIPS 199
- FIPS 140-2

The Contractor's handling of Lottery Information Assets must be consistent with the foregoing standards and guidelines and with all the Lottery's obligations thereunder. After the Contractor has submitted its initial Security Plan, the Contractor will be responsible for submitting updated Security Plans on an annual

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basis, within 30 days after the anniversary of the Contract start date. The Security Plan must be submitted to the Lottery for approval, identifying the security considerations and controls, and naming a designated Information Security Officer (ISO) for the operations of the Contractor under the Contract. For the duration of the Contract term, the Lottery may also require the Contractor to update the Security Plan at any time and submit it to the Lottery for approval, if the Lottery determines that a significant change to the deliverables necessitates an update to Contractor's security controls.

If the Contractor has engaged services from a subcontractor or uses the services of a subsidiary as part of the Contract, it is the Contractor's responsibility to ensure that these parties also provide to the Lottery a Security Plan consistent with the Lottery's Information Security requirements and comply with such plan.

10.8 Security Plan Requirements

The Security Plan must designate Contractor personnel and staffing profiles to ensure that there is a clear "separation of duties" throughout the Contract term. Separation of duties is the principle of not allowing one person to be responsible for completing or controlling a task, or set of tasks, from beginning to end when the potential for fraud, abuse or other harm exists.

The Security Plan must also demonstrate how the Contractor complies with the concepts of "least privilege" and "need to know;" an individual Contractor or Contractor group must only have access to the systems and information required for their tasks, access must be limited to only the information required to perform their role, and broad system privileges that may put Lottery information at undue risk must not be granted.

Contractor supervisors and management must ensure adherence to the approved Security Plan.

The Security Plan must include, at a minimum, security measures and program safeguards to ensure that the information and systems developed, acquired, operated, maintained and/or used by the Contractor and Contractor personnel provide the following:

- A. Protection from unauthorized access, alteration, disclosure, misuse of information processed, stored or transmitted, and misuse of administrative privileges.
- B. A Business Continuity and Disaster Recovery plan (See "Business Continuity and Disaster Recovery Planning" below) in the event of a major system failure, information security incident or disaster.

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- C. Appropriate management, administrative, operational, technical, and environmental controls sufficient to provide cost-effective assurance of the information's confidentiality, integrity, and availability.
- D. Hardening and secure configurations of network devices, servers, applications, operating systems, services, and other information technology resources.
- E. An Antivirus protection program, operating system patching program, and application patching program for all information systems and resources under their control.
- F. A network intrusion detection and prevention program as well as a continuous vulnerability management and remediation program for all information technology resources under their control.
- G. A security incident response plan for handling suspected information security incidents and breaches, including incident escalation and corrective actions.
- H. A fully implemented information security training and privacy awareness program.
- I. Maintenance, monitoring and analysis of access rights, as well as security and audit logs.
- J. An independent review of the management, administrative, operational, and technical controls to provide assurance that these controls are in place and are effective.

The Contractor must ensure adherence to the approved Security Plan at all times.

10.9 Business Continuity and Disaster Recovery Planning

The Contractor must maintain data backup and recovery processes for all critical Lottery Data as defined by the Lottery, according to the specifications provided by the Lottery. The specifications will include, without limitation, the applicable Recovery Time Objectives (RTO) for the Contractor to meet when restoring a service, application, or system. The specifications will also include the applicable Recovery Point Objectives (RPO) that define the amount of information or data loss the Lottery will accept due to service disruptions such as data corruption or system outages. Backed up data or copies of data must be stored securely and geographically separated from the original data. All copies must be verified to be accurate and operational. Restoration systems must be tested at least once per month, and all backup and restoration exceptions must be corrected as soon as possible. Tests and all exceptions will be logged for 30 days and made available to the Lottery for review when requested. Major backup exceptions spanning more than five days, or restoration test failures, must be reported to the Lottery Contract Manager when they occur.

The Business Continuity and Disaster Recovery Plan must cover a minimum of four topic areas: (1) summarization of strategy for managing disaster situations; (2) distinct management and staff assignment of responsibilities immediately

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following a disaster and continuing through the period of re-establishment of normal operations; (3) prioritization for the recovery of critical systems; and (4) operational procedures documented in a systematic fashion that will allow recovery to be achieved in a timely and orderly way. The plan must be adapted to suit the Lottery's needs.

10.10 Rights to Lottery Data

The parties agree that as between them, all rights, including all intellectual property rights, in and to Lottery Data (including but not limited to any information, formulae, algorithms, or other content uploaded, created, collected, provided, transmitted or modified by the Lottery, its employees, agents, or end users, or by the Contractor on behalf of the Lottery, in connection with the Contract) shall remain the exclusive property of the Lottery; the Contractor has a limited, non-exclusive license to access and use the Lottery Data as provided to the Contractor solely for performing its obligations under the Contract. Nothing herein shall be construed to confer any license or right to the data, including user tracking and exception data within the system, by implication, estoppel or otherwise, under copyright or other intellectual property rights, to any third party. Unauthorized use of data by the Contractor or third parties is prohibited. For the purposes of this requirement, the phrase "unauthorized use" includes the data mining or processing of data stored or transmitted by the Contractor for unrelated commercial purposes, advertising, or advertising-related purposes, or for any other purpose that is not explicitly authorized by the Lottery.

10.11 Data Location

All Lottery Data maintained by the Contractor or its subcontractors, and any Contractor or subcontractor data center where Lottery Data is stored, must be physically located within the continental United States or Canada.

10.12 Remote Access

Remote access to Lottery Data from outside the United States is prohibited, unless approved in advance in writing by the Lottery.

10.13 Security Controls Evaluation

The Lottery will conduct ongoing evaluations of the Contractor's security controls. The Contractor and any subcontractors providing services under the Contract must cooperate fully with inspections and on-site controls evaluations.

11. INTELLECTUAL PROPERTY

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11.1 Ownership

Except as otherwise specified herein, and subject to the rights of the Contractor existing prior to this Contract or created outside the scope of this Contract and of any third party intellectual property rights incorporated into products or service, or licensed by the Contractor and provided to the Lottery hereunder, the Lottery owns and retains all right, title, and interest in and to all deliverables and all other results and proceeds of the services hereunder, in all stages of completion, including without limitation any tangible or intangible items or things that have been or will be prepared, created, maintained, serviced, developed, incorporated, provided, or obtained by the Contractor (or such third parties as the Contractor may be permitted to engage) at any time following the effective date of the Contract, expressly for or on behalf of the Lottery under the Contract, including but not limited to any: (a) works of authorship (such as literary works, musical works, dramatic works, choreographic works, pictorial, graphic and sculptural works, motion pictures and other audiovisual works, sound recordings and architectural works, which includes but is not limited to lottery games, game names, game designs, ticket format and layout, manuals, instructions, printed material, graphics, artwork, images, illustrations, photographs, computer software, scripts, object code, source code or other programming code, HTML code, data, information, multimedia files, text web pages or web sites, other written or machine readable expression of such works fixed in any tangible media, and all other copyrightable works), (b) trademarks, service marks, trade dress, trade names, logos, or other indicia of source or origin, (c) ideas, designs, concepts, personality rights, methods, processes, techniques, apparatuses, inventions, formulas, discoveries, or improvements, including any patents, trade secrets and knowhow, (d) domain names, (e) any copies, and similar or derivative works to any of the foregoing, (f) all documentation and materials related to any of the foregoing, and (g) all other goods, services or deliverables to be provided to the Lottery under the Contract (collectively the "Work Product"). To the maximum extent permitted under applicable law, the Lottery is be deemed to be the "author" of all Work Product and all such Work Product will constitute "works made for hire" under the U.S. Copyright Act (17 U.S.C. §§ 101 *et seq.*) and any other applicable copyright law. The Contractor hereby waives any and all moral rights or equivalent rights under the laws of any applicable jurisdiction (including without limitation rights of integrity and attribution) in and to the Work Product. To the extent that any Work Product does not constitute a work made for hire, the Contractor hereby irrevocably transfers and assigns to the Lottery all right, title, and interest in and to the Work Product, including without limitation all copyrights, patents, trademarks, and other intellectual property and proprietary rights therein throughout the world. Under no circumstances shall the Contractor register any Work Product without first obtaining, in writing, the Lottery's express consent to such registration.

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11.2 Detail of Rights

The Contractor acknowledges and agrees that without limiting section 11.1, the rights vested in and transferred to the Lottery in and to the Work Product include without limitation the following:

- A. Copyright. The Lottery will be the sole owner of the undivided interest in all copyrights and all similar or equivalent rights throughout the world in the Work Product, whether vested, contingent or future, including without limitation all economic rights and the exclusive rights to reproduce, fix, adapt, modify, translate, create derivative works from, manufacture, market, introduce in circulation, publish, make available, distribute, sell license, sublicense, transfer, rent, lease, transmit or provide access electronically, broadcast, display, perform, enter into computer memory, and use the Work Product, all modified and derivative works thereof, all portions and copies thereof in any form.
- B. Moral Rights. The Contractor and all of its employees, persons, subcontractors and other entities who may have claims of moral rights (or similar or equivalent rights under the laws of any jurisdiction) in any part of the Work Product, have agreed or the Contractor will obtain their agreement that: (i) they have no objection to publication, use and exploitation of the Work Product as contemplated by this Contract; (ii) they will remain anonymous authors without attribution or credit, acknowledging that the Lottery or its designees may be designated as author; (iii) the Lottery or its successors, assigns or licensees may make future modifications and adaptations to the Work Product, and may make disclosure and disposal of the Work Product, and any modifications thereof, in the manner that the Lottery or its successors, assigns or licensees see fit; without any right of approval, withdrawal or public renunciation by such persons, and (iv) their remuneration for the Work Product is complete, adequate and reasonable. For any and all such rights in the nature of moral rights or otherwise that are not capable of vesting in or transfer to the Lottery under applicable law, the Contractor waives and agrees never to assert such rights against the Lottery or its successors, assigns or licensees.
- C. Patent, Design, Trademark Rights. The Lottery will be the sole owner of all rights in and to any inventions, designs, database rights, and marks embodied in the Work Product or developed in the course of creation of the Work Product, including without limitation all utility and design patent rights and equivalent rights in and to such inventions and design rights, and all trade and service mark rights, throughout the world.
- D. Exclusive Worldwide License. In the event that by operation of law, notwithstanding the Contractor's execution of any further documents to effectuate the transfer of rights to the Lottery hereunder, the Contractor is

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deemed to have retained rights in any portion of the Work Product, the Contractor grants to the Lottery, its successors, assigns, and licensees, an exclusive, irrevocable, perpetual, worldwide, fully-paid, royalty-free license to reproduce, fix, adapt, modify, translate, create derivative works from, manufacture, introduce into circulation, publish, distribute, make available, sell, license, sublicense, transfer, rent, lease, transmit or provide access electronically, broadcast, display, perform, enter into computer memory, and use or otherwise exploit the Work Product, all modified and derivative works thereof, all portions and copies thereof in any form, and all inventions, designs, and marks embodied therein, throughout the world in all media whether now known or hereafter devised.

- E. Rights in Tangible Media. The Lottery will be the sole owner of all tangible and intangible copies, documents, magnetic or optical media, or other materials, chattel or personal property created by or for the Contractor in connection with this Contract. Upon written notice from the Lottery, the Contractor must deliver to the Lottery all embodiments of the Work Product, in electronic and tangible formats as specified by the Lottery, and/or destroy and certify destruction of all copies of the Work Product in the Contractor's possession or control. The Contractor must maintain the Work Product and other Lottery materials in accordance with the Lottery's information security requirements and will certify in writing compliance with such requirements upon request.
- F. Applications, Renewals, Further Assignments and Transfers. The rights vested in, assigned to, transferred and/or licensed to the Lottery hereunder include without limitation (a) the exclusive right to make and secure applications and registrations of copyright and other intellectual property rights; (b) the exclusive exercise of such intellectual property rights for the unlimited, entire period of such rights throughout the world; (c) the exclusive right to renewals, reversions, and extensions of such intellectual property rights; (d) the exclusive right to authorize, transfer, license, sublicense, deal in, dispose of and assign others to own or exercise such rights, title and interests; and (e) the exclusive right to initiate, pursue, prosecute and settle past, present and future claims of infringements relating to such intellectual property rights. Without limitation, the Contractor acknowledges that all rights of every kind and nature whatsoever in the Work Product may be exploited, assigned and licensed by the Lottery to such third parties as it sees fit, and the Work Product is expressly acknowledged to be specially ordered and commissioned by the Lottery.

11.3 Acknowledgments

The Contractor acknowledges and agrees that the Lottery is the exclusive holder of all copyright, trademark, patent, and other intellectual property and proprietary rights in the Work Product worldwide and that the Contractor has no right to and

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will not directly or indirectly reproduce, fix, adapt, modify, translate, create derivative works from, manufacture, market, introduce into circulation, publish, distribute, sell, license, sublicense, transfer, rent, lease, transmit or provide access electronically, broadcast, perform, display, enter into computer memory, or use or exploit the Work Product, or any portion or copy thereof in any form, or any such rights, or authorize or assign others to do so, or derive any other work from concepts, information or elements of the Work Product, except as explicitly permitted by this Contract. In the event that the Lottery provides the Contractor with technology, software, resource files, tools, and other materials with which to prepare the Work Product, the Contractor will safeguard and use such materials only for the purpose of preparing the Work Product and will return such materials and all copies thereof at any time upon request of the Lottery.

11.4 Further Assurances

At the Lottery's expense, but without payment of additional compensation, the Contractor will execute all documents and take all actions necessary or reasonably requested by the Lottery to document, obtain, maintain, perfect, or assign its rights to the Work Product. The Contractor must also cause its employees, agents, and subcontractors to execute such documents and take such actions as described above. If the Contractor fails or refuses to execute any such instruments within ten business days of the Lottery's request, the Contractor hereby appoints the Lottery as its attorney-in-fact (this appointment to be irrevocable and a power coupled with an interest) to act on the Contractor's behalf and to execute such documents. The Contractor will not contest the validity of the Lottery's rights in the Work Product and will cause its employees, agents, and subcontractors to comply with the foregoing. All such Work Product will be deemed to be the confidential, proprietary and trade secret information of the Lottery.

11.5 Third-Party Materials

The Contractor will not disclose to the Lottery or use in its work any trade secrets or confidential information of a third party which the Contractor is not lawfully entitled to disclose or use in such manner. The Contractor will not use any equipment, supplies, facilities, computer code, work product, inventions, materials, or intellectual property of any other party (the "Third Party Materials") in any Work Product or in the Contractor's performance under this Contract unless: (a) the Contractor has the full right and authority to do so without violating any rights of any third party; (b) the Contractor has obtained all necessary rights to enable the Contractor to perform its obligations under the Contract and grant the rights granted herein and to permit the Lottery to utilize the Third Party Materials as contemplated under this Contract at no additional cost to the Lottery; (c) the Lottery's use of such Third Party Materials will not restrict or impair in any manner its use, in perpetuity, of any deliverables or Work Product or subject the Lottery to

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any obligation or liability; and (d) such Third Party Materials are specifically identified to the Lottery in writing in advance of any use and the Lottery has agreed in writing to such use.

11.6 Transfers and Consents

The Contractor must secure in writing, in a form satisfactory to the Lottery, all transfers of rights and other consents necessary for the Contractor to make the assignments, licenses and other transfers set forth in this section 11.6 and the warranties set forth in this Contract. Without limitation, the Contractor must secure written agreements and consents from its employees and contractors that all works created pursuant to this Contract (including the Work Product) fall within the scope of their employment duties or engagement, as applicable, and that all economic rights in such works vest in the Contractor as the employer and are fully transferable, and the Contractor will secure such written transfers of rights and all other required consents from all other persons or entities whose services were, are or will be rendered in connection with the Work Product. Upon request, the Contractor must provide the Lottery with copies of all such contractual documentation and must include the Lottery as a third-party beneficiary of such agreements or cause such parties to execute a further acknowledgment and assignment for the benefit of the Lottery if requested.

12. FINANCIAL ASSESSMENTS

A. It is mutually agreed that, under the circumstances specified below:

1. If the Contractor fails to perform the services and/or provide the goods herein described, damage to the Lottery will result;
2. Proving such damage would typically be costly, difficult, and time-consuming;
3. The damage amounts contained herein represent a good faith effort to quantify the range of harm that could reasonably be anticipated at the time of execution of this Contract;

B. The Lottery may assess financial assessments against the Contractor for certain performance failures. If the Lottery determines that the performance failure was caused in whole or in part by the Lottery, the Lottery will reduce the damages proportionately. Any forbearance on the part of the Lottery in assessing financial assessments will not operate to modify the Contract, nor will it constitute a waiver of the Lottery's right to assess financial assessments in any future instance.

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- C. The Contractor must provide all documentation and information deemed pertinent and necessary by the Lottery for the purpose of determining whether financial assessments may be assessed. When the Lottery determines that financial assessments will be assessed, the Lottery will assess damages based on any of the applicable provisions below.
- D. Nothing in this provision may be construed as relieving the Contractor from performing all Contract requirements, nor is the Lottery's right to enforce or seek other remedies for failure to perform any other Contract duty otherwise limited.
- E. If any portion of the financial assessments provisions is determined to be unenforceable in one or more applications, that portion remains in effect in all applications not determined to be invalid that are severable from the invalid application. If any portion of the financial assessments provisions is determined to be unenforceable in total, the other portions of these provisions must remain in full force and effect.

12.1 Financial Assessment: Collection Withholds

After the Lottery has determined that financial assessments will be assessed, the Lottery will notify the Contractor of the assessment(s). The Lottery will send the assessment notice to the Contractor by certified mail, return receipt requested, or by any other method that provides evidence of receipt. At the Lottery's discretion, the assessment notice may direct payment of the assessment by the Contractor. If payment is so directed, the Contractor must pay the assessment within 30 days from receipt of the assessment notice.

Any financial assessments assessment may also be collected, at the Lottery's discretion, by withholding the funds from any payment(s) due the Contractor after the date of assessment.

12.2 Specific Instances

12.2.1 Scratchers Tickets that Fail to Comply with Requirements

Condition

Scratchers tickets produced and delivered hereunder must comply with all specifications set forth in this Contract, the executed working papers for an individual game, and the Lottery-approved prize structure. Scratchers tickets that do not comply may be rejected, in whole or in part, at any time during production, testing, delivery, or distribution (partial or complete), or while stored in Lottery distribution centers.

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Damages

The parties agree that the Contractor's production and/or delivery of non-conforming Scratchers tickets is unacceptable and will cause damage to the Lottery which is difficult or impossible to assess at the time of contracting. Such damages include: (1) administrative expenses, including retrieving recalled tickets from distribution to retailers, Lottery staff salaries and other staff expenses relating to the retrieval of non-conforming tickets, and Lottery costs for the delivery of the tickets to retailers (before determining they were non-conforming); (2) the Lottery's loss of goodwill with retailers and players affected by a recall of the tickets; (3) loss of revenue, and (4) loss of goodwill with the public. Therefore, the parties agree that the following financial assessments are reasonable and fair:

- (a) For tickets retrieved from Lottery distribution centers, Lottery Sales Representatives' inventories, or any other location after delivery to the Lottery but before distribution to retailers, the Contractor will reimburse the Lottery, or the Lottery will process a collection withhold from a payment due to the Contractor, in the amount of \$750 per incident, plus \$25 per recalled pack.
- (b) The parties agree that loss of retailer goodwill negatively impacts the Lottery's relationship with retailers and that the dollar value of loss of goodwill is difficult to determine. Therefore, for tickets recalled after distribution to retailers, the Contractor will reimburse the Lottery, or the Lottery will process a collection withhold from a payment due to the Contractor, in the amount of \$750 per incident, plus \$50 per recalled pack.
- (c) The parties agree that the Lottery's loss of revenue for Scratchers tickets recalled from retailers, Lottery distribution centers, or any other location after delivery to the Lottery will negatively impact the Lottery's revenue for the recalled game and could result in other negative impacts on the Lottery's financial situation. Further, the parties acknowledge that the loss of revenue is difficult to determine. Therefore, the parties agree that additional financial assessments in the amount of 10 percent of the retail pack price for each pack recalled is fair and reasonable, up to a maximum of \$1 million per incident. The Contractor will reimburse the Lottery or the Lottery will process a collection withhold in the amount of 10 percent of the retail pack price for each pack recalled, up to the maximum amount assessable.
- (d) The parties agree that loss of public goodwill negatively impacts the Lottery's relationship with both potential and current players and that the dollar value of loss of goodwill is difficult to determine. As such, where a player purchases a non-conforming ticket that, due to a printing or system error, appears to be a winner under the applicable game rules but does not validate as winning ticket

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on the Lottery's instant ticket validation system, the parties agree that further financial assessments are appropriate. Accordingly, the Contractor will reimburse the Lottery, or the Lottery will process a collection withhold from a payment due to the Contractor, in the amount of \$25,000 for each non-conforming ticket that appears to the Lottery to be a winner due to printing or system error. This financial assessment amount is separate from and in addition to any reimbursements owed to the Lottery for prize amounts or other compensation paid to the affected players under section 6.10.

- (e) The determination as to whether a non-conforming ticket appears to be a winner under the applicable game rules will be made by the Lottery, based upon a reasonable visual inspection of the ticket. Prior to the assessment of financial assessments under this subparagraph, the Lottery's Contract Manager will notify the Contractor in writing of such tickets and provide the Contractor with an opportunity to inspect the ticket.

12.2.2 Delayed Game Start or Interruption

Condition

The Contractor must comply with all requirements for the timely production and secure delivery of satisfactory instant game tickets (i.e. game tickets securely delivered in a usable or sellable condition) and accurate data files including high-tier validation files, pack files, low-tier validation files, and other winner validation files ("data files") associated with an individual game, all of which are necessary for the start of a game. The Contractor's failure to timely produce and deliver satisfactory instant game tickets or accurate data files will constitute a potential or actual delayed game start or interruption.

Damages

The parties agree that the Lottery will sustain damage if the Contractor does not timely produce and deliver satisfactory instant game tickets, digital extensions, or produces and/or delivers inaccurate data files. The parties further agree that it is extremely difficult to quantify the exact monetary damage that the Lottery will sustain associated with consumer and retailer relations, Lottery goodwill, loss of revenue, and disruption to Lottery administration and operations relating to a potential or actual delayed game start or interruption. Therefore, the parties agree that the following provisions, including the amount of financial assessments to be assessed by the Lottery, are fair and reasonable:

- A. If the Contractor's actions result in a potential delayed game start (i.e., satisfactory game tickets or data files are delivered late but prior to the auto-ship start date for warehouse distribution or loading the files into the system) or

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CONTRACT TERMS AND CONDITIONS

potential loss in sales for a continuing game, or interruption or delay in sales for reorder of game tickets, the Lottery will assess financial assessments in the amount of \$10,000 per day or portion thereof, up to and including the day that all satisfactory instant game tickets and all accurate data files associated with the game are finally delivered to the Lottery. This means that if one or more of the files are delivered to the Lottery but satisfactory tickets are not delivered, or vice versa, the Lottery will continue to assess the financial assessments.

- B. If the Contractor's actions result in an actual delayed game start (i.e., the Lottery cannot begin telemarketing sales, cannot fill retailer orders, cannot load data files into the system on the scheduled date, or cannot validate and cash high-tier or other winning tickets) or in the interruption of a continuing game or game for which tickets (and associated data files) were reordered, the Lottery will assess, in addition to the financial assessments set forth in the preceding paragraph, financial assessments in the amount of \$100,000 per day or portion thereof, up to and including the day satisfactory instant game tickets or data files are delivered to the Lottery. This means that if one or more of the files are delivered to the Lottery but satisfactory tickets are not delivered, or vice versa, the Lottery will continue to assess the financial assessments.
- C. Determination as to whether the instant game tickets have been delivered in a satisfactory condition will be made at the sole discretion of the Lottery. The Contractor will reimburse the Lottery or the Lottery will process a collection withhold from Contractor payment for the financial assessments assessment.

12.2.3 Timely and Accurate Reports

Condition

The Contractor must produce and deliver timely, sufficient, and accurate reports within the specified time frames and meeting the requirements set forth in the Contract. Reports must be produced and delivered on both a Lottery-approved schedule and an "as requested" basis. The Lottery will give written notice of any late, insufficient, or inaccurate reports.

Damages

For each late, insufficient, or inaccurate report, the Lottery may assess financial assessments in the amount of \$1,000 per day or portion thereof, per report, until the report is provided, made sufficient, or corrected.

EXHIBIT D
CALIFORNIA LOTTERY ACT
Government Code, Title 2, Division 1, Chapter 12.5

Section 8880.57. Disclosures

In order to allow an evaluation of the competence, integrity, and character of potential Lottery Contractors for the California State Lottery, any person, corporation, trust, association, partnership, or joint venture that submits a bid, proposal, or offer as part of procurement for a contract for any goods or services for the California State Lottery, other than materials, supplies, services, and equipment which are common to the ordinary operations of state agencies, shall comply with each of the following:

- (a) The Proposer, as required by the Lottery, shall disclose the Proposer's name and address and, as applicable, the name and address of the following:
 - (1) If the Proposer is a corporation, the officers, directors, and each owner, directly or indirectly, of any equity security or other ownership interest in the corporation. However, in the case of owners of publicly held equity securities of a publicly traded corporation, only the names and addresses of those known to the corporation to beneficially own 5 percent or more of the publicly held securities need be disclosed.
 - (2) If the Proposer is a trust, the trustee and all persons entitled to receive income or benefit from the trust.
 - (3) If the Proposer is an association, the members, officers, and directors.
 - (4) If the Proposer is a subsidiary, the officers, directors, and stockholders of the parent company thereof. However, in the case of owners of publicly held equity securities of a publicly traded corporation, only the names and addresses of those known to the corporation to beneficially own 5 percent or more of the publicly held securities need be disclosed.
 - (5) If the Proposer is a partnership or joint venture, all of the general partners, limited partners, or joint venturers.
 - (6) If the parent company, general partner, limited partner, or joint venturer of any Proposer is itself a corporation, trust, association, subsidiary, partnership, or joint venture, then the disclosure of information needed to determine ultimate ownership. However, in the case of owners of publicly held equity securities of a publicly traded corporation, only the names and addresses of those known to the

corporation to beneficially own 5 percent or more of the publicly held securities need be disclosed.

- (7) If the Proposer proposes to subcontract any substantial portion of the work to be performed to a subcontractor, then all of the information required in this section shall be disclosed for the subcontractor as if it were itself a Proposer.
- (b) After receipt of a bid, proposal, or offer, but prior to the award of a contract, the Commission may require a potential Lottery Contractor to provide any or all of the following information:
- (1) A disclosure of all the states and jurisdictions in which the Proposer does business, and the nature of that business for each state or jurisdiction.
 - (2) A disclosure of all the states and jurisdictions in which the Proposer has contracts to supply gaming goods or services, including, but not limited to, lottery goods and services, and the nature of the goods or services involved for each state or jurisdiction.
 - (3) A disclosure of all the states and jurisdictions in which the Proposer has applied for, has sought renewal of, has received, has been denied, has pending, or has had revoked a gaming license of any kind, and the disposition in each state or jurisdiction. If any gaming license has not been renewed or any gaming license application has been either denied or has remained pending for more than six months, all of the facts and circumstances underlying this failure to receive a gaming license shall be disclosed.
 - (4) A disclosure of the details of any conviction or judgment of a state or federal court against the Proposer of any gambling-related offense, or criminal offense other than traffic violations.
 - (5) A disclosure of the details of any bankruptcy, insolvency, or reorganization, or any judgment or pending litigation involving fraud or deceit against the Proposer.
 - (6) A disclosure for each Proposer of the employment, residence, educational, and military history since the age of 18 years of any of its owners, directors, members, officers, employees, or agents identified by the Lottery.
 - (7) A disclosure consolidating all reportable information on all reportable contributions by the Proposer to any local, state, or federal political candidate or political committee in this state for the past five years that is reportable under any existing state or federal law.

- (8) A disclosure of the identity of any entity with which the Proposer has a joint venture or other Contractual arrangement to supply any state or jurisdiction with gaming goods or services, including, but not limited to, lottery goods or services; including a disclosure with regard to the entity of all of the information requested under paragraphs (1) to (8), inclusive.
- (9) In the instance of a procurement for the printing of lottery tickets, for goods or services involving the receiving or recording of number selections, or for goods or services involving the determination of winners, an additional disclosure consisting of the individual federal and state income tax returns for the past three years and a current individual financial statement for each Proposer and any of the Proposer's owners, directors, members, officers, employees, or agents identified by the Lottery. The disclosures provided in this paragraph shall be considered confidential and shall be transmitted directly to the Deputy Director of the Lottery's Security and Law Enforcement Division and the Attorney General for their review.
- (10) Any additional disclosures and information as may be appropriate for the procurement involved as determined by the Commission.
- (c) With respect to the persons or entities described in paragraphs (1) to (7), inclusive, of subdivision (a), the Commission may request the disclosure of any information required in subdivision (b), which shall be relevant to the award of any contract.
- (d) No contract with any Proposer who has not complied with the disclosure requirements described in this section shall be entered into or be enforceable. Any contract with any lottery contractor who does not comply with these requirements for maintaining the currency of the disclosures during the term of the contract as may be specified in the contract may be terminated by the Commission. In addition, the Commission may deny or cancel a contract with a lottery contractor or any of the persons or entities included in paragraphs (1) to (7), inclusive, of subdivision (a) if any of the following apply:
- (1) False statements have been made in any information which is required under this section.
- (2) Any of the persons or entities have been convicted of a crime punishable as a felony.
- (3) Any of the persons or entities have been convicted of an offense involving dishonesty or any gambling related offense.
- (e) This section shall be construed broadly and liberally to achieve the end of full disclosure of all information necessary to allow for a full and complete evaluation of

the competence, integrity, and character of potential suppliers of the California State Lottery Commission.